



Office of the Washington State Auditor
Pat McCarthy

Financial Statements and Federal Single Audit Report

City of Redmond

For the period January 1, 2024 through December 31, 2024

Published September 16, 2026

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**Office of the Washington State Auditor
Pat McCarthy**

September 16, 2026

Mayor and City Council
City of Redmond
Redmond, Washington

Report on Financial Statements and Federal Single Audit

Please find attached our report on the City of Redmond's financial statements and compliance with federal laws and regulations.

We are issuing this report in order to provide information on the City's financial activities and condition.

Sincerely,

Pat McCarthy, State Auditor
Olympia, WA

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SCHEDULE OF FINDINGS AND QUESTIONED COSTS

City of Redmond January 1, 2024 through December 31, 2024

SECTION I – SUMMARY OF AUDITOR’S RESULTS

The results of our audit of the City of Redmond are summarized below in accordance with Title 2 U.S. Code of Federal Regulations (CFR) Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance).

Financial Statements

We issued an unmodified opinion on the fair presentation of the basic financial statements of the governmental activities, the business-type activities, each major fund and the aggregate remaining fund information in accordance with accounting principles generally accepted in the United States of America (GAAP).

Internal Control over Financial Reporting:

- *Significant Deficiencies:* We reported no deficiencies in the design or operation of internal control over financial reporting that we consider to be significant deficiencies.
- *Material Weaknesses:* We identified no deficiencies that we consider to be material weaknesses.

We noted no instances of noncompliance that were material to the financial statements of the City.

Federal Awards

Internal Control over Major Programs:

- *Significant Deficiencies:* We identified deficiencies in the design or operation of internal control over major federal programs that we consider to be significant deficiencies.
- *Material Weaknesses:* We identified deficiencies that we consider to be material weaknesses.

We issued an unmodified opinion on the City’s compliance with requirements applicable to each of its major federal programs.

We reported findings that are required to be disclosed in accordance with 2 CFR 200.516(a).

Identification of Major Federal Programs

The following programs were selected as major programs in our audit of compliance in accordance with the Uniform Guidance.

<u>ALN</u>	<u>Program or Cluster Title</u>
20.205	Highway Planning and Construction
21.027	COVID-19 Coronavirus State and Local Fiscal Recovery Funds

The dollar threshold used to distinguish between Type A and Type B programs, as prescribed by the Uniform Guidance, was \$750,000.

The City did not qualify as a low-risk auditee under the Uniform Guidance.

SECTION II – FINANCIAL STATEMENT FINDINGS

None reported.

SECTION III – FEDERAL AWARD FINDINGS AND QUESTIONED COSTS

See Finding 2024-001.

SCHEDULE OF FEDERAL AWARD FINDINGS AND QUESTIONED COSTS

City of Redmond January 1, 2024 through December 31, 2024

2024-001 The City did not have adequate internal controls for ensuring compliance with federal subrecipient monitoring requirements, and did not comply with federal suspension and debarment, and reporting requirements.

Assistance Listing Number and Title:	21.027 – COVID-19 – Coronavirus State and Local Fiscal Recovery Funds
Federal Grantor Name:	U.S. Department of the Treasury
Federal Award/Contract Number:	N/A
Pass-through Entity Name:	N/A
Pass-through Award/Contract Number:	N/A
Known Questioned Cost Amount:	\$0
Prior Year Audit Finding:	N/A

Background

The purpose of the Coronavirus State and Local Fiscal Recovery Funds (SLFRF) program is to respond to the COVID-19 pandemic's negative effects on public health and the economy, provide government services to the extent COVID-19 caused a reduction in revenues collected, make necessary investments in water, sewer or broadband infrastructure, provide emergency relief from natural disasters or their negative economic impacts, fund projects eligible under certain programs administered by the U.S. Department of Transportation through three pathways and fund projects eligible under the programs established in Title I of the Housing and Community Development Act of 1974. In 2024, the City spent \$1,619,030 in program funds for these activities.

Federal regulations require recipients to establish, document and maintain effective internal controls that ensure compliance with program requirements. These controls include understanding program requirements and monitoring the effectiveness of established controls.

Suspension and debarment

Federal requirements prohibit recipients from contracting with or purchasing from parties suspended or debarred from doing business with the federal government. Whenever the City enters into contracts or purchases goods or services that it expects to equal or exceed \$25,000, paid all or in part with federal funds, it must verify the contractors are not suspended, debarred or otherwise excluded from participating in federal programs. The City may verify this by obtaining a written certification from the contractor, adding a clause or condition into the contract that states the contractor is not suspended or debarred, or checking for exclusion records in the U.S. General Services Administration's System for Award Management at SAM.gov. The City must verify this before entering into the contract, and must maintain documentation demonstrating compliance with this federal requirement

Reporting

Under the SLFRF program, direct recipients with a population less than 250,000 residents that are allocated less than \$10 million in SLFRF funding must submit annual Project and Expenditure reports to the U.S. Department of the Treasury (Treasury). Treasury identified the following key line items in the report that contain critical information and must be accurate and complete:

- Obligations and expenditures
 - Current period obligation
 - Cumulative obligation
 - Current period expenditure
 - Cumulative expenditure

Subrecipient monitoring

The City passed through \$732,367 in program funds to seven subrecipients via subrecipient agreements. When the City passes on federal funds to subrecipients, federal regulations require it to monitor its subrecipients' activities. This includes verifying subrecipients receive a federal single audit when required, following up and ensuring subrecipients take timely and appropriate corrective action on all audit findings, and issuing a management decision as required.

Description of Condition

Suspension and debarment

Although the City has a process to verify the suspension and debarment status for contractors it pays \$25,000 or more using federal funds, our audit found the City did not perform the verification for one of the five contractors we tested before entering into the contract.

We consider this deficiency in internal controls to be a material weakness that led to material noncompliance.

Reporting

The City did not have an effective process for ensuring it prepared an accurate and complete report based on supporting documentation and Treasury's guidance for SLFRF. Specifically, the City's reported current and cumulative expenditures and obligations for several projects were incorrect and not supported by its general ledger or other supporting documentation.

We consider this deficiency in internal controls to be a material weakness that led to material noncompliance.

Subrecipient monitoring

The City's existing subrecipient monitoring procedures were not adequate and did not include annual verification of single audit requirements for its SLFRF program subrecipients, as federal regulations require. Also, the City did not ensure they received federal single audits when required and that it followed up with the results of those audits.

We consider this deficiency in internal controls to be a significant deficiency.

Cause of Condition

Suspension and debarment

City staff were aware of the federal suspension and debarment verification requirements and completed the required verifications. However, they were not aware that the verification for one of the five contractors tested was completed 76 days after the contract went into effect and after the City paid the contractor.

Reporting

Staff responsible for completing the reports did not have a comprehensive understanding of the reporting requirements and did not receive the appropriate training.

Subrecipient monitoring

City staff were not aware of the procedures necessary to verify whether the subrecipients received a single audit when required. Moreover, the City only required subrecipients to provide financial statements or single audit reports during the first year of the subrecipient contract. As a result, for contracts more than one year, the City does not perform this verification in subsequent years and may not identify when a subrecipient is required to receive a single audit.

Effect of Condition

Suspension and debarment

The City did not obtain a written certification from the contractor, insert a clause into the contract or check for exclusion records at SAM.gov to verify the contractor it paid \$49,976 using federal funds was not suspended or debarred before contracting with or purchasing from them. Without adequate internal controls, the City increases its risk of awarding federal funds to contractors that are excluded from participating in federal programs. Any payments the City made to an ineligible party would be unallowable, and the awarding agency could potentially recover them.

The City subsequently verified the contractor was not suspended or debarred. Therefore, we are not questioning costs.

Reporting

We found the following errors in the project and expenditure report:

- Status of completion for one project was incorrectly reported as “not started” despite \$2 million in expenditures during the reporting period
- Cumulative expenditures were underreported by \$5,265,876 for four projects
- Current period obligations were underreported by \$2,015,876 for two projects
- Current period expenditures were underreported by \$4,544,917 for five projects

Treasury uses the reports for oversight purposes, and any inaccurate information limits its ability to ensure transparency of program spending and fulfill its legal obligations. By not establishing adequate internal controls, the City cannot ensure that information reported to the federal awarding agency is complete and accurate.

Subrecipient monitoring

We tested six subrecipients and found the City did not monitor and obtain the subrecipients' audits and was not aware of the audit results. Without this verification, the City cannot ensure it is properly monitoring its subrecipients and that the subrecipients complied with federal program requirements.

Recommendation

Suspension and debarment

We recommend the City strengthen its internal controls to ensure contractors it pays \$25,000 or more, all or in part with federal funds, are not suspended or debarred from participating in federal programs and maintain documentation demonstrating compliance with this requirement.

Reporting

We recommend the City:

- Establish internal controls to prepare accurate and complete reports
- Provide resources and training necessary for staff to improve report preparation so that it complies with federal reporting guidance and system requirements
- Review Treasury's *Compliance and Reporting Guidance and the Project and Expenditure Report User Guide* for reporting requirements and instructions on correcting the data

Subrecipient monitoring

We recommend the City strengthen internal controls over subrecipient monitoring to ensure it verifies subrecipients receive a federal single audit when required and follows up on audit findings as applicable.

City's Response

The City of Redmond takes seriously its responsibility to administer federal funds in compliance with the Uniform Guidance (2 CFR Part 200) and acknowledges the findings identified in this audit related to suspension and debarment verification, SLFRF reporting accuracy, and subrecipient monitoring. The City has reviewed each finding, confirmed the underlying facts, and taken corrective action to address both the specific instances identified and the broader control gaps that allowed them to occur.

Independent of this audit, the City had already begun a citywide effort in 2025 to strengthen its grant management practices. This effort resulted in a new Grant Management Policy and Procedure Manual and accompanying Standard Operating Procedures (SOPs), approved by leadership and published citywide in April 2026. Every department attended an in-person presentation on the new policy and received training on available grant management resources. The SOPs establish specific, minimum standards for procurement and suspension/debarment verification, monitoring and reconciliation of allowable costs, subrecipient monitoring, and grant reporting — directly addressing the root causes identified in this audit. In 2025 and 2026, the City also created and filled new positions to centralize grant management functions citywide, adding a required second-party review of progress reports and reimbursement requests before submission to funding agencies.

The City views the specific instances identified in this audit as isolated gaps that existed prior to these citywide improvements, and believes the policy, staffing, and procedural changes described below directly resolve them.

Suspension and Debarment

The City's standard contract templates for federally funded procurements include suspension and debarment verification requirements, and this requirement was in place for all applicable City contracts except the design contract at issue, where the verification was not completed and documented until 76 days after the contract's effective date. The City has since confirmed the contractor was not suspended, debarred, or otherwise excluded during the relevant period, and no federal funds were paid to an ineligible party.

- *Added a required step to the contract routing process to verify completion of the debarment check and attach verification documentation before a contract proceeds.*
- *Confirmed debarment verification is included on applicable checklists for all work involving labor and/or federal funding of \$25,000 or more, and re-emphasized to staff the requirement to complete and retain this verification before contract execution and fund disbursement.*
- *Both Finance and Capital Projects have been made aware of this error. Capital Projects has confirmed its understanding that the SAM.gov check must be completed and documented before finalizing any applicable contract.*
- *Finance is revising the contract routing form to add a required field confirming whether a contract will be paid partially or fully with grant*

funds, alerting Purchasing and Accounts Payable to confirm that verification was completed before any payment is released.

- *The new citywide SOPs define the required timing for suspension/debarment checks, closing the procedural gap that allowed this contract to proceed without documented, timely verification.*
- *The City will update agreement boilerplates to require vendors to attest that they are not debarred. This will supplement the City's existing verification process performed before contract execution and fund disbursement.*

Reporting

During 2025, City staff began developing a citywide Grant Management Policy and Procedure Manual and accompanying Standard Operating Procedures (SOPs) to strengthen the City's compliance with federal grant requirements. The manual was approved by leadership and published citywide in April 2026, and every department attended an in-person presentation on the new policy, along with training on how to access additional grant management resources. The new SOPs establish specific standards for grant reporting, including required reconciliation practices and review procedures intended to prevent the type of discrepancies identified in this finding.

In 2025 and 2026, the City created and filled new positions to centralize grant management functions citywide. These positions are responsible for tracking grant deadlines and providing a required second-party review of progress reports and reimbursement requests before they are submitted to funding agencies.

The City views this finding as an isolated gap that predates these citywide improvements and believes the staffing and procedural changes described below directly address the root cause identified.

Corrective Action Taken

- *New centralized grant management positions now review and approve all progress reports and reimbursement requests before submission to the funding agency, ensuring a required two-party review of all external reporting.*
- *The new SOPs require staff to reconcile grant transactions multiple times throughout the year, rather than solely at year-end, so discrepancies are identified and corrected well before reporting deadlines.*

Subrecipient Monitoring

The City's subrecipient monitoring procedures required subrecipients to submit financial statements or Single Audit reports only during the initial application year and did not include a documented process for annual verification in subsequent years. As a result, for the six subrecipients tested, the City could not confirm whether required Single Audits were received or whether applicable audit findings had been addressed in years following the first year of the subaward agreement

Corrective Action Taken

- *Staff who manage subawards have completed additional training on subrecipient monitoring requirements, including verification of Single Audit compliance.*
- *Staff who manages subawards will update the sub-monitoring checklist to include "Single Audit" as part of update every year.*
- *Revised risk assessment tools now specify a minimum required frequency for completing subrecipient risk assessments and reviewing subrecipient financial reports.*
- *The new citywide SOPs establish a defined minimum frequency for subrecipient monitoring activities, including annual verification of Single Audit status for all active subrecipients.*

Auditor's Remarks

We thank the City for its cooperation throughout the audit and the steps it is taking to address these concerns. We will review the status of the City's corrective action during our next audit.

Applicable Laws and Regulations

Title 2 U.S. Code of Federal Regulations (CFR) Part 200, Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards (Uniform Guidance), section 516, Audit findings, establishes reporting requirements for audit findings.

Title 2 CFR Part 200, Uniform Guidance, section 303, Internal controls, describes the requirements for auditees to maintain internal controls over federal programs and comply with federal program requirements.

The American Institute of Certified Public Accountants defines significant deficiencies and material weaknesses in its *Codification of Statements on Auditing Standards*, section 935, Compliance Audits, paragraph 11.

Title 2 CFR part 180, OMB *Guidelines to Agencies on Governmentwide Debarment and Suspension (Nonprocurement)* establishes nonprocurement debarment and suspension regulations, implementing Executive Orders 12549 and 12689.

U.S. Department of the Treasury's *Coronavirus State and Local Fiscal Recovery Funds Compliance and Reporting Guidance*, Part 2, Section B, page 21, provides the reporting requirements for the Project and Expenditure Report. Section V of the Treasury's current *Project and Expenditure Report User Guide* provides guidance for editing and revising report data.

Title 2 CFR Part 200, Uniform Guidance, section 332, Requirements for passthrough entities, establishes subrecipient monitoring and management requirements for pass-through entities.

INDEPENDENT AUDITOR'S REPORT

Report on Internal Control over Financial Reporting and on Compliance and Other Matters Based on an Audit of Financial Statements Performed in Accordance with *Government Auditing Standards*

City of Redmond January 1, 2024 through December 31, 2024

Mayor and City Council
City of Redmond
Redmond, Washington

We have audited, in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States, the financial statements of the governmental activities, the business-type activities, each major fund and the aggregate remaining fund information of the City of Redmond, as of and for the year ended December 31, 2024, and the related notes to the financial statements, which collectively comprise the City's basic financial statements, and have issued our report thereon dated September 15, 2026.

REPORT ON INTERNAL CONTROL OVER FINANCIAL REPORTING

In planning and performing our audit of the financial statements, we considered the City's internal control over financial reporting (internal control) as a basis for designing audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of the City's internal control. Accordingly, we do not express an opinion on the effectiveness of the City's internal control.

A deficiency in internal control exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, misstatements on a timely basis. A *material weakness* is a deficiency, or a combination of deficiencies, in internal control such that there is a reasonable possibility that a material misstatement of the City's financial statements will not be prevented, or detected and corrected on a timely basis. A *significant deficiency* is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described above and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies and therefore, material weaknesses or significant deficiencies may exist that were not identified.

Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses.

We noted certain other matters that we have reported to the management of the City in a separate letter dated September 15, 2026.

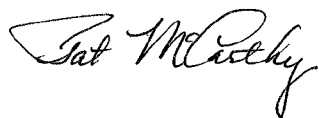
REPORT ON COMPLIANCE AND OTHER MATTERS

As part of obtaining reasonable assurance about whether the City's financial statements are free from material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts and grant agreements, noncompliance with which could have a direct and material effect on the financial statements. However, providing an opinion on compliance with those provisions was not an objective of our audit, and accordingly, we do not express such an opinion.

The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*.

PURPOSE OF THIS REPORT

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the City's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the City's internal control and compliance. Accordingly, this communication is not suitable for any other purpose. However, this report is a matter of public record and its distribution is not limited. It also serves to disseminate information to the public as a reporting tool to help citizens assess government operations.

A handwritten signature in black ink, reading "Pat McCarthy". The signature is fluid and cursive, with the first name "Pat" and last name "McCarthy" clearly distinguishable.

Pat McCarthy, State Auditor

Olympia, WA

September 15, 2026

INDEPENDENT AUDITOR'S REPORT

Report on Compliance for Each Major Federal Program and Report on Internal Control over Compliance in Accordance with the Uniform Guidance

City of Redmond
January 1, 2024 through December 31, 2024

Mayor and City Council
City of Redmond
Redmond, Washington

REPORT ON COMPLIANCE FOR EACH MAJOR FEDERAL PROGRAM

Opinion on Each Major Federal Program

We have audited the compliance of the City of Redmond, with the types of compliance requirements identified as subject to audit in the U.S. *Office of Management and Budget (OMB) Compliance Supplement* that could have a direct and material effect on each of the City's major federal programs for the year ended December 31, 2024. The City's major federal programs are identified in the auditor's results section of the accompanying Schedule of Findings and Questioned Costs.

In our opinion, the City complied, in all material respects, with the types of compliance requirements referred to above that could have a direct and material effect on each of its major federal programs for the year ended December 31, 2024.

Basis for Opinion on Each Major Federal Program

We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America (GAAS); the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States; and the audit requirements of Title 2 U.S. *Code of Federal Regulations* Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards (Uniform Guidance)* are further described in the Auditor's Responsibilities for the Audit of Compliance section of our report.

We are required to be independent of the City and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion on compliance for each major federal program. Our audit does not provide a legal determination on the City's compliance with the compliance requirements referred to above.

Responsibilities of Management for Compliance

Management is responsible for compliance with the requirements referred to above and for the design, implementation, and maintenance of effective internal control over compliance with the requirements of laws, statutes, regulations, rules and provisions of contracts or grant agreements applicable to the City's federal programs.

Auditor's Responsibilities for the Audit of Compliance

Our objectives are to obtain reasonable assurance about whether material noncompliance with the compliance requirements referred to above occurred, whether due to fraud or error, and express an opinion on the City's compliance based on our audit. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS, *Government Auditing Standards* and the Uniform Guidance will always detect a material noncompliance when it exists. The risk of not detecting a material noncompliance resulting from fraud is higher than for that resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Noncompliance with the compliance requirements referred to above is considered material, if there is a substantial likelihood that, individually or in the aggregate, it would influence the judgement made by a reasonable user of the report on compliance about the City's compliance with the requirements of each major federal program as a whole.

Performing an audit in accordance with GAAS, *Government Auditing Standards* and the Uniform Guidance includes the following responsibilities:

- Exercise professional judgment and maintain professional skepticism throughout the audit;
- Identify and assess the risks of material noncompliance, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the City's compliance with the compliance requirements referred to above and performing such other procedures as we considered necessary in the circumstances;
- Obtain an understanding of the City's internal control over compliance relevant to the audit in order to design audit procedures that are appropriate in the circumstances and to test and report on internal control over compliance in accordance with the Uniform Guidance, but not for the purpose of expressing an opinion on the effectiveness of the City's internal control over compliance. Accordingly, no such opinion is expressed; and
- We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and any significant deficiencies and material weaknesses in internal control over compliance that we identified during the audit.

Other Matters

The results of our auditing procedures disclosed instances of noncompliance which are required to be reported in accordance with the Uniform Guidance and which are described in the accompanying Schedule of Federal Award Findings and Questioned Costs as 2024-001. Our opinion on each major federal is not modified with respect to these matters.

We also noted certain matters related to compliance that we have reported to the management of the City in a separate letter dated September 15, 2026.

City's Response to Findings

Government Auditing Standards requires the auditor to perform limited procedures on the City's response to the noncompliance findings identified in our compliance audit described in the accompanying Schedule of Federal Award Findings and Questioned Costs. The City's response was not subjected to the other auditing procedures applied in the audit of compliance and, accordingly, we express no opinion on the response.

REPORT ON INTERNAL CONTROL OVER COMPLIANCE

A deficiency in internal control over compliance exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, noncompliance with a type of compliance requirement of a federal program on a timely basis. *A material weakness in internal control over compliance* is a deficiency, or combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a federal program will not be prevented, or detected and corrected, on a timely basis. *A significant deficiency in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance with a type of compliance requirement of a federal program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance.

Our audit was not designed for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, no such opinion is expressed. Our consideration of internal control over compliance was for the limited purpose described in the Auditor's Responsibilities for the Audit of Compliance section above and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies in internal control over compliance and therefore, material weaknesses or significant deficiencies may exist that were not identified.

However, we identified certain deficiencies in internal control over compliance that we consider to be material weaknesses and significant deficiencies. In the accompanying Schedule of Federal Award Findings and Questioned Costs, we consider the deficiencies described in Finding 2024-001 to be material weaknesses and the deficiencies described in Finding 2024-001 to be a significant deficiencies.

In addition, we noted certain other matters that we have reported to the management of the City in a separate letter dated September 15, 2026.

City's Response to Findings

Government Auditing Standards requires the auditor to perform limited procedures on the City's response to the internal control over compliance findings identified in our audit described in the accompanying Schedule of Federal Award Findings and Questioned Costs. The City's response was not subjected to the other auditing procedures applied in the audit of compliance and, accordingly, we express no opinion on the response.

Purpose of this Report

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of the Uniform Guidance. Accordingly, this report is not suitable for any other purpose. However, this report is a matter of public record and its distribution is not limited. It also serves to disseminate information to the public as a reporting tool to help citizens assess government operations.

A handwritten signature in black ink that reads "Pat McCarthy". The signature is written in a cursive, flowing style.

Pat McCarthy, State Auditor

Olympia, WA

September 15, 2026

INDEPENDENT AUDITOR'S REPORT

Report on the Audit of the Financial Statements

City of Redmond January 1, 2024 through December 31, 2024

Mayor and City Council
City of Redmond
Redmond, Washington

REPORT ON THE AUDIT OF THE FINANCIAL STATEMENTS

Opinions

We have audited the accompanying financial statements of the governmental activities, the business-type activities, each major fund and the aggregate remaining fund information of the City of Redmond, as of and for the year ended December 31, 2024, and the related notes to the financial statements, which collectively comprise the City's basic financial statements as listed in the financial section of our report.

In our opinion, the accompanying financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, the business-type activities, each major fund and the aggregate remaining fund information of the City of Redmond, as of December 31, 2024, and the respective changes in financial position and, where applicable, cash flows thereof for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinions

We conducted our audit in accordance with auditing standards generally accepted in the United States of America (GAAS) and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of the City and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Matters of Emphasis

As discussed in Note 20 to the financial statements, in 2024, the City adopted new accounting guidance, Governmental Accounting Standards Board *Statement No. 101, Compensated Absences*. Our opinion is not modified with respect to this matter.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the City's ability to continue as a going concern for twelve months beyond the financial statement date, including any currently known information that may raise substantial doubt shortly thereafter.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinions. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS and *Government Auditing Standards* will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

Performing an audit in accordance with GAAS and *Government Auditing Standards* includes the following responsibilities:

- Exercise professional judgment and maintain professional skepticism throughout the audit;
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements;
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing

an opinion on the effectiveness of the City's internal control. Accordingly, no such opinion is expressed;

- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements;
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the City's ability to continue as a going concern for a reasonable period of time; and
- Communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the management's discussion and analysis and required supplementary information listed in the financial section of our report be presented to supplement the basic financial statements. Such information is the responsibility of management and, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Supplementary Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the City's basic financial statements. The accompanying Schedule of Expenditures of Federal Awards is presented for purposes of additional analysis as required by Title 2 *U.S. Code of Federal Regulations* (CFR) Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). This supplementary information is not a required part of the basic financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements. The information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such

information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the information is fairly stated, in all material respects, in relation to the basic financial statements as a whole.

OTHER REPORTING REQUIRED BY GOVERNMENT AUDITING STANDARDS

In accordance with *Government Auditing Standards*, we have also issued our report dated September 15, 2026 on our consideration of the City's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts and grant agreements and other matters. The purpose of that report is to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the City's internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the City's internal control over financial reporting and compliance.

A handwritten signature in black ink, reading "Pat McCarthy". The signature is fluid and cursive, with the first name "Pat" and last name "McCarthy" clearly distinguishable.

Pat McCarthy, State Auditor

Olympia, WA

September 15, 2026

FINANCIAL SECTION

City of Redmond January 1, 2024 through December 31, 2024

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Management's Discussion and Analysis

The management discussion and analysis section of the City of Redmond's Annual Financial Report provides an overview of the financial activities for the year ending December 31, 2024. Its purpose is to highlight significant financial issues, major financial activities, changes in the city's financial position, and economic factors. Readers are encouraged to consider the information presented here in conjunction with the information furnished in the letter of transmittal, financial statements, and the accompanying notes following the financial information.

Financial Highlights

In fiscal year 2024, the City maintained a strong financial position, as evidenced by its AAA long-term rating assigned by Standard and Poor's (S&P) Global Ratings service to its 2022 limited-tax general obligation (GO) refunding bonds and its 2021 utility system revenue refunding bonds. Key investments included \$10 million for affordable housing and \$2 million for human services, underscoring the City's commitment to community well-being. Major financial highlights are noted below:

The City of Redmond's assets and deferred outflows of resources exceeded its liabilities and deferred inflows at the close of the most recent fiscal year by \$1.54 billion. Of this amount, \$1.09 billion is invested in capital assets, including streets, land, and buildings. The remainder is primarily cash and investments, consisting of \$161.4 million that is restricted by legislation or bond covenants for tourism, parks and recreation, transportation, capital projects, and debt service, and \$294.2 million that is unrestricted net position and therefore available to meet the government's ongoing obligations to citizens and creditors.

The City's total net position increased by \$227.1 million in 2024. The increase in Business-type activities was \$27.3 million, while the increase in Governmental activities was \$199.8 million which includes the accounting change and error correction of \$2.3 million.

At the end of the 2024 fiscal year, the City's governmental funds reported combined ending fund balances of \$235 million, an increase of \$18.4 million compared to the prior year. Over \$99.0 million of the total fund balance is restricted for use based on bond covenants or enabling legislation. An additional \$13.6 million has been committed by the City Council for specific purposes, and \$71.9 million has been designated by the City Manager for assigned activities. Approximately \$48.5 million remains unassigned because no formal use limitation has been established.

At year-end, the total outstanding debt was \$63.9 million. This includes bonds and public trust fund loans and excludes leases/SBITA.

Overview of the Financial Statements

This discussion and analysis are intended to serve as an introduction to the City of Redmond's basic financial statements, which are comprised of three components: 1) government-wide financial statements, 2) fund financial statements, and 3) notes to the financial statements. Other supplementary information, intended to furnish additional detail to support the basic financial statements, is also contained in the report.

Government-wide Financial Statements

The government-wide financial statements are designed to provide readers with a comprehensive overview of the City's finances, similar to those of a private-sector business.

The **Statement of Net Position** presents financial information on the City's assets, liabilities, and deferred inflows/outflows of resources, with the difference reported as net position. Over time, increases or decreases in net position may serve as a valuable indicator of whether the financial position is improving or deteriorating.

The **Statement of Activities** presents information to show how the net position changed during the year. The statement distinguishes revenue generated by specific functions from revenue derived from taxes and other sources unrelated to those functions. The revenue generated by specific functions (charges for services, grants, and contributions) is compared with the expenses for those functions to indicate the degree to which each function supports itself or relies on taxes and other general funding sources. All activity on this statement is reported on the accrual basis of accounting, requiring that revenues are reported when they are earned, and expenses are reported when they are incurred, regardless of when cash is received or disbursed. Items such as (but not limited to) uncollected taxes, unpaid vendor invoices for goods

or services received during the year and earned but unused vacation leave are included in the statement of activities as revenue and expenses even though no cash has changed hands.

Government-wide financial statements distinguish functions principally supported by taxes and intergovernmental revenues (governmental activities) from other functions intended to recover all or a significant portion of their costs through user fees and charges (*business-type activities*). The governmental activities include general government (finance, executive, and human resources), security (police and fire), economic environment, transportation, and culture and recreation. The business-type activities are limited to water/wastewater and stormwater utilities. Governmental activities are primarily supported by taxes, charges for services, and grants. Business-type activities are self-supporting principally through user fees and charges.

Fund Financial Statements

The annual financial report includes fund financial statements and government-wide financial statements. While the government-wide statements present the finances based on the type of activity, general government versus business type, the fund financial statements are presented by fund types, such as the general fund, special revenue funds, and proprietary funds. A fund is a fiscal and accounting entity with a self-balancing set of accounts used to account for specific activities or meet particular objectives. Funds are often set up under special regulations, restrictions, or limitations. Like other state and local governments, the City uses fund accounting to ensure compliance with financial-related legal requirements. The funds are divided into two categories: governmental funds and proprietary funds.

Governmental Funds are used to account for essentially the same functions as are reported as governmental activities in the government-wide financial statements. These reports use a different “basis of accounting” than government-wide financial statements. Governmental fund statements focus on near-term revenues/financial resources, as well as expenditures, whereas government-wide financial statements encompass both near-term and long-term revenues/financial resources, as well as expenses. The information in the governmental fund statements can be used to evaluate the near-term financing requirements and immediate fiscal health. Comparing governmental fund statements with government-wide statements can help readers better understand the long-term impact of the current year's financing decisions. To assist in this comparison, reconciliations between the governmental fund statements and the government-wide financial statements are included with the governmental fund Balance Sheet and the governmental fund Statement of Revenues, Expenditures, and Changes in Fund Balances.

The City maintains fourteen individual governmental funds. The two major governmental funds—the General Fund and the Capital Improvement Program Funds—are presented separately in the governmental fund balance sheet and the governmental fund Statement of Revenues, Expenditures, and Changes in Fund Balances. The remaining governmental funds are combined in this statement into a single column labeled Other Governmental Funds. During fiscal year 2023, the City established the Redmond Transportation Benefit District (TBD) pursuant to Chapter 36.73 RCW to provide a dedicated funding source for transportation improvements. The City Council assumed the rights and powers of the District and serves as its governing body. The TBD is presented as a Special Revenue Fund.

The City maintains budgetary control over its operating funds by adopting a biennial budget. Budgets are adopted at the fund level for all funds in accordance with state law.

Following is a brief analysis of each of the City's major governmental funds:

The General Fund is the city's primary operating fund through which all receipts and payments for ordinary City operations are processed unless they are required to be accounted for in a different fund. At the end of 2024, the general fund balance was \$111.7 million, representing an increase of \$11 million (10.9%) from the prior year.

General Fund revenues decreased by \$.4 million (.3%) in 2024, primarily due to the net effect of the following:

- Collectively, tax revenues decreased by \$2.7 million (2.6%). Sales tax declined by \$4.8 million (9.1%), primarily due to a decrease in development activity in 2024 compared to the prior year. Utility taxes decreased by \$85,000 (0.7%). Property tax revenues increased by \$861,000 (2.7%), reflecting the 1% levy increase permitted under state law and the addition of new construction. The City's overall assessed property valuation decreased by \$1.5 million, primarily due to the King County Assessor's annual revaluation adjustments reflecting market conditions and property

characteristics.

- License and Permit Fee revenues increased by \$1.7 million (13.1%) compared to 2023, mainly because Microsoft opened new locations in Redmond. As a reminder, the City moved business license renewals to the Department of Revenue's state system, aligning renewal timing with the State's schedule. Although overall development activity declined, revenues from development permits increased in 2024 due to revised fees and new fees adopted under the City's full cost recovery policy.
- Charges for Services increased by \$4 million (26.2%). The increase mainly results from engineering services and construction inspection rose by \$2.4 million, reflecting revised and new fees adopted under the City's full cost recovery policy.
- Intergovernmental revenues fell by \$3.3 million (33.3%). Grant reimbursements vary depending on the progress of capital projects. In 2024, revenues decreased due to slower progress on certain projects, including the Avondale Road pavement project. Additionally, 2023 revenues were unusually high due to one-time allocations, such as ARPA grant funding and a \$580,000 payment from Sound Transit for fire training services, which were not repeated in 2024.
- The interest on investments dropped by \$734 thousand (15%) mainly because of the overall decline in investor income, driven by higher interest rates, increased inflation, and instability in the banking sector, which caused market volatility and a shift in the timing and composition of returns over the year.

General Fund expenditures increased by \$7.8 million (5.8%) in 2024, primarily due to the following factors:

- Salaries and benefits increased in 2024 due to position reclassifications, cost-of-living adjustments from union negotiations, and higher overtime costs. These changes affected all expenditure categories.
- General Government expenditures increased by \$2.5 million (8.8%). The rise mainly results from higher costs for technology services, driven by increasing salaries, benefits, and professional service expenses. Additional increases are due to higher legal costs and new contractual commitments, including consulting services for the Building Security Strategic Plan and the Puget Sound Emergency Radio Network agreement, which was assumed as EPSCA phases out over the course of the year.
- Public Safety expenditure increased by \$4.2 million (6.8%), mainly due to higher salaries and benefits from union-negotiated cost-of-living adjustments and position reclassifications.
- Capital outlay increased by \$1.3 million (98.9%), primarily due to the purchase and upfitting of new police vehicles. The increase also reflects Leases and SBITA.

The Special Revenue Funds are used to manage revenues that are legally restricted or committed to specific purposes. These funds enable the City to track and report resources allocated to designated activities, ensuring transparency and compliance with legal or Council-approved requirements. By the end of 2024, the total fund balances reached \$40.6 million, an increase of \$5.6 million (16.2%) from the previous year. Some of the main factors contributing to this increase are:

Special Revenue Fund revenues increased by \$12 million (46.1%) in 2024, primarily due to the following factors:

- The establishment of the Transportation Benefit District (TBD) in 2024, supported by a 0.1% sales tax dedicated to transportation projects. This new revenue source generated \$5.5 million in its first year.
- Real Estate Excise Tax (REET) revenue increased by \$4.0 million (84.3%) primarily due to higher transaction volumes and several large commercial property sales in 2024.

Special Revenue Fund expenditure increased by \$1.9 million (7.7%) in 2024, primarily due to the following factors:

- The initial implementation of the Transportation Benefit District (TBD) resulted in \$1.4 million in expenditure on vehicles and related equipment, such as concrete mixers.

- Salaries and benefits increased in 2024, reflecting position reclassifications and cost-of-living adjustments resulting from union negotiations, and an increase in overtime costs. These changes affected all expenditure categories.

The Capital Improvement Program Fund (CIP Fund) allocates financial resources for the acquisition, construction, and preservation of major capital facilities, excluding those financed by proprietary funds. As of the end of 2024, the total fund balances for the CIP Funds reached \$82.6 million, an increase of \$1.7 million (2.1%) from the previous year. Some of the key contributing factors:

- Capital improvement program revenues increased by \$7.5 million (66.6%), primarily due to a \$5.9 million increase in impact fee collections and a \$3.3 million increase in grant revenue.
- Capital Improvement Program (CIP) expenditure decreased by \$22.7 million, mainly due to the timing of major project investments. The City spent heavily in 2023 on constructing the Redmond Senior & Community Center, which was completed in 2024, leading to lower spending this year.

Proprietary Funds are used by governments to account for their business-type activities. Business-type activities provide specific goods or services to customers, paid for by fees charged to those customers. There is a direct relationship between the fees paid and the services received.

The City of Redmond has two types of proprietary funds: enterprise funds and internal service funds. Enterprise funds account for goods and services provided to the community, while internal service funds account for goods and services provided internally to various City departments. The same accounting basis is used for proprietary funds in government-wide and individual fund statements.

Enterprise funds are used to report the same functions presented as business-type activities in government-wide statements. The fund statements provide more detail than is reported in the government-wide statements. The enterprise fund statements provide separate information for the City's water/wastewater utility, a Novelty Hill water/wastewater utility outside the City limits, and the City's stormwater utility.

Internal service funds are an accounting device used to accumulate and allocate costs internally among various functions. The City uses internal service funds to account for its fleet of vehicles, insurance premiums and claims, medical self-insurance, worker's compensation self-insurance program, and information technology. Internal service fund activities are predominantly governmental and have been included in the governmental activities columns of the government-wide Statement of Net Position and Statement of Activities.

Notes to the Financial Statements

The notes to the financial statements provide additional information that is essential for a complete understanding of the data in the government-wide and fund financial statements. The notes are located immediately following the basic financial statements.

Other Information

In addition to the basic financial statements and accompanying notes, this report presents certain **required supplementary information** concerning the City's progress in funding its obligation to provide pension and lifetime medical benefits to uniformed personnel hired before October 1, 1977. Required supplementary information may be found immediately following the notes to the financial statements.

Government-wide Financial Analysis

Statement of Net Position

The Statement of Net Position provides a useful snapshot of the City's financial health. As of December 31, 2024, the total net position was \$1.5 billion, reflecting a \$227.1 million (17.2%) increase over 2023. The reasons for the increase in governmental and business-type activities are discussed in the following sections.

The most significant component of the total net position (\$1.1 billion, or 70.6%) is a net investment in capital assets (i.e., land, buildings, machinery, equipment, vehicles, and infrastructure, less any related outstanding debt used to acquire those assets). The City uses these capital assets to provide various services to the community. Accordingly, these assets are not available for future spending. Although investment in capital assets is reported net of related debt, it is worth noting that the resources used to repay this debt must be provided from other sources, as the capital assets themselves cannot be used to liquidate these liabilities. The restricted component of total net position (\$161.4 million, or 10.4%) represents resources subject to external restrictions on their use. It primarily encompasses restricted resources for capital projects (\$34.3 million), Impact fees (\$53.8 million), and net pension assets (\$54.8 million). The remaining net position balance of \$294 million (19%) is unrestricted and may be used to meet ongoing obligations to the community and creditors.

Following is a condensed version of the government-wide Statement of Net Position for 2024 compared to 2023, with governmental activities and business-type activities separately identified.

City of Redmond's Net Position
(in thousands)

	Governmental Activities		Business-Type Activities		Total	
	2024	2023	2024	2023	2024	2023
Current and other assets	\$ 308,787	\$ 297,359	\$ 181,419	\$ 157,973	\$ 490,206	\$ 455,441
Net pension asset	26,210	33,538	2,012	2,538	28,222	36,075
Capital assets, net of accumulated depreciation	753,090	567,295	410,400	408,407	1,163,490	975,702
Total assets	\$ 1,088,087	\$ 898,192	\$ 593,831	\$ 568,918	\$ 1,681,918	\$ 1,467,218
Deferred outflow s:						
Debt refunding	1,029	2,002	167	183	1,196	2,185
Pensions	33,466	25,607	2,786	2,113	36,252	27,719
OPEB	377	-	-	-	377	-
Asset retirement Obligation	24	25	230	276	254	301
Total deferred outflow s	34,896	27,633	3,183	2,572	38,079	30,206
Total assets and deferred outflow s	\$ 1,122,983	\$ 925,825	\$ 597,014	\$ 571,489	\$ 1,719,997	\$ 1,497,424
Long-term liabilities	\$ 72,082	\$ 65,851	\$ 20,182	\$ 21,010	\$ 92,264	\$ 86,861
Net pension liability	3,660	4,935	963	1,219	4,623	6,154
Total OPEB liability	14,502	15,091	-	-	14,502	15,091
Other liabilities	45,259	46,110	2,964	2,924	48,223	49,034
Total liabilities	\$ 135,503	\$ 131,987	\$ 24,109	\$ 25,154	\$ 159,612	\$ 157,141
Deferred Inflow s - Leases	951	1,278	891	1,062	1,842	2,341
Deferred Inflow s - OPEB	-	1,761	-	-	-	1,761
Deferred inflow s - Pensions	8,596	13,695	918	1,469	9,514	15,164
Total deferred inflow s	9,547	16,734	1,809	2,531	11,356	19,265
Total liabilities and deferred inflow s	\$ 145,050	\$ 148,721	\$ 25,918	\$ 27,685	\$ 170,968	\$ 176,406
Net Position						
Net investment in capital assets	\$ 699,975	\$ 508,182	\$ 392,358	\$ 388,165	\$ 1,092,333	\$ 896,347
Restricted	149,930	133,784	11,643	10,992	161,573	144,776
Unrestricted	128,028	135,138	167,094	144,649	295,122	279,787
	\$ 977,933	\$ 777,104	\$ 571,095	\$ 543,805	\$ 1,549,028	\$ 1,320,909

Changes in Net Position

The following is a condensed version of the Changes in Net Position for 2024 compared to 2023, detailing revenues, expenses, and other items, with governmental and business-type activities separately identified.

City of Redmond's Changes in Net Position (in thousands)

	Governmental Activities		Business-Type Activities		Total	
	2024	2023	2024	2023	2024	2023
Revenues:						
Program revenues:						
Charges for services	\$ 59,508	\$ 48,985	\$ 76,812	\$ 68,302	\$ 136,320	\$ 117,287
Operating grants and contributions	7,465	12,002	582	12,010	8,047	24,012
Capital grants and contributions	176,383	14,550	11,177	7,167	187,560	21,717
General revenues:						
Property taxes	32,004	31,197	-	-	32,004	31,197
Sales taxes	56,320	55,509	-	-	56,320	55,509
Other taxes	28,539	23,218	-	-	28,539	23,218
Investment interest	12,522	13,327	7,041	6,521	19,563	19,848
Miscellaneous	4,715	6,471	232	256	4,947	6,727
Total revenues	\$ 377,456	\$ 205,259	\$ 95,844	\$ 94,256	\$ 473,300	\$ 299,515
Expenses:						
General government	\$ 35,190	\$ 29,815	\$ -	\$ -	\$ 35,190	\$ 29,815
Public Safety	85,143	67,174	-	-	85,143	67,174
Economic environment	11,402	11,972	-	-	11,402	11,972
Transportation	22,863	19,894	-	-	22,863	19,894
Culture and recreation	17,874	16,079	-	-	17,874	16,079
Social Services	4,847	4,056	-	-	4,847	4,056
Interest on long term debt	2,735	2,154	-	-	2,735	2,154
Water/Wastewater	-	-	46,353	43,021	46,353	43,021
UPD Water/Wastewater	-	-	8,248	7,772	8,248	7,772
Stormwater	-	-	13,723	12,728	13,723	12,728
Total expenses	\$ 180,054	\$ 151,144	\$ 68,324	\$ 63,521	\$ 248,378	\$ 214,665
Increase/(Decrease) in net position						
Before special item and transfers	197,402	54,115	27,520	30,735	224,922	84,850
Gain(Loss) on disposal of capital assets	405	53	186	-	591	53
Transfers, internal activities	416	754	(416)	(754)	-	-
Increase (decrease in net position)	198,223	54,922	27,290	29,981	225,513	84,903
Net position - beginning	777,104	722,110	543,805	513,824	1,320,910	1,235,934
Accounting changes and error corrections	2,606	72	-	-	2,606	72
Net position - ending	\$ 977,933	\$ 777,104	\$ 571,095	\$ 543,805	\$ 1,549,029	\$ 1,320,909

Governmental Activities

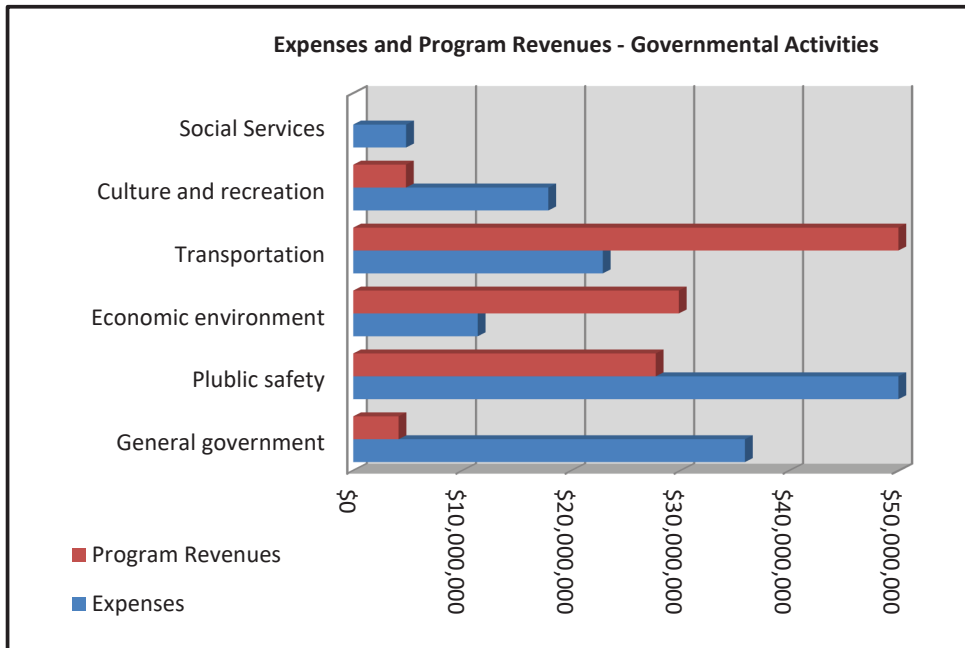
The net position for governmental activities increased by \$200.6 million (25.8%) in 2024. Key elements of the increase are as follows:

- Total assets and deferred outflows from governmental activities increased by \$197.2 million (21.3%) due to the following factors:
 - Cash and investments increased by \$14.9 million (.06%).
 - Total receivables increased by \$3.2 million (.12%) due to on-time payments.
 - Due from other governments decreased by \$3.4 million (28%) due to on-time collection.
 - Capital assets increased by \$178.4 million (12.2%), which reflects the addition of Redmond Technology Bridge and Overlake Village Station Pedestrian Bridge.
 - Net pension assets decreased \$7.3 million (20.1%), and deferred outflows for pensions increased \$8.5 million (28.4%). See Note 7 – Pensions for additional information.
- Total liabilities and deferred inflows from governmental activities decreased by \$.29 million (.2%) from 2023 to 2024. Primarily due to the following:
 - Due within one year, an increase of \$11 million (.8%) mainly due to an increase in compensated absence liability, including sick leave. Net pension liability (including total

pension liability for the firefighter pension plan) decreased by \$1.2 million (25.8%), and deferred inflows for pensions decreased by \$5.1 million (37.2%). Pension liabilities fluctuate annually due to changes in assumptions, investment returns, and other factors. See Note 7 – Pensions for additional information.

- Accounts/claims payable decreased by \$.9 million (.1%) due to timely payments.
- Total revenues increased by \$172.2 million (83.9%) from 2023 to 2024 due to the following:
 - Total tax revenues increased by \$7.0 million (27%). Key contributing factors are:
 - Property taxes increased by \$0.8 million, (2.6)%. While the total assessed value decreased by 5.3%, the tax rate per \$1,000 of assessed value increased by 11.0%.
 - Sales tax revenue increased by \$0.8 million (1.5%), driven by growth in the wholesale, accommodation, food services, and recreation sectors.
 - Other taxes increased by \$5.4 million (22.9%), primarily due to a \$4.1 million (84.3%) increase in Real Estate Excise Tax (REET), attributed to an increase in commercial property acquisitions near the end of 2024.
 - Program revenues increased by \$167.8 million (1095.9%), mainly due to the capital contribution of \$160.1 million in bridges. This includes the Redmond Technology Bridge (\$153.0 million) and the Overlake Village Station Pedestrian Bridge (\$6.6 million). Other contributors to the change in Program Revenues include:
 - Operating Grants and Contributions decreased by \$4.5 million (37.8%), primarily due to the American Rescue Plan Act (ARPA) revenue recognized in 2023 and a lesser amount in 2024 due to award timing.
 - Charges for services increased by \$10.5 million (21.5%), which includes:
 - An increase in the Economic Environment of \$8.0 million, or (37.8%), attributed to increased collection in commercial building permit fees and impact fees. The developer user fees increased in 2024 to bring the City closer to recovering the cost of service.
 - Public Safety revenue increased by \$2.3 million (9.7%), primarily due to increased reimbursements from King County for Advanced Life Support services.
- Total expenses increased by \$29 million (19.1%), primarily due to cost-of-living increases and increased materials and supplies costs.

The following graph compares 2024 program revenues to program expenses from the Statement of Activities. It illustrates the impact of various City functions on net position from operations before taxes for governmental activities.



Business-type Activities

Business-type activities account for 37.0% of the City's net position. Business-type activities of the utilities increased the net position by \$27.3 million (1.8%). Key elements of this increase are in the sections that follow.

Recognizing the financial difficulties that the recession caused by the COVID-19 pandemic placed on the community, no utility rate increases were implemented in 2021 or 2022. The City implemented rate increases for all utility services in 2023 and 2024.

Water/Wastewater Utility:

Water/Wastewater utility showed operating income of \$5.6 million, a 215% increase from 2023. Total revenues increased by \$7.1 million (15.9%), and expenditure increased by \$3.3 million (7.7%) from 2023 to 2024. The main contributing factors are as follows:

- In 2024, City water rates increased by 5%, and City wastewater rates increased by 3%. These increases, along with an 18% increase in consumption among commercial customers, contributed to a 15.6% increase in City rate revenue.
- King County (Metro) wastewater service operating revenue increased \$3.1 million (16.4%) due to a 5.76% rate increase to \$55.11 per month and growth. Rates are expected to increase by 5.75% in 2025.
- As a result of King County Metro's rate increase, the cost of wastewater treatment increased by \$1.2 million (6.7%).
- Purchased Water costs increased by \$0.7 million, or 7.0% as a result of rate increases implemented by Cascade Water Alliance.
- Capital Contributions decreased by \$3.3 million (29.2%)

Novelty Hill Water and Wastewater Utility:

Novelty Hill Water/Wastewater shows an operating income of \$1.3 million, a \$0.4 million increase from 2023. Overall revenues increased by \$0.9 million (10.6%), and expenses increased by \$0.5 million. The

main contributing factors are as follows:

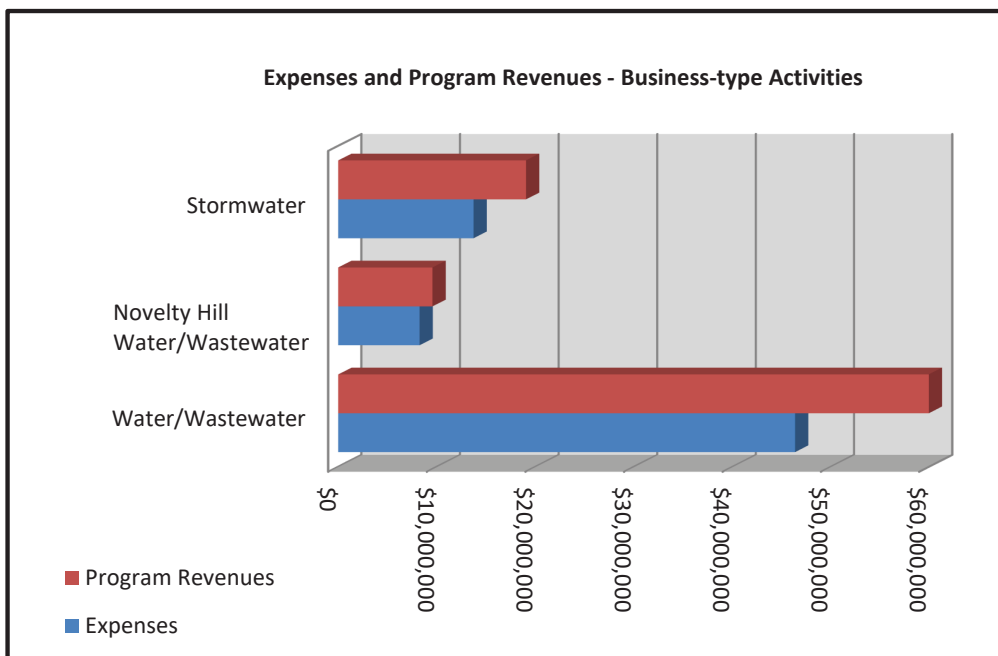
- In 2024, Novelty Hill water rates increased by 8%, and Novelty Hill wastewater rates increased by 6%. These increases contributed to an 8.8% increase in Novelty Hill rate revenue.
- As a result of King County Metro's rate increase, the cost of wastewater treatment increased by \$0.4 million (14.7%). Other operating expenses increased by \$0.2 million (34.4%), including salary and benefit increases, investments in the water and wastewater comprehensive plans, and the Novelty Hill Asset Management Plan.
- Capital Contributions decreased by \$0.2 million (100%).

Stormwater Utility:

Stormwater Utility reported operating income of \$1.9 million in 2024, down from \$2.5 million in 2023, a decrease of \$0.6 million (23.7%). Total operating revenues increased by \$0.5 million (3.1%) while operating expenditure increased by \$1.1 million (8.5%).

- In 2024, City stormwater rates increased by 1%, increasing rate revenue by 3.1%.
- The operating expenditure increase of 8.5% reflects the increase in salary and benefit costs due to cost-of-living adjustments and the inflationary increase in supplies and outside services.
- Capital Contributions decreased by \$0.4 million (12.5%).

The following graph compares program revenues to program expenses from the Statement of Activities and separately illustrates the revenues by source for the business-type activities in 2024.



General Fund Budgetary Highlights

The City of Redmond budgets on a biennial basis. In 2024, the Council approved several updates and adjustments to the adopted budget, including recognizing revenue and expenses related to grants, among others.

Here are some of the adjustments, which include but are not limited to:

- Solar Plus Energy Grant (\$120,000)
- Early Implementation Climate Planning Grant (\$66,100)
- National Opioid Settlements (\$371,958)

- Emergency Management Performance Grant (\$126,628)
- Greater Puget Sound Financial Fraud and Identity Theft Task Force Grant (\$124,748)
- National League of Cities Advancing Economic Mobility Grant (\$15,000)
- Puget Sound Regional Council – Safer Streets for All (SS4A) Action Plan Grant (\$160,000)
- Port of Seattle Grant (\$60,000)
- Department of Commerce Climate Planning Grant (\$200,000)

Total revenues increased by \$10.8 million (8.1%) in 2024.

- Sales and Use Tax revenues exceeded budget by \$5.7 million, driven by growth in the services, accommodation, food services, and information sectors.
- Utility Tax revenues surpassed budget by \$2.3 million, reflecting higher electricity and gas rates.
- Permit revenues exceeded budget by \$230,000. While the increase is modest, it reflects revised fees and new fees adopted under the City's full cost recovery policy.
- Interest earnings exceeded target by \$2.8 million (433%), primarily due to higher annual percentage yields (APY) on short-term investments.

Total expenditure in 2024 were under budget by \$1.5 million (0.9%), primarily due to the net effect of the following:

- Salaries and Benefits were \$2.3 million under budget, largely due to position vacancies across departments.
- Overtime Salaries exceeded budget by \$2.2 million, primarily to backfill vacancies created by recruit training, existing position vacancies, and employee attrition.
- Capital Expenditures were \$1.9 million over budget, reflecting the purchase of fire apparatus in 2024.
- Repairs and Maintenance expenditures were \$3.4 million below budget, primarily due to slower progress on capital projects, including but not limited to sidewalk repair and pavement projects.
- Professional Services expenditures were \$1.8 million (15.7%) below budget, driven by delays in several technology and capital initiatives, including the implementation of CIP management software and projects such as pavement management and the concrete program.

City of Redmond's Capital Assets (Net of Accumulated Depreciation)

The City of Redmond's investment in capital assets for its governmental and business-type activities (excluding investment in joint ventures) at the end of 2024 totaled \$1.2 billion (net of accumulated depreciation), showing an increase of \$189 million from 2023, mainly due to the addition of Redmond Technology Bridge and Overlake Village Station Pedestrian Bridge.

Capital asset investments include land, art, and construction in progress, which are not subject to depreciation. Other capital assets, such as buildings, improvements, machinery, equipment, and infrastructure, are subject to depreciation.

Governmental capital assets (net of accumulated depreciation) totaled \$754 million at the end of 2024, representing an increase of \$187 million from 2023. Business-type capital assets (net of accumulated depreciation) totaled \$410.4 million at the end of 2024, representing an increase of \$2 million from 2023. In addition to the effects of depreciation, these increases result from land acquisitions, building improvements, contributed capital, and construction in progress. More information on the City's Capital Assets can be found in Note 6 – Capital Assets in the notes to the financial statements.

City of Redmond's Capital Assets
(net of depreciation)
(in thousands)

	Governmental Activities		Business-Type Activities		Total	
	2024	2023	2024	2023	2024	2023
Land & Land Rights	\$ 184,185	\$ 176,805	\$ 25,805	\$ 25,802	\$ 209,990	\$ 202,607
Intangibles	-	-	1,125	1,125	1,125	\$ 1,125
Buildings/ Bldg.						
Improvements	164,357	71,904	39,750	26,044	204,107	\$ 97,948
Improvements other than Buildings	55,636	29,059	488,566	339,176	544,202	\$ 368,235
Machinery and Equipment	49,271	15,860	1,460	435	50,731	\$ 16,295
Construction in Progress	11,234	70,865	13,386	15,603	24,620	\$ 86,468
Infrastructure	521,900	195,191	-	-	521,900	\$ 195,191
Art	2,565	2,257	-	-	2,565	\$ 2,257
Leases & SBITA	8,131	5,354	245	220	8,376	5,574
Total	<u>\$ 997,279</u>	<u>\$ 567,295</u>	<u>\$ 570,337</u>	<u>\$408,405</u>	<u>\$ 1,567,616</u>	<u>\$ 975,700</u>

City of Redmond's Outstanding Debt

At the end of 2024, the City of Redmond had total outstanding bonds of \$63.9 million, which consisted of \$46.3 million in general obligation bonds and \$17.6 million in revenue bonds. In addition, the City had \$3.3 million in Public Works Trust Fund Loans, which constitute direct borrowings.

City of Redmond's Long-term Debt
(in thousands)

	Governmental Activities		Business-Type Activities		Total	
	2024	2023	2024	2023	2024	2023
General obligation bonds	\$ 43,025	\$ 47,145	\$ -	\$ -	\$ 43,025	\$ 47,145
G.O. bond premiums	2,566	3,670	-	-	2,566	\$ 3,670
Revenue bonds	-	-	14,965	16,310	14,965	\$ 16,310
Revenue bond issuance premiums	-	-	-	142	-	\$ 142
Public Works Trust Fund loans	661	756	2,672	2,891	3,334	\$ 3,647
Total	<u>\$ 46,252</u>	<u>\$ 51,571</u>	<u>\$ 17,637</u>	<u>\$ 19,343</u>	<u>\$ 63,890</u>	<u>\$ 70,914</u>

The City's outstanding general obligation bonds, which are reported under governmental activities, include the following. In 2013, the City issued \$33.1 million in limited tax general obligation refunding bonds with an interest rate of 1.75-5.00% to advance refund of \$32.8 million of outstanding 2004 Limited Tax General Obligation Lease Revenue Bonds for City Hall and the parking garage. The refunding resulted in deferred outflows of \$1.5 million. In 2015, the City issued \$9.3 million in limited tax general obligation refunding bonds with an interest rate of 3.00% to advance refund of \$8.9 million of outstanding 2008 Limited Tax General Obligation Bonds. The refunding resulted in deferred outflows of \$0.95 million. In 2016, the City issued \$11.6 million in limited tax general obligation refunding bonds with an interest rate of 2.0-5.0% to advance refund of \$11.7 million of outstanding 2008 Limited Tax General Obligation Bonds. The refunding resulted in deferred outflows of \$1.4 million. Additionally, the City issued \$6.0 million in limited tax general obligation bonds with interest rates ranging from 2.0% to 5.0% to finance the costs of transportation improvements. In 2021, the City issued \$18.9 million in limited tax general obligation refunding bonds with an interest rate of 0.24% to 2.40% to advance refund \$17.1 million of outstanding 2013 Limited Tax General Obligation Bonds. The refunding resulted in deferred outflows of \$0.96 million.

The City's outstanding revenue bonds, reported under business-type activities, are as follows. In 2014, the City issued \$23.0 million in stormwater revenue bonds with interest rates ranging from 3.26% to 4.25% to fund the construction and improvement of various pump stations, access chambers, regional facilities in the Overlake and Downtown areas, flow control, and water quality facilities. These bonds also financed stream and habitat restoration projects. In 2021, the City issued \$15.9 million in stormwater revenue refunding bonds with interest rates ranging from 0.25% to 2.34% to advance refund \$13.9 million of outstanding 2014 Stormwater Revenue Bonds. The refunding resulted in deferred outflows of \$0.22 million.

The City's outstanding debt includes a Public Works Trust Fund loan with a remaining balance of \$0.6 million at an interest rate of 0.25%, and a Washington State Department of Ecology loan for Stormwater Treatment Facility Improvements with a balance of \$2.7 million at an interest rate of 2.6%. Both loans were paid in full in 2025.

For further details related to the outstanding debt, please refer to note 11 – Long-term Obligations in the notes in the financial statements.

Economic Factors and Next Year's Budget

The Long-Range Financial Strategy (LRFS) is the framework the City of Redmond uses to make budget decisions over future budget cycles. It encourages a deeper understanding of service commitments to the community and a plan to meet those commitments in a sustainable and responsible manner. Such a strategy enables Redmond to focus on realizing its vision of a future as a connected community that enhances livability and sustains the environment, thereby positioning Redmond as a leader both locally, regionally, and nationally. Through innovation and efficiencies, the City continues to provide quality services that meet or exceed the expectations of our community members. Strong financial stewardship, as evidenced by the City's AAA bond rating, and quality customer service are hallmarks of Redmond city government.

In 2024, total revenues exceeded the budget by \$10.8 million (8.1%) due to stronger-than-expected economic activity. The increase was primarily driven by higher sales and utility tax collections, as well as notable gains in investment earnings resulting from increased short-term yields.

In 2024, the City's regular levy rate is \$0.86501 per \$1,000 on an assessed value of \$37,316,530,804, resulting in a total regular levy of \$32,279,011. This reflects a 1.00% increase, or \$316,427, from 2023.

Sales tax revenue exceeded projections by 13.3%, or \$5.7 million, mainly due to growth in the services, accommodation, food services, and information sectors. Utility tax revenue was 23.3%, or \$2.4 million, above the target, reflecting higher electricity and gas rates. Additionally, interest on investments surpassed the target by \$2.8 million (433.2%), primarily because of elevated federal interest rates, which led to higher returns on short-term investments.

Total expenditures in 2024 were \$1.5 million (0.9%) below budget. This result reflects the combined impact of position vacancies that lowered salary and benefit costs, slower progress on select capital and technology projects, and reduced spending on professional services. These savings were partly offset by higher overtime expenses to cover vacancies and attrition, as well as the purchase of fire apparatus. In 2024, the City Council approved the formation of a Transportation Benefit District (TBD) by implementing a 0.1% sales tax, effective in 2024, to support transportation projects. This fee will generate \$27.5 million in funding for transportation-related projects in the 2024-2028 General Government Capital Improvement Program.

In the 2025-2026 biennial budget, the development and updates of key plans—including the 2050 Redmond Comprehensive Plan, the Community Strategic Plan, the Environmental Sustainability Action Plan, the Housing Action Plan, and the REDI (Respect, Equity, Diversity, and Inclusion)—have established a clear path toward achieving the City's vision. When combined with sound fiscal policies, ongoing pandemic recovery, and economic growth, these efforts have created positive conditions that allow the City to address ongoing funding gaps, invest in community-informed programs, and advance priority initiatives.

The City's infrastructure investments are strengthening Redmond's three main growth centers—Downtown, Overlake, and Marymoor Village—while preserving the character of surrounding neighborhoods. Redmond's Light Rail 2-Line opened to Overlake in April 2024 and extended to Downtown and Marymoor Village in May 2025, providing faster regional connections and stimulating new economic activity. The stations are expected to boost the local economy by increasing customer traffic, raising property values,

and expanding the tax base, while transit-oriented development brings new housing, retail, and office projects to Downtown and Marymoor. Overlake continues its transformation into a lively urban center, with Microsoft's campus refresh nearing completion by mid-2026 and major infrastructure upgrades like the 1,100-foot pedestrian bridge over SR 520 and regional stormwater vaults already in place. Downtown has also experienced rapid growth, with thousands of new housing units, the Downtown Park, and significant transportation investments, supported by updated planning efforts on zoning, parking, and design standards to ensure long-term livability.

In 2024, Redmond advanced major capital and community projects to support its growth. The new Redmond Senior & Community Center opened in May, while the Redmond Technology Station pedestrian bridge and the Overlake Village light rail station, along with its pedestrian bridge, both opened in April. Work also progressed on multimodal projects such as the 40th Street Shared Use Path, 152nd Avenue corridor improvements, and 156th Avenue cycle track, along with upgrades at the Maintenance and Operations Center and enhancements to Redmond Way and East Lake Sammamish Parkway. The City also adopted updated Capital Facilities Plans and began implementing a Facilities Strategic Management Plan to guide long-term building maintenance and investments.

The City's ongoing investment in technology infrastructure outlines a short- and mid-term plan for implementing technology that fully supports the City's strategic goals. In 2025-2026, as the City approaches the completion of the initial implementation phase for both the Finance and Human Resource system replacement projects, the TIS department can plan and allocate resources to vital new technology initiatives across the City. The total investment for technology projects is approximately \$9.6 million, funding several major initiatives, including but not limited to the Capital Investment Portfolio Management Tool, D365 Financial Tool implementation, Police drone program, Human Resources Workforce Management tool (phase 2), Development Services Energov Update, and Council Chamber Audio/Visual Program.

Looking ahead, Redmond is preparing for ongoing growth by implementing the recently adopted Redmond 2050 Comprehensive Plan, which provides the long-term framework for housing, transportation, land use, sustainability, and economic development through the middle of the century. As part of this effort, the City will update its Capital Facilities Plans in 2025–2026, including the six-year Capital Facilities Plan (2025–2030) and the long-range Capital Facilities Plan 2050, General Government, which will guide investments in public safety, parks, utilities, operations, and public facilities. These plans, along with the continued expansion of multi-family housing and the completion of the Downtown Redmond light rail extension, are expected to strengthen the City's tax base, attract new businesses, and make sure infrastructure and services keep up with the needs of a growing urban community.

Requests for Information

This financial report is designed to provide a general overview of the City of Redmond's finances for readers interested in the city's financial activities. Questions concerning any information provided in this report or requests for additional information may be addressed to the Director of Finance, City of Redmond, PO Box 97010, Redmond, WA 98073-9710.

CITY OF REDMOND
STATEMENT OF NET POSITION
DECEMBER 31, 2024

	Governmental Activities	Business-Type Activities	Total
ASSETS			
Cash and cash equivalents	\$ 129,931,420	\$ 80,428,355	\$ 210,359,775
Cash with outside agency	3,662,302	-	3,662,302
Investments (Note 3)	132,371,147	79,699,357	212,070,504
Receivables:			
Taxes	12,455,960	-	12,455,960
Accounts	4,001,338	10,930,099	14,931,437
Lease	258,132	128,632	386,764
Interest	886,918	556,511	1,443,429
Opioid settlement	2,063,153	-	2,063,153
Due from other governments	8,073,979	778,053	8,852,032
Inventory	48,108	239,508	287,616
Prepayments	4,203,455	-	4,203,455
Restricted assets:			
Deposit cash	1,663,380	57,973	1,721,353
Deposit investments	7,705,239	-	7,705,239
Revenue bond reserve	-	1,999,954	1,999,954
Rate stabilization fund	-	5,807,077	5,807,077
Total current assets	<u>307,324,531</u>	<u>180,625,519</u>	<u>487,950,050</u>
Noncurrent assets:			
Lease receivable	743,171	792,448	1,535,619
Loans receivable	719,400	-	719,400
Net pension asset	26,210,243	2,011,897	28,222,140
Advance on service contract	-	4,212	4,212
Capital assets (Note 6):			
Right-to-use lease assets, net	2,847,282	244,726	3,092,008
Right-to-use SBITA assets, net	1,752,547	-	1,752,547
Land, artwork, construction in progress	197,983,978	40,316,043	238,300,021
Depreciable capital assets, net	550,506,393	369,836,957	920,343,350
Total noncurrent assets	<u>780,763,014</u>	<u>413,206,283</u>	<u>1,193,969,297</u>
Total assets	<u>1,088,087,545</u>	<u>593,831,802</u>	<u>1,681,919,347</u>
DEFERRED OUTFLOWS OF RESOURCES			
Debt refunding	1,028,902	166,169	1,195,071
Pensions	33,465,467	2,785,968	36,251,435
OPEB	377,171	-	377,171
Asset retirement obligation	24,185	229,966	254,151
Total deferred outflows of resources	<u>34,895,725</u>	<u>3,182,103</u>	<u>38,077,828</u>
Total assets and deferred outflows of resources	<u>1,122,983,270</u>	<u>597,013,905</u>	<u>1,719,997,175</u>

CITY OF REDMOND
STATEMENT OF NET POSITION
DECEMBER 31, 2024

	Governmental Activities	Business-Type Activities	Total
LIABILITIES			
Payables:			
Accounts/claims	7,966,113	196,432	8,162,545
Retainage payable	1,167,166	86,287	1,253,453
Employee wages	4,522,160	510,144	5,032,304
Interest	242,876	22,717	265,593
Due to other governments	1,481,795	2,091,608	3,573,403
Unearned revenues	22,209,858	-	22,209,858
Customer deposits	7,669,041	57,973	7,727,014
Total current liabilities	<u>45,259,009</u>	<u>2,965,161</u>	<u>48,224,170</u>
Noncurrent liabilities (Note 11):			
Due within one year	22,249,048	3,127,673	25,376,721
Due in more than one year	67,994,494	18,016,150	86,010,644
Total noncurrent liabilities	<u>90,243,542</u>	<u>21,143,823</u>	<u>111,387,365</u>
Total liabilities	<u>135,502,551</u>	<u>24,108,984</u>	<u>159,611,535</u>
DEFERRED INFLOWS OF RESOURCES			
Leases	951,471	890,768	1,842,239
Pensions	8,595,797	918,468	9,514,265
Total deferred inflows of resources	<u>9,547,268</u>	<u>1,809,236</u>	<u>11,356,504</u>
Total liabilities and deferred inflows of resources	<u>145,049,819</u>	<u>25,918,220</u>	<u>170,968,039</u>
NET POSITION			
Net investment in capital assets (Note 6)	699,975,034	392,358,315	1,092,333,349
Restricted for:			
Net pension asset	51,002,232	3,836,262	54,838,494
Public safety	1,322,764	-	1,322,764
Opioid settlement	688,147	-	688,147
Cable access	6,987	-	6,987
Parks	995,997	-	995,997
Debt service	427,624	1,999,954	2,427,578
Capital projects	34,304,901	-	34,304,901
Impact fees	53,762,760	-	53,762,760
General governmental maintenance	81,888	-	81,888
Tourism	1,379,121	-	1,379,121
Planning-transportation	999,327	-	999,327
Recycling	1,535,709	-	1,535,709
Rate stabilization fund	-	5,807,077	5,807,077
Transportation Benefit District	3,422,250	-	3,422,250
Unrestricted	128,028,710	167,094,075	295,122,785
Total Net Position	<u>\$ 977,933,451</u>	<u>\$ 571,095,683</u>	<u>\$ 1,549,029,134</u>

The notes to the financial statements are an integral part of this statement.

CITY OF REDMOND
STATEMENT OF ACTIVITIES
For the Year Ended December 31, 2024

Function/Program	Program Revenues				Net (Expense) Revenue and Changes in Net Position		
	Expenses	Charges for Services	Operating Grants and Contributions	Capital Grants and Contributions	Governmental Activities	Business-Type Activities	Total
Governmental activities:							
General government	\$ 35,190,150	\$ 793,641	\$ 3,357,788	\$ -	\$ (31,038,721)	\$ -	\$ (31,038,721)
Public safety	85,142,900	25,510,897	1,986,107	223,525	(57,422,371)	-	(57,422,371)
Transportation	22,861,840	675,372	1,512,123	174,627,133	153,952,786	-	153,952,786
Economic environment	11,402,325	29,258,608	365,328	216,757	18,438,369	-	18,438,369
Culture and recreation	17,875,464	3,269,828	244,017	1,315,655	(13,045,963)	-	(13,045,963)
Social services	4,846,510	-	-	-	(4,846,510)	-	(4,846,510)
Interest on long-term debt	2,735,053	-	-	-	(2,735,053)	-	(2,735,053)
Total governmental activities	180,054,242	59,508,346	7,465,363	176,383,070	63,302,534	-	63,302,534
Business-type activities							
Water/Wastewater	46,352,647	51,912,578	121,246	7,933,672	-	13,614,849	13,614,849
Novelty Hill Water/Wastewater	8,247,818	9,556,454	-	-	-	1,308,636	1,308,636
Stormwater	13,722,509	15,342,773	460,407	3,243,064	-	5,323,735	5,323,735
Total business-type activities	68,322,974	76,811,805	581,653	11,176,736	-	20,247,221	20,247,221
Total government	\$ 248,377,216	\$ 136,320,151	\$ 8,047,016	\$ 187,559,806	63,302,534	20,247,221	83,549,756
General revenues:							
Taxes							
Property					32,003,919	-	32,003,919
Sales					56,319,774	-	56,319,774
Business and occupation					12,580,605	-	12,580,605
Excise					25,904	-	25,904
Other tax					15,932,243	-	15,932,243
Investment income					12,522,369	7,041,433	19,563,802
Miscellaneous					4,714,751	231,985	4,946,736
Gain on disposal of capital assets					404,491	186,250	590,741
Transfers, internal activities					416,311	(416,311)	-
Total general revenues					134,920,367	7,043,357	141,963,723
Change in net position					198,222,901	27,290,578	225,513,479
Net position-beginning					777,104,417	543,805,106	1,320,909,523
Accounting changes and error corrections (Note 20)					2,606,132	-	2,606,132
Net position-ending					\$ 977,933,451	\$ 571,095,683	\$ 1,549,029,134

The notes to the financial statements are an integral part of this statement.

CITY OF REDMOND
BALANCE SHEET
GOVERNMENTAL FUNDS
December 31, 2024

	General Fund	Capital Improvements Program Fund	Other Governmental Funds	Governmental Funds Total
ASSETS				
Cash and cash equivalents	\$ 53,026,994	\$ 45,783,053	\$ 20,375,054	\$ 119,185,101
Cash with outside agency	3,662,302	-	-	3,662,302
Investments	52,718,672	49,703,657	18,619,738	121,042,067
Receivables:				
Taxes	9,366,104	-	3,089,856	12,455,960
Accounts	2,420,844	154,848	1,341,296	3,916,988
Interest	383,608	300,761	134,457	818,826
Leases	853,877	-	147,426	1,001,303
Opioid settlement	2,063,153	-	-	2,063,153
Due from other funds	2,942,887	-	-	2,942,887
Due from other governments	1,874,719	2,964,825	3,234,435	8,073,979
Prepayments	1,928,509	-	-	1,928,509
Loan receivable	719,400	-	-	719,400
Restricted assets:				
Deposit investments	4,407,851	337,062	2,960,326	7,705,239
Cash	674,402	988,978	-	1,663,380
Total assets	<u>\$ 137,043,322</u>	<u>\$ 100,233,184</u>	<u>\$ 49,902,588</u>	<u>\$ 287,179,094</u>

LIABILITIES, DEFERRED INFLOWS AND FUND BALANCES

Liabilities:				
Accounts/claims payable	\$ 2,644,607	\$ 1,676,566	\$ 510,648	\$ 4,831,821
Retainage payable	107,809	1,020,872	4,534	1,133,215
Employee wages payable	3,701,143	26,044	507,753	4,234,940
Due to other funds	218,917	-	2,326,351	2,545,268
Due to other governments	1,315,669	554	95,401	1,411,624
Payable from restricted assets:				
Deposits payable	4,371,653	337,062	2,960,326	7,669,041
Unearned revenues	8,150,449	13,624,705	434,704	22,209,858
Total liabilities	<u>20,510,247</u>	<u>16,685,803</u>	<u>6,839,717</u>	<u>44,035,767</u>

Deferred Inflows of resources:				
Unavailable revenues	1,296,942	1,494,650	2,240,603	5,032,195
King County property taxes	228,601	-	-	228,601
Leases	795,199	-	156,272	951,471
Opioid settlement	2,063,153	-	-	2,063,153
Total deferred inflows	<u>4,383,895</u>	<u>1,494,650</u>	<u>2,396,875</u>	<u>8,275,420</u>

Fund balances: (Note 4)				
Non-spendable	1,928,509	-	652	1,929,161
Restricted	3,378,135	64,132,835	31,416,505	98,927,475
Committed	3,993,019	-	9,693,635	13,686,654
Assigned	54,033,077	17,919,896	-	71,952,973
Unassigned	48,816,440	-	(444,796)	48,371,644
Total fund balances	<u>112,149,180</u>	<u>82,052,731</u>	<u>40,665,996</u>	<u>234,867,907</u>
Total liabilities, deferred Inflows, and fund balances	<u>\$ 137,043,322</u>	<u>\$ 100,233,184</u>	<u>\$ 49,902,588</u>	

Amounts reported for governmental activities in the Statement of Net Position are different because:

Capital assets used in governmental activities are not financial resources and therefore not reported in the funds. \$ 735,757,799

Internal service funds are used by management to charge the costs of certain activities, such as insurance, information services, and fleet maintenance to individual funds. The assets and liabilities of these internal service funds are included in governmental activities in the Statement of Net Position. 37,137,527

Some liabilities, including bonds, loans, and compensated absences payable, are not due and payable in the current period and therefore are not reported in the funds. (Note 2) (66,916,808)

The net pension asset, net pension liability, total pension liability for firefighters' pension plan, and deferred inflows and deferred outflows, and asset retirement obligation are reported in the government-wide statement of net position but not in the governmental balance sheet. (Note 2) 29,763,076

Unavailable revenues are susceptible to full accrual in the government-wide statements, but are reported as deferred inflows in the governmental funds. 7,323,950

Net position of governmental activities \$ 977,933,451

The notes to the financial statements are an integral part of this statement.

CITY OF REDMOND
STATEMENT OF REVENUES, EXPENDITURES
AND CHANGES IN FUND BALANCES
GOVERNMENTAL FUNDS
FOR THE YEAR ENDED DECEMBER 31, 2024

	General Fund	Capital Improvements Program Fund	Other Governmental Funds	Total Governmental Funds
REVENUES				
Taxes	\$ 100,126,077	\$ -	\$ 16,796,426	\$ 116,922,503
Licenses and permits	14,844,220	-	3,083,737	17,927,957
Contributions	280,856	3,400	29,543	313,799
Intergovernmental	6,677,404	6,150,265	580,999	13,408,668
Charges for services	19,235,355	7,776,848	15,404,512	42,416,715
Fines and forfeitures	311,881	-	60	311,941
Investment income	4,191,075	4,288,018	1,883,381	10,362,474
Miscellaneous	3,634,975	20,762	557,145	4,212,882
Total revenues	<u>149,301,843</u>	<u>18,239,293</u>	<u>38,335,803</u>	<u>205,876,939</u>
EXPENDITURES				
Current:				
General government	30,944,687	1,125	14,943	30,960,755
Public safety	66,240,230	-	12,042,750	78,282,980
Transportation	13,319,154	-	1,759,729	15,078,883
Economic environment	8,206,308	-	3,894,693	12,101,001
Culture and recreation	13,733,924	-	2,526,810	16,260,734
Social services	4,365,676	-	315,875	4,681,551
Capital outlay	2,599,640	20,216,035	327,464	23,143,139
Debt service:				
Principal	643,167	-	4,170,142	4,813,309
Interest and debt issuance costs	196,607	-	1,576,691	1,773,298
Total expenditures	<u>140,249,393</u>	<u>20,217,160</u>	<u>26,629,097</u>	<u>187,095,650</u>
Excess (deficiency) of revenues				
Over (under) expenditures	<u>9,052,450</u>	<u>(1,977,867)</u>	<u>11,706,706</u>	<u>18,781,289</u>
OTHER FINANCING SOURCES (USES)				
Disposition of capital assets	4,500	-	1,400	5,900
Transfers in (Note 10)	10,397,474	12,721,921	4,060,950	27,180,345
Transfers out (Note 10)	(8,243,648)	(9,604,207)	(10,099,216)	(27,947,071)
Total other financing sources and uses	<u>2,158,326</u>	<u>3,117,714</u>	<u>(6,036,866)</u>	<u>(760,826)</u>
Net change in fund balances	<u>11,210,776</u>	<u>1,139,847</u>	<u>5,669,840</u>	<u>18,020,463</u>
Fund balances-beginning	100,649,941	80,912,884	34,996,156	216,558,981
Accounting changes and error corrections (Note 20)	288,463	-	-	288,463
Fund balances-ending	<u>\$ 112,149,180</u>	<u>\$ 82,052,731</u>	<u>\$ 40,665,996</u>	<u>\$ 234,867,907</u>

The notes to the financial statements are an integral part of this statement.

RECONCILIATION OF THE STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES
IN FUND BALANCES OF GOVERNMENTAL FUNDS TO THE STATEMENT OF ACTIVITIES
FOR THE YEAR ENDED DECEMBER 31, 2024

Amounts reported for governmental funds in the statement of activities are different because:

Net change in fund balances-total governmental funds.	\$ 18,020,463
Governmental funds report capital outlays as expenditures. However in the Statement of Activities the cost of those assets is allocated over their estimated useful lives and reported as depreciation expense. This is the amount by which capital outlays of \$23,143,139 and exceeds depreciation expense of \$11,947,506 and disposals of \$71,875 in the current period.	10,442,893
Revenues in the Statement of Activities, including capital contributions that do not provide current financial resources are not reported as revenues in the funds. (Note 2)	167,725,742
Repayment of long-term debt is an expenditure in the governmental funds, yet the repayment reduces long-term liabilities in the statement of net position. Governmental funds report the effect of premiums, discounts, and similar items when debt is first issued, whereas these amounts are deferred and amortized in the government-wide statement of activities:	4,956,362
Internal service funds are used by management to charge the costs of certain activities, such as insurance, information services, and fleet maintenance, to individual funds. The net revenue (expense) of all internal service funds is reported with governmental activities.	1,295,888
Some expenses reported in the Statement of Activities do not require the use of current financial resources and therefore are not reported as expenditures in governmental funds. (Note 2)	(10,433,641)
Pension expenses reported in the governmental fund statements are not reported as expenditures in the statement of activities.	<u>6,215,191</u>
Change in net position of governmental activities.	<u>\$ 198,222,898</u>

The notes to the financial statements are an integral part of this statement.

CITY OF REDMOND
STATEMENT OF NET POSITION
PROPRIETARY FUNDS
December 31, 2024

Page 1 of 2

	Business-type Activities				Governmental Activities Internal Service Funds
	Enterprise Funds			Totals	
	Water/ Wastewater	Novelty Hill Water/ Wastewater	Stormwater Management		
ASSETS					
Current assets:					
Cash and cash equivalents	\$ 29,132,740	\$ 19,384,596	\$ 31,911,019	\$ 80,428,355	\$ 10,746,319
Investments	27,694,316	19,298,549	32,706,492	79,699,357	11,329,080
Accounts and contracts receivable	7,755,818	1,833,714	1,340,567	10,930,099	84,350
Lease receivable	49,562	79,070	-	128,632	-
Interest receivable	202,134	145,780	208,597	556,511	68,092
Due from other Governments	174,335	-	603,718	778,053	-
Inventory	239,508	-	-	239,508	48,108
Prepaid insurance	-	-	-	-	2,274,946
Restricted assets:					
Cash and cash equivalents	15,873	32,000	10,100	57,973	-
Revenue Bond Reserve:					
Investments	-	-	1,999,954	1,999,954	-
Rate stabilization fund:					
Investments	3,877,811	1,929,266	-	5,807,077	-
Total current assets	69,142,097	42,702,975	68,780,447	180,625,519	24,550,895
Noncurrent assets:					
Lease receivable, non-current	279,856	512,592	-	792,448	-
pension asset	1,210,981	-	800,916	2,011,897	1,089,307
Advance on service contract (Note 1)	3,341	871	-	4,212	-
Capital assets:					
Land and land rights	3,241,751	3,274,106	19,289,419	25,805,276	584,292
Buildings	27,042,564	11,031,564	1,676,202	39,750,330	715,786
Improvements other than buildings	247,534,559	66,782,412	174,249,299	488,566,270	356,198
Intangible Assets	1,124,883	-	-	1,124,883	-
Equipment	745,727	267,674	447,024	1,460,425	23,189,502
Construction in progress	5,488,355	954,426	6,943,103	13,385,884	2,567,896
Right to use leased assets	51,961	182,283	10,482	244,726	-
Right to use SBITA assets	-	-	-	-	3,343,662
Less accumulated depreciation	(90,793,990)	(27,853,376)	(41,292,702)	(159,940,068)	(13,424,936)
Total capital assets (net of depreciation)	194,435,810	54,639,089	161,322,827	410,397,726	17,332,400
Total noncurrent assets	195,929,988	55,152,552	162,123,743	413,206,283	18,421,707
Total assets	265,072,085	97,855,527	230,904,190	593,831,802	42,972,602
Deferred outflow of resources:					
Pensions	1,464,472	159	1,321,337	2,785,968	1,641,568
Asset retirement obligations	229,966	-	-	229,966	-
Refunding bonds	-	-	166,169	166,169	-
Total deferred outflows of resources	1,694,438	159	1,487,506	3,182,103	1,641,568
Total assets and deferred outflows of resources	\$ 266,766,523	\$ 97,855,686	\$ 232,391,696	\$ 597,013,905	\$ 44,614,170

The notes to the financial statements are an integral part of this statement.

CITY OF REDMOND
STATEMENT OF NET POSITION
PROPRIETARY FUNDS
December 31, 2024

Page 2 of 2

	Business-type Activities				Governmental Activities
	Enterprise Funds		Internal Service Funds		
	Water/ Wastewater	Novelty Hill Water/ Wastewater	Stormwater Management	Totals	
LIABILITIES					
Current liabilities:					
Accounts payable	\$ -	\$ -	\$ 196,432	\$ 196,432	\$ 3,134,292
Retainage payable	42,258	19,838	24,191	86,287	33,951
Employee wages payable	299,820	801	209,523	510,144	287,220
Compensated absences	858,814	38	613,285	1,472,137	1,282,410
Due to other governments	1,740,625	245,776	105,207	2,091,608	70,171
Due to other funds	-	-	-	-	397,620
Lease payable	6,662	15,125	2,572	24,359	-
SBITA payable	-	-	-	-	780,033
Asset retirement obligations	6,888	-	-	6,888	-
Current portion of loans payable	-	-	224,289	224,289	-
Current portion of revenue bonds payable	-	-	1,400,000	1,400,000	-
Accrued interest payable	133	386	22,198	22,717	103,068
Current liabilities payable from restricted assets:					
Customer deposits payable	15,873	32,000	10,100	57,973	-
Total current liabilities	2,971,073	313,964	2,807,797	6,092,834	6,088,765
Noncurrent liabilities:					
Revenue bonds payable, net	-	-	13,565,000	13,565,000	-
Loans payable	-	-	2,448,148	2,448,148	-
Compensated absences	214,704	10	153,321	368,035	320,602
Lease payable	30,226	115,596	4,674	150,496	-
SBITA payable	-	-	-	-	757,604
Asset retirement obligations	521,516	-	-	521,516	-
Net pension liability	181,696	1,297	779,962	962,955	36,012
Total noncurrent liabilities	948,142	116,903	16,951,105	18,016,150	1,114,218
Total liabilities	3,919,215	430,867	19,758,902	24,108,984	7,202,983
Deferred inflow of resources:					
Pensions	644,676	198	273,594	918,468	273,661
Lease	334,148	556,620	-	890,768	-
Total deferred inflows of resources	978,824	556,818	273,594	1,809,236	273,661
Total liabilities and deferred inflows of resources	4,898,039	987,685	20,032,496	25,918,220	7,476,644
NET POSITION					
Net investment in capital assets	194,191,326	54,482,396	143,684,593	392,358,315	14,345,630
Restricted for net pension asset	2,039,640	-	1,796,622	3,836,262	2,639,244
Restricted for debt service	-	-	1,999,954	1,999,954	-
Restricted for rate stabilization	3,877,811	1,929,266	-	5,807,077	-
Unrestricted	61,759,708	40,456,338	64,878,029	167,094,075	20,152,653
Total net position	\$ 261,868,485	\$ 96,868,000	\$ 212,359,198	\$ 571,095,683	\$ 37,137,527

The notes to the financial statements are an integral part of this statement

CITY OF REDMOND
STATEMENT OF REVENUES, EXPENSES, AND CHANGES IN FUND NET POSITION
PROPRIETARY FUNDS
For the Year Ended December 31, 2024

	Water/ Wastewater	Novelty Hill Water/ Wastewater	Enterprise Funds Stormwater Management	Totals	Governmental Activities- Internal Service Funds
Operating revenues:					
Charges for services	\$ 30,074,989	\$ 6,553,948	\$ 15,342,773	\$ 51,971,710	\$ 30,895,492
Metro service	21,837,589	3,002,506	-	24,840,095	-
Charges for replacement	-	-	-	-	1,710,579
Charges for insurance	-	-	-	-	2,650,823
Total operating revenues	<u>51,912,578</u>	<u>9,556,454</u>	<u>15,342,773</u>	<u>76,811,805</u>	<u>35,256,894</u>
Operating expenses:					
Administrative and general	4,478,964	817,141	6,264,959	11,561,064	-
Purchased water	9,959,167	1,385,196	-	11,344,363	-
Metro service	19,213,322	2,813,109	-	22,026,431	-
Supplies	-	-	-	-	852,876
Maintenance and operations	6,525,550	1,513,678	3,917,752	11,956,980	35,033,400
Taxes	1,020,331	216,808	258,417	1,495,556	-
Depreciation and amortization	5,152,490	1,491,815	3,014,752	9,659,057	2,299,670
Total operating expenses	<u>46,349,824</u>	<u>8,237,747</u>	<u>13,455,880</u>	<u>68,043,451</u>	<u>38,185,946</u>
Operating income (loss)	<u>5,562,754</u>	<u>1,318,707</u>	<u>1,886,893</u>	<u>8,768,354</u>	<u>(2,929,052)</u>
Nonoperating revenues (expenses):					
Interest and investment revenue	2,409,196	1,746,817	2,885,418	7,041,431	1,055,753
Grant income	121,246	-	460,407	581,653	318,168
Interest expense	(2,823)	(10,071)	(266,629)	(279,523)	(107,701)
Gain (Loss) on disposal of capital assets	93,125	-	93,125	186,250	400,092
Insurance recovery	-	-	-	-	538,461
Lease and other revenue	142,761	86,355	2,871	231,987	837,130
Total nonoperating revenues (expenses)	<u>2,763,505</u>	<u>1,823,101</u>	<u>3,175,192</u>	<u>7,761,798</u>	<u>3,041,903</u>
Income before contributions and transfers	<u>8,326,259</u>	<u>3,141,808</u>	<u>5,062,085</u>	<u>16,530,152</u>	<u>112,851</u>
Capital contributions and grants	7,933,672	-	3,243,064	11,176,736	-
Transfers in	-	-	36,297	36,297	1,183,037
Transfers out	(82,373)	(19,081)	(351,154)	(452,608)	-
Change in net position	<u>16,177,558</u>	<u>3,122,727</u>	<u>7,990,292</u>	<u>27,290,577</u>	<u>1,295,888</u>
Total net position - beginning	<u>245,690,927</u>	<u>93,745,273</u>	<u>204,368,906</u>	<u>543,805,106</u>	<u>35,841,639</u>
Total net position - ending	<u>\$ 261,868,485</u>	<u>\$ 96,868,000</u>	<u>\$ 212,359,198</u>	<u>\$ 571,095,683</u>	<u>\$ 37,137,527</u>

The notes to the financial statements are an integral part of this statement.

CITY OF REDMOND
STATEMENT OF CASH FLOWS
PROPRIETARY FUNDS

For the Year Ended December 31, 2024

	Business-type Activities- Enterprise Funds				Totals	Governmental Activities- Internal Service Funds
	Water/ Wastewater	Novelty Hill Water/ Wastewater	Stormwater Management			
CASH FLOWS FROM OPERATING ACTIVITIES						
Cash received from customers	\$ 48,609,225	\$ 8,843,122	\$ 15,243,536	\$	72,695,883	\$ 33,467,238
Cash received for replacement	-	-	-	-	-	1,710,579
Cash from other sources	-	-	-	-	-	2,917
Contributions from employers and employees	-	651	-	651	-	-
Cash payments to suppliers	(31,544,204)	(4,544,840)	(1,934,883)	(38,023,927)	(9,969,749)	(9,969,749)
Cash payments to employees	(6,404,982)	-	(5,143,072)	(11,548,054)	(25,541,495)	(25,541,495)
Taxes payments to other governments	(984,955)	(197,487)	(277,847)	(1,460,289)	(17,710)	(17,710)
Payments for interfund services	(2,169,652)	(2,008,510)	(3,198,090)	(7,376,252)	(1,254,358)	(1,254,358)
Other operating receipts	127,355	114,024	2,871	244,250	1,375,589	1,375,589
Net cash provided (used) by operating activities	<u>7,632,787</u>	<u>2,206,960</u>	<u>4,692,515</u>	<u>14,532,262</u>	<u>(226,989)</u>	<u>(226,989)</u>
CASH FLOWS FROM NONCAPITAL FINANCING ACTIVITIES						
Transfers in/transfers out	(82,373)	(19,081)	(314,857)	(416,311)	1,183,037	1,183,037
Grant proceeds	65,727	-	478,817	544,545	318,168	318,168
Net cash provided by noncapital financing activities	<u>(16,646)</u>	<u>(19,081)</u>	<u>163,960</u>	<u>128,234</u>	<u>1,501,205</u>	<u>1,501,205</u>
CASH FLOWS FROM CAPITAL AND RELATED FINANCING ACTIVITIES						
Acquisition and construction of capital assets	(4,198,492)	(72,774)	(1,268,989)	(5,540,256)	(4,017,737)	(4,017,737)
Proceeds from sale of other assets	93,125	-	93,125	186,250	-	-
Capital contributions	4,086,422	-	625,815	4,712,237	-	-
Grant Proceeds	-	-	300,764	300,764	-	-
Interest paid on other debt	-	-	(74,155)	(74,155)	-	-
Principal paid on other debt	-	-	(218,539)	(218,539)	-	-
Interest paid on revenue bonds	-	-	(320,948)	(320,948)	-	-
Principal paid on revenue bonds	-	-	(1,345,000)	(1,345,000)	-	-
Net cash provided (used) for capital and related financing activities	<u>(18,945)</u>	<u>(72,774)</u>	<u>(2,207,927)</u>	<u>(2,299,647)</u>	<u>(4,017,737)</u>	<u>(4,017,737)</u>
CASH FLOWS FROM INVESTING ACTIVITIES						
Investment purchases	(5,365,185)	(1,546,318)	(1,852,479)	(8,763,981)	(1,792,473)	(1,792,473)
Investment sales/maturities	1,500,960	432,597	518,248	2,451,805	3,455,877	3,455,877
Interest on investments	1,986,747	1,408,371	2,395,129	5,790,247	858,731	858,731
Net cash provided (used) in investing activities	<u>(1,877,478)</u>	<u>294,650</u>	<u>1,060,898</u>	<u>(521,929)</u>	<u>2,522,135</u>	<u>2,522,135</u>
Net increase (decrease) in cash and cash equivalents	5,719,718	2,409,755	3,709,446	11,838,921	(221,386)	(221,386)
Cash and cash equivalents-beginning of year	23,428,895	17,006,841	28,211,673	68,647,409	10,967,705	10,967,705
Cash and cash equivalents-end of year	<u>\$ 29,148,613</u>	<u>\$ 19,416,596</u>	<u>\$ 31,921,119</u>	<u>\$ 80,486,330</u>	<u>\$ 10,746,319</u>	<u>\$ 10,746,319</u>

The notes to the financial statements are an integral part of this statement.

CITY OF REDMOND
STATEMENT OF CASH FLOWS
PROPRIETARY FUNDS

For the Year Ended December 31, 2024

Page 2 of 2

	Business-type Activities-			Totals	Governmental Activities- Internal Service Funds
	Water/ Wastewater	Novelty Hill Water/ Wastewater	Stormwater Management		
Cash and cash equivalents					
Cash and cash equivalents	\$ 29,132,740	\$ 19,384,596	\$ 31,911,019	\$ 80,428,355	\$ 10,642,619
Restricted assets - customer deposits	15,873	32,000	10,100	57,973	-
Cash and cash equivalents-end of year	<u>\$ 29,148,613</u>	<u>\$ 19,416,596</u>	<u>\$ 31,921,119</u>	<u>\$ 80,486,328</u>	<u>\$ 10,642,619</u>
Reconciliation of operating income to net cash provided by operating activities:					
Operating income (loss)	\$ 5,562,754	\$ 1,318,707	\$ 1,886,892	\$ 8,768,353	\$ (2,929,052)
Adjustments to reconcile operating income to net cash provided by operating activities:					
Depreciation and amortization					
Other receipts	5,152,490	1,491,815	3,014,752	9,659,057	2,299,670
Decrease (increase) in accounts receivable	127,355	114,024	2,871	244,250	1,375,590
Decrease (increase) in inventory	(3,303,354)	(713,332)	(99,238)	(4,115,924)	(79,077)
Decrease (increase) in lease asset	(83,367)	-	-	(83,367)	(504)
Decrease (increase) in prepaid expenses	(9,078)	(24,226)	(2,966)	(36,270)	(940,884)
Decrease (increase) in deferred outflows	-	-	-	-	(362,085)
Decrease (increase) in net pension assets	(371,563)	-	(301,614)	(673,177)	(460,273)
Increase (decrease) in accounts payable	290,158	-	235,534	525,692	349,084
Increase (decrease) due to other governments	-	-	(61,562)	(61,562)	3,602
Increase (decrease) due to other funds	35,376	19,321	(19,430)	35,267	(14,793)
Increase (decrease) in employee wages payable	-	-	-	-	(57,561)
Increase (decrease) in compensated absences payable	92,842	651	38,003	131,496	49,562
Increase (decrease) in retainage payable	583,798	-	360,465	944,263	1,059,738
Increase (decrease) in deferred inflows	334	-	-	334	12,121
Increase (decrease) in pension liability	(303,625)	-	(246,466)	(550,091)	(364,937)
Net cash provided (used) by operating activities	<u>(141,333)</u>	<u>-</u>	<u>(114,726)</u>	<u>(256,059)</u>	<u>(167,190)</u>
	<u>\$ 7,632,787</u>	<u>\$ 2,206,960</u>	<u>\$ 4,692,515</u>	<u>\$ 14,532,262</u>	<u>\$ (226,989)</u>
Noncash investing, capital and financing activities:					
Contributions of capital assets	\$ 3,847,250	\$ -	\$ 2,329,815	\$ 6,177,065	\$ -
Increase (decrease) in fair value of investments	369,226	282,874	473,835	1,125,934	203,625
Right-to-use SBITA assets	51,961	182,283	10,482	244,727	3,343,662

The notes to the financial statements are an integral part of this statement.

NOTES TO THE FINANCIAL STATEMENTS

Note 1: Summary of Significant Accounting Policies

The City of Redmond was incorporated on December 31, 1912, and operates under the laws of the State of Washington applicable to a Non-Charter Mayor/Council form of government (an elected Mayor and a City Council composed of seven members). Both the Mayor and the Council are elected to four-year terms. The City provides general government services, including public safety, highways and streets, parks and recreation, planning and zoning, permits and inspections, sanitation, general administrative, and water and wastewater services.

The accounting and reporting policies of the City of Redmond conform to generally accepted accounting principles for governments and are regulated by the Washington State Auditor's Office.

The City's Annual Financial Report (AFR) is prepared in accordance with Governmental Accounting Standards Board (GASB) Statements, and the following notes detail the City's significant accounting policies.

Reporting Entity

The City's AFR includes the financial statements for the City of Redmond and its component units, entities for which the City is considered to be financially accountable. The City has two blended component units, Redmond Community Facilities District 2014-1 (CFD 2014-1), which was created in 2014 for the purpose of financing the construction of a pedestrian/bicycle bridge over SR 520 at the Overlake Transit Station, and Redmond Community Facilities District 2016-1 (CFD 2016-1), which was created in 2016 for the purpose of financing northeast 40th Street Trunkline Project and multimodal improvements on 154th Avenue northeast and northeast 51st Street, and northeast 31st Street and 156th Avenue northeast. The CFDs are reported as blended component units in the Capital Improvement Program funds of the City of Redmond because the City appoints a majority of the Board members, has the ability to impose its will on the organizations through the ability to appoint, hire, reassign or dismiss those persons responsible for the day-to-day operation of the organizations, and the CFD's services are primarily provided to the City. (See Note 14 - Component Units for additional information.)

The Redmond Transportation Benefit District was established on May 2nd, 2023, pursuant to Chapter 36.73 RCW to fund transportation improvements within City boundaries. On June 6, 2023, the City Council assumed the rights, powers, and obligations of the District as authorized by RCW 36.73.060 and serves as its governing body. On June 20, 2023, the City Council imposed a voter-approved 0.1% sales and use tax pursuant to RCW 36.73.065 and RCW 82.14.0455 to finance eligible transportation improvements. Because the City Council governs the District, which provide services exclusively for the benefit of the City, the District is reported as a Special Revenue Fund to the City. (See Note 21 - Transportation Benefit District for additional information).

Basic Financial Statements

The City's basic financial statements consist of government-wide statements, including a Statement of Net Position and a Statement of Activities, and fund financial statements, which provide a more detailed level of financial information.

The government-wide financial statements report information on all of the activities of the primary government and its component units. To the extent possible, the effect of inter-fund activity has been removed from these statements. Governmental activities, which are normally supported by taxes and intergovernmental revenues, are reported separately from business-type activities, which rely primarily on fees and charges for support.

The Statement of Activities demonstrates the degree to which the direct expenses of a given function or segment are offset by program revenues. Direct expenses are those that are clearly identifiable with a specific function or segment. Program revenues include 1) charges to customers or applicants who purchase, use, or directly benefit from goods, services, or privileges provided by a given function or segment and 2) grants and contributions that are restricted to meeting the operational or capital requirements of a particular function or segment. Taxes and other items not properly included among program revenues are reported instead as general revenues.

Separate fund financial statements are provided for governmental funds and proprietary funds. Major individual governmental funds and all individual enterprise funds are reported as separate columns in the fund financial statements.

Measurement Focus and Basis of Accounting

The government-wide financial statements and the proprietary fund financial statements are reported using the economic resources measurement focus and the accrual basis of accounting. Revenues are recorded when earned, and expenses are recorded when a liability is incurred, regardless of the timing of related cash flows. Property taxes are recognized as revenues in the year for which they are levied. Grants and similar items are recognized as revenue as soon as all eligibility requirements imposed by the provider have been met.

Governmental fund financial statements are reported using the current financial resources measurement focus and the modified accrual basis of accounting. Revenues are recognized as soon as they are both measurable and available. Revenues are considered to be available when they are collectible within the current period or soon enough thereafter to pay liabilities of the current period. For this purpose, the City considers revenues to be available if they are collected within 60 days of the end of the current fiscal period. Expenditures are generally recorded when a liability is incurred, as under accrual accounting. However, debt service expenditures, as well as expenditures related to compensated absences, claims, and judgments, are recorded only when payment is due.

Under the modified accrual basis of accounting, property taxes, sales taxes, utility taxes, franchise taxes, and interest associated with the current fiscal period are all considered to be susceptible to accrual and so have been recognized as revenues of the current period. Grant revenue is recognized for cost reimbursement grants when the expenditure occurs in accordance with relevant standards. When the expenditure is incurred, grant revenue is considered to have been earned and therefore available and recognized as revenue. Entitlement grant revenue is not tied to expenditures and is recognized when the City is entitled to receive it according to the grant agreement.

Financial Statement Presentation

The City reports the following major governmental funds:

The **General Fund** is the general operating fund of the City. It accounts for all financial resources and transactions except those required to be accounted for in another fund. The **Firefighters Pension Plan** is reported in the General Fund, as conveyed in Note 7 – Pensions.

The **Capital Improvement Program Fund** accounts for financial resources to be used for the acquisition, construction, and preservation of major capital facilities other than those financed by proprietary funds.

The City reports the following major proprietary funds:

The **Water/Wastewater Fund** accounts for the activities of providing water and sewer services to its citizens. The utilities operations are self-supported through user charges.

The **Novelty Hill Water/Wastewater Fund** accounts for providing water and sewer services to an urban planned development outside the City limits. The utilities' operations are self-supported through user charges.

The **Stormwater Management Fund** accounts for the operation, construction, and maintenance of the City's stormwater management system. The utility's operations are self-supported through fees.

Additionally, the City reports the following fund types:

Internal Service Funds account for fleet maintenance, information technology, and insurance services provided to other departments of the City on a cost reimbursement basis.

Special Revenue Funds are used to account for specific revenues that are restricted to or reserved for expenditures for particular purposes.

Debt Service Funds account for the accumulation of resources for and the payment of general obligation and special assessment bonds.

As a general rule, the effect of interfund activity has been eliminated from the government-wide financial statements. Direct expenses of the functional categories are included in the government-wide Statement of Activities, while indirect expense allocations are eliminated. Indirect expenses are primarily charged to the various functions through the use of internal service funds for fleet maintenance and information technology. Elimination of payments to internal service funds is treated as an expense reduction. No other indirect expenses are allocated to the various governmental functions. Exceptions to this general rule are payments-in-lieu of taxes and other charges between the government's utility functions and various other functions of the government. Elimination of these charges would distort the direct costs and program revenues reported for the various functions concerned.

Amounts reported as program revenues include 1) charges to customers or applicants for goods, services, or privileges provided, 2) operating grants and contributions, and 3) capital grants and contributions, including special assessments. Internally dedicated resources are reported as general revenues rather than as program revenues. Likewise, general revenues include all taxes.

The proprietary fund statements distinguish operating revenues and expenses from non-operating items. Operating revenues and expenses generally result from providing services and producing and delivering goods in connection with a proprietary fund's principal ongoing operations. The principal operating revenues of the City's utility funds and internal service funds are charges to customers for sales and services, vehicle replacement, and insurance. The City also recognizes as operating revenue the portion of utility connection fees intended to recover the cost of connecting new customers to the water and sewer system. Operating expenses for enterprise funds and internal service funds include the cost of sales and services, administrative expenses, taxes, and depreciation on capital assets. All revenues and expenses not meeting this definition are reported as non-operating revenues and expenses.

Budgets and Budgetary Accounting

The City of Redmond budgets its funds in accordance with the Revised Code of Washington (RCW) 35A.34. In compliance with the code, budgets for all funds are established with the exception of the Local Improvement District (LID) Control and the LID Guaranty Debt Service Funds. Budgets established for proprietary funds are "management budgets" and, as such, are not required to be shown in this report.

The biennial budget is proposed by the Mayor and adopted by the City Council with legal budgetary control at the fund level for all funds. Expenditures and other financing uses may not exceed budgeted appropriations at these levels. The Mayor may authorize transfers within all funds. The City Council must approve by ordinance any additional appropriations that increase the total at the fund level. Any unexpended appropriation balances lapse at the end of the biennium.

In addition to authorizing the budget, the City Council biennially approves the Capital Improvement Program and Business Technology Investment Program. This is a six-year plan for capital and technology project expenditures and anticipated revenue sources. Expenditures and revenues for these projects are budgeted in the Capital Projects Funds, Enterprise Funds, and Internal Service Funds.

The City prepares all biennial budgets on the modified accrual basis, which conforms to generally accepted accounting principles. The AFR includes budgetary comparisons for the General Fund with legally adopted budgets.

The budget process and the time limits under which a budget must be developed are established by State law. The City uses a "budgeting for outcomes" format and follows the procedures outlined below in the year preceding the first year of the two-year budget to establish its biennial budget:

- In winter, community meetings are held to affirm or revise the City's budget priorities. The Mayor appoints staff and citizens to teams that interpret these priorities and develop the primary factors that the City should support to pursue the given priority. These factors are used by staff to develop budget offers.

- In spring, the Mayor develops and submits a budget calendar to the City Council for approval.
- In June, the City Clerk publishes notice for the first public hearing. Also, around mid-year, staff prepare a six-year forecast and review this forecast with the City Council at a public meeting.
- Throughout the summer, City staff create budget offers and review revenue and expenditure estimates.
- In October, preliminary budget estimates are made available to the public.
- Sixty days before the ensuing fiscal year, the Mayor files the preliminary budget with the City Clerk's office.
- During the first two weeks of November, the City Clerk publishes notice of the filing of the preliminary budget and publishes notice of public hearings.
- The City Council holds a series of study sessions to review the preliminary budget to determine if they wish to make any modifications to the Mayor's recommended programs.
- Public hearings are held prior to the adoption of the budget for the public to comment on recommended programs and to offer ideas for new programs.
- Prior to the beginning of the first calendar year of the biennial budget, the City Council, by a majority of the members present, adopts a final operating budget by ordinance.
- The Final Budget document is printed, distributed, and posted on the City's website after adoption.

Assets, Liabilities, and Net Position

Cash and Investments

It is the City's policy to invest temporary cash surpluses. These investments are reported on the Statement of Net Position and the governmental funds Balance Sheet as cash and cash equivalents or investments. Included in cash and cash equivalents are currency on hand, demand deposits with banks or other financial institutions, investments with the Local Government Investment Pool, investments in U.S. Government Mutual Funds, and investments with original maturities of three months or less. Interest is allocated to each fund on the basis of investments owned.

In accordance with City policy and Washington State law, authorized investment purchases include Certificates of Deposit with financial institutions qualified by the Washington Public Deposit Protection Commission, US Treasury and Agency Securities, Bankers' Acceptances, Bonds of Washington State and any local government in Washington State which have, at the time of purchase, one of the three highest credit ratings of a nationally recognized rating agency, repurchase agreements, the State Investment Pool and mutual funds used specifically for debt issues related to arbitrage.

The City reports its deposit and investment risk disclosures in accordance with relevant standards (see Note 3).

In accordance with relevant standards, money market investments and participating interest-earning investment contracts with remaining maturities of one year or less at the time of purchase are stated at amortized cost. All other investments are stated at fair value.

Receivables

The City of Redmond recognizes receivables in its financial statements based on the accounting requirements for that statement. These receivables are as follows:

Property Taxes

The City's property tax collections records show that approximately 99% of the property taxes due are collected during the year of levy, and delinquent taxes are collected in the next few years. The City performs an analysis of all uncollected property taxes to test the materiality of the uncollected balance as well as the collectability. Based on this analysis, the City will determine the classification of the uncollected portion of property taxes, revenue versus uncollected property taxes. When property taxes become three years delinquent, the County is required by State statute to foreclose on the property. Historically, all taxes have been collected; therefore, no allowance for uncollectible taxes is recorded.

Sales Taxes

There is a running two-month lag in the remittance of sales tax to the City. Sales taxes collected in November and December are not remitted by the State to the City until January and February of the following year, and they are reported as receivables at year-end. There is no allowance for uncollectible sales taxes because all sales taxes are required by law to be collected by businesses at the time of sale and remitted to the State.

Investment Interest

Interest receivable consists of interest earned on investments at the end of the year, accrued interest on investments purchased between interest dates, and accrued interest and penalties on special assessments receivable. In proprietary funds and the government-wide Statement of Net Position, investment interest is recorded as receivable, regardless of its payment date. In the governmental fund statements and schedules, investment interest is recorded as receivable if it will be paid to the City within 60 days of year-end.

Accounts Receivable

Customer accounts receivable consist of amounts owed by private individuals or organizations for goods and services provided. Unbilled services provided to utility customers are estimated at year-end and included in accounts receivable. Uncollectible amounts are considered immaterial, and the direct write-off method is used.

Loan Receivable

The City is part of the A Regional Coalition for Housing (ARCH), which manages affordable housing loans for its member jurisdictions. The City provides loans to eligible affordable housing projects based on funding agreements approved by the City Council. These loans typically have below-market interest rates. As of December 31, 2024, the total outstanding loans receivable amount to \$719,400.

Interfund Transactions

Activity between funds that is representative of lending/borrowing arrangements outstanding at the end of the fiscal year is referred to as either "due to/from other funds" (i.e., the current portion of interfund loans) or "advances to/from other funds" (i.e., the non-current portion of interfund loans). All other outstanding balances between funds are reported as "due to/from other funds". Any residual balances outstanding between the governmental activities and business-type activities are reported in the government-wide financial statements as "internal balances."

Inventories

Inventories are defined as assets that may be held for internal consumption or for resale. The City uses the following policies in valuing and recording inventory items:

In proprietary funds, a perpetual inventory is maintained, in which the cost is held in an asset account when inventory items are purchased and expensed when the item is consumed. The first-in, first-out valuation method, which approximates the market, is used to value the inventory. A physical inventory is taken at year-end. No inventory is maintained in governmental funds; however, the internal service fund inventories are included in the "Governmental Activities" on the Statement of Net Position.

Restricted Assets

Restricted assets include those monies reserved for customers' deposits, bond reserve monies, and impact fees.

Advance on Service Contract

For fiscal years prior to December 31, 2012, the City amortized the Tolt Pipeline and Tolt Meter projects with the City of Seattle in accordance with GAAP. Upon further review, these amounts are not deferred outflows of resources but advances on a service contract. As of December 31, 2024, the balances are \$3,341 for Water/Wastewater and \$871 for Novelty Hill Water/Wastewater, totaling \$4,212.

Capital Assets

General capital assets are those assets not specifically related to activities reported in the proprietary funds. These assets generally result from expenditures in the governmental funds. These assets are reported in the governmental activities' column of the government-wide Statement of Net Position but are not reported in the fund financial statements. Capital assets utilized by the proprietary funds are reported both in the business-type activities column of the government-wide Statement of Net Position and in the respective funds. Capital assets are defined by the City as land, buildings, machinery, equipment, software, vehicles, transportation and utility infrastructure, and other improvements with an original cost of \$10,000 or more each and an estimated useful life of more than one year, and all artwork regardless of its initial cost. Such assets are recorded at historical cost or estimated historical cost if purchased or constructed. Donated capital assets are recorded at acquisition value at the date of donation.

The costs of normal maintenance and repairs that do not add to the value of the asset or materially extend its life are not capitalized. Major outlays for capital assets and improvements are capitalized as projects are constructed.

Land, construction in progress, and works of art are not depreciated. Property, plant, and equipment of the City are depreciated using the straight-line method over the following estimated useful lives:

<u>Asset</u>	<u>Years</u>
Buildings/Building improvements	50
Other improvements	15-50
Vehicles	3-15
Machinery and equipment	6-20
Utility infrastructure	10-100
Streets, paths, trails	50
Street lights and traffic signals	30

Compensated Absences

It is the City's policy to permit employees to accumulate earned but unused vacation, compensatory time in lieu of overtime, and sick leave benefits. Twenty-five percent of unused sick leave is payable at retirement or death. Any outstanding sick leave is lost at resignation. The City uses the First In, First Out (FIFO) flow assumption to estimate its sick leave liability along with its leave policy. Under this assumption, the unused sick leave that has been earned up to the end of the reporting period is expected to be used before any sick leave that may be earned in the future.

All vacation and compensatory time is accrued when incurred in the government-wide and proprietary fund financial statements. A liability for these amounts is reported in governmental funds only if they have matured, for example, as a result of employee resignations and retirements.

Pensions

For purposes of measuring the net pension liability, deferred outflows of resources and deferred inflows of resources related to pensions, and pension expense, information about the net position of all state sponsored pension plans and additions to/deductions from those plans net position have been determined on the same basis as they are reported by the Washington State Department of Retirement Systems. For this purpose, benefit payments (including refunds of employee contributions) are recognized when due and payable in accordance with the benefit terms. Investments are reported at fair value.

For purposes of calculating the restricted net position related to the net pension asset, the City includes the net pension asset and the related deferred outflows and deferred inflows.

Other Post-Employment Benefits (OPEB)

Lifetime full medical coverage is provided to uniformed Police and Fire personnel who became members of the Law Enforcement Officers and Fire Fighters (LEOFF 1) retirement system prior to October 1, 1977. The actual medical costs are reported as expenditures in the year they are incurred and are paid out of the General Fund. A liability for the accumulated unfunded actuarially required contribution and deferred outflow of resources is reported in the Statement of Net Position. For purposes of measuring the net OPEB liability, deferred outflows of resources and deferred inflows of resources related to OPEB, the City used the alternative measurement method.

Deferred Outflows/Inflows of Resources

In addition to assets, the Statement of Net Position will sometimes report a separate section for deferred outflows of resources. This separate financial statement element, *deferred outflows of resources*, represents a consumption of net assets that applies to a future period and so will *not* be recognized as an outflow of resources (expense/expenditure) until then. The City has four items that qualify for reporting in this category:

- Deferred charges on debt refunding result from the difference in the carrying value of refunded debt and the reacquisition price. This amount is deferred and amortized over the shorter of the life of the refunded or refunding debt. Deferred outflows related to debt are discussed in detail in Note 11: Long-Term Obligations.
- Deferred outflows related to pension plans are discussed in detail in Note 7: Pension Plans.
- Deferred outflows related to other postemployment benefits are discussed in detail in Note 8: Defined Benefit Other Postemployment Benefits, and
- Deferred outflows related to asset retirement obligations, as discussed in detail in Note 19: Asset Retirement Obligation.

In addition to liabilities, the Statement of Net Position will sometimes report a separate section for deferred inflows of resources. This separate financial statement element, *deferred inflows of resources*, represents an acquisition of net assets that apply to a future period and so will *not* be recognized as an inflow of resources (revenue) until that time. The City has two items that qualify for reporting in this category.

- Deferred inflows related to pension plans are discussed in detail in Note 7: Pension Plans, and
- Deferred inflows related to leases are discussed in Note 12: Leases & Subscription-Based IT Arrangements (SBITA)

Long-Term Obligations

In the government-wide financial statements and proprietary fund types in the fund financial statements, long-term debt and other long-term obligations are reported as liabilities in the applicable governmental activities, business-type activities, or proprietary fund type Statement of Net Position. Bond premiums and discounts are deferred and amortized over the life of the bonds using the straight-line method. Bonds payable are reported net of the applicable bond premium or discount.

In the fund financial statements, governmental fund types recognize bond premiums and discounts, as well as bond issuance costs, during the current period. The face amount of debt issued is reported as other financing sources. Premiums received on debt issuances are reported as other financing sources, while discounts on debt issuances are reported as other financing uses. Issuance costs, whether or not withheld from the actual debt proceeds received, are reported as debt service expenditures.

Leases

The City is a lessee on a variety of leases. The lease liability and the lease asset are measured at the commencement of the lease term. The lease liability is measured at the present value of payments expected to be made during the noncancellable lease term and uses the stated discount rate, or if the rate is not readily available, the incremental borrowing rate is used.

The City reduces the lease liability by the principal portion of the payments made and recognizes an outflow of resources for interest on the liability. The lease asset is amortized on a straight-line basis over the lease term.

The City is a lessor on multiple leases. At the commencement of the lease term, the city recognizes a lease receivable and a deferred inflow of resources. The lease receivable is measured at the present value of lease payments expected to be received during the lease term and uses the stated discount rate or the incremental borrowing rate if the discount rate is not known. The deferred inflow of resources is measured at the value of the lease receivable.

The city recognizes interest revenue on the lease receivable and an inflow of resources from the deferred inflows of resources over the lease term. The lease receivable is reduced by the principal payments received, and the deferred inflow of resources is recognized as revenue over the life of the lease term.

Subscription-Based Information Technology Arrangements (SBITA)

The City is a lessee for subscription-based information technology arrangements (SBITA).

Subscription liability is recognized at the beginning of the subscription term, which is when the subscription asset is activated. This liability is initially measured based on the present value of the expected subscription payments over the term of the subscription. Future payments are discounted using either the interest rate charged by the SBITA vendor to the City, if available, or the government's incremental borrowing rate if the vendor's rate is not accessible. In subsequent financial reporting periods, the City records the amortization of the discount on the subscription liability as an outflow of resources.

The subscription asset is initially measured as the total of (1) the initial subscription liability amount, (2) any payments made to the SBITA vendor before the subscription term begins, and (3) capitalized implementation costs minus any incentives received from the SBITA vendor at or before the commencement of the subscription term. The City recognizes the amortization of the subscription asset as an outflow of resources over the subscription term.

Fund Balance

In the fund financial statements, governmental funds report reservations of fund balance for amounts that are not available for appropriation or are legally restricted by outside parties for use for a specific purpose. Fund balances are categorized as Nonspendable or Spendable amounts as follows:

Nonspendable Fund Balance: fund resources that are in a form that either *never* could be spent or in a form that is *temporarily* not spendable. This can include resources that are spendable in form but are under legal restrictions that temporarily or permanently bar spending.

Spendable amounts are further segregated into categories based on the degree to which the uses of resources are constrained.

- *Restricted Fund Balance:* fund resources that are subject to restrictions that are *legally enforceable* by *outside parties*. This includes resources raised through enabling legislation.
- *Committed Fund Balance:* fund resources that are legally limited by the resolution by the City Council. A resolution must be taken to impose limitations on the use of these resources, and another resolution is required to modify or eliminate those limitations.
- *Assigned Fund Balance:* fund resources that are limited by the mayor or department directors based on delegation for their intended use. This type of limitation can be imposed by the highest level of decision-making within the entity or a designee, but little or no formal action is required to modify or eliminate those limitations.
- *Unassigned Fund Balance:* An unrestricted fund balance not committed or assigned in the General Fund is considered unassigned. A negative fund balance in any other governmental fund is also unassigned. The city only reports positive unassigned fund balances in the General Fund.

Flow assumption: When expenditure is incurred for purposes for which both restricted and unrestricted resources are available, it is the City's policy to use restricted resources first. When expenditure is incurred for purposes for which unrestricted (committed, assigned, and unassigned) resources are available, and amounts in any of these unrestricted classifications could be used, it is the City's policy to spend committed resources first, then assigned and unassigned, in that order. However, prior to the commencement of any project, the flow assumption is reviewed to ensure that the proper resources are being used.

The proprietary fund's policy at the City is to use restricted resources first, when both restricted and unrestricted resources are available to liquidate a particular expense.

Recently Adopted Accounting Standards and Adjustments

The City adopted the following new accounting standards during 2024.

In 2024, the City implemented GASB Statement No. 100, Accounting Changes and Error Corrections. This Statement defines accounting changes as changes in accounting principles, changes in accounting estimates, and changes to or within the financial reporting entity and describes the transactions or other events that constitute those changes. As part of those descriptions, for (1) certain changes in accounting principles and (2) certain changes in accounting estimates that result from a change in measurement methodology, a new principle or methodology should be justified on the basis that it is preferable to the principle or methodology used before the change. That preferability should be based on the qualitative characteristics of financial reporting—understandability, reliability, relevance, timeliness, consistency, and comparability. This Statement also addresses corrections of errors in previously issued financial statements. The required disclosures for accounting changes and error corrections are set out in Note 20 to the financial statements.

The City implemented GASB Statement No. 101, Compensated Absences. This statement requires that liabilities for compensated absences be recognized for (1) leave that has not been used and (2) leave that has been used but not yet paid in cash or settled through noncash means. A liability should be recognized for the leave that has not been used if (a) the leave is attributable to services already rendered, (b) the leave accumulates, and (c) the leave is more likely than not to be used for time off or otherwise paid in cash or settled through noncash means. The required disclosures for Compensated Absences can be found in Note 11 and Note 20 to the financial statements.

Note 2:
Reconciliation of Government-Wide and Fund Financial Statements

Explanation of aggregated differences between the governmental fund balance sheet and the government-wide statement of net position

The governmental fund balance sheet includes reconciliation between total fund balance and total net position as reported in the government-wide statement of net position. The details of the aggregated differences are presented below.

Some liabilities, including bonds, loans and compensated absences payable, are not due and payable in the current period and therefore are not reported in the funds:

GO Bonds payable	\$	(43,025,000)
Unamortized bond premiums		(2,566,328)
Deferred outflows on refunding		1,028,902
Loans payable		(661,155)
Lease payable		(3,163,447)
SBITA payable		(128,745)
Accrued interest payable		(139,808)
Compensated absences		(18,261,227)
Net adjustment to reduce fund balance-total governmental		
funds to arrive at net position – governmental activities	\$	<u><u>(66,916,808)</u></u>

The net pension asset, net pension liability, and deferred inflows and deferred outflows are reported in the government-wide statement of net position but not in the governmental balance sheet:

Net pension asset	\$	25,120,936
Deferred outflows of resources		32,225,256
Other post-employment benefits		(14,879,543)
Asset retirement obligations		(207,125)
Net pension liability		(3,623,969)
Total pension liability-FPP		(550,343)
Deferred inflows of resources		<u>(8,322,136)</u>
Net adjustment to reduce fund balance-total governmental		
funds to arrive at net position – governmental activities	\$	<u><u>29,763,076</u></u>

Unavailable revenues are susceptible to full accrual in the government-wide statements and are reported as deferred inflows in the government funds:

Unavailable revenue	\$	5,032,196
Unavailable revenue-opioid settlement		2,063,153
Unavailable revenue-property tax		228,601
Net adjustment to reduce fund balance-total governmental funds to arrive at net position – governmental activities	\$	<u>7,323,950</u>

Explanation of aggregated differences between the governmental fund statement of revenues, expenditures, and changes in fund balances and the government-wide statement of activities.

The governmental fund statement of revenues, expenditures, and changes in fund balances includes reconciliation between net changes in fund balances – total governmental funds and changes in the net position of governmental activities as reported in the government-wide statement of activities. The details of the aggregated differences are presented below.

Revenues in the statement of activities that do not provide current financial resources are not reported as revenues in the funds:

Developer/Private asset contributions	\$	163,783,055
Intangibles		7,379,893
Property tax		(60,059)
Opioid settlement		(851,424)
Unavailable revenue		(2,525,723)
Loss on disposal of capital assets		-
Net adjustment to increase net change in fund balances - governmental funds to arrive at change in net position-governmental activities	\$	<u>167,725,742</u>

Repayment of the principal of long-term debt consumes the current financial resources of governmental funds, and governmental funds report the effect of premiums, discounts, and similar items when debt is first issued. In contrast, these amounts are deferred and amortized in the government-wide statement of activities:

<u>Principal repayments (Changes/Net Diff):</u>		
General obligation bonds	\$	4,120,000
Public Works Trust Fund Loans repayment		94,451
Amortization/(addition) of debt premiums		1,104,142
Amortization of deferred outflows on refunding		(961,084)
Lease principal payments on long-term debt		598,858
Net adjustment to decrease net change in fund balances-governmental funds to arrive at change in net position-governmental activities	\$	<u>4,956,367</u>

Some expenses reported in the statement of activities do not require the use of current financial resources and, therefore are not reported as expenditures in governmental funds:

Change in compensated absences payable	\$	(11,084,759)
Change in other post-employment benefits payable		589,074
Change in amortization expense of ARO		60,497
Change in interest expense - lease		(554)
Change in interest expense - SBITA		2,102
Net adjustment to decrease net change in fund balances- governmental funds to arrive at change in net position- governmental activities	\$	<u>(10,433,640)</u>

NOTE 3:

Deposits and Investments

Deposits

As of December 31, 2024, the carrying amount of the City's cash demand deposits with KeyBank was \$3,081,124. In addition, \$8,444,068 was held in a public fund money market account at Pacific Premier Bank. A total of \$988,978 was retained from contractors pending acceptance of City construction projects and held in escrow or savings accounts at various banks. Another \$154,674 was held in a City of Redmond Client Trust Account at Bank of America, and \$3,662,302 is held in the ARCH Housing Trust Fund Account outside the agency. Imprest funds totaled \$48,500, of which \$33,570 was allocated to various City offices.

Custodial Credit Risk. Custodial credit risk for deposits is the risk that in the event of a bank failure, the City will not be able to recover deposits or collateral securities that are in the possession of an outside party. The City of Redmond's deposits are covered by the Federal Deposit Insurance Corporation (FDIC) or by collateral held in a multiple financial institution collateral pool administered by the Washington Public Deposit Protection Commission (WPDPC). The FDIC insures the first \$250,000 of the City's deposits. Deposit balances of \$250,000 or more are insured by the WPDPC. State statute permits additional amounts to be assessed on a pro rata basis to members of the WPDPC pool, in the event the pool's collateral should be insufficient to cover a loss.

Investments

It is the policy of the City of Redmond to invest public funds in a manner that will provide maximum security, meet daily cash flow demands, and strive for a high investment return, while conforming to all laws and regulations governing the investment of public funds, as defined in RCWs 39.58, 39.59, and 43.250. The City's Investment Policy is approved by the City Council, and management responsibility for the investment program is delegated to the City's Investment Oversight Committee.

Authorized investments include the following:

1. Investment deposits, including certificates of deposit, with qualified public depositories.
2. Certificates, notes, or bonds of the United States, or other obligations of the United States or its agencies, or of any corporation wholly owned by the government of the United States.
3. Obligations of government-sponsored corporations that are eligible as collateral for advances to member banks, as determined by the Board of Governors of the Federal Reserve System. These include, but are not limited to, Federal Home Loan Bank notes and bonds, Federal Farm Credit Bank consolidated notes and bonds, and Federal National Mortgage Association notes, bonds, and guaranteed certificates of participation.
4. Bankers' acceptances purchased on the secondary market.
5. Bonds of the State of Washington and any local government in the State of Washington that have at the time of investment, one of the three highest credit ratings of a nationally recognized rating agency.
6. Repurchase agreements for securities listed in 2, 3, and 4 above, provided that the transaction is structured so that the City of Redmond obtains control over the underlying securities and a Master Repurchase Agreement has been signed with the bank or dealer.
7. State Investment Pool.
8. Commercial paper purchased in the secondary market and having received the highest rating by at least two Nationally Recognized Statistical Rating Organizations (NRSROs) at the time of purchase, and adhering to the investment policies and procedures adopted by the State Investment Board.
9. Mutual funds, escrow accounts, public fund money market accounts, or cash-type accounts used specifically for the proceeds of municipal securities.
10. State of Washington Separately Managed Account.

Investments are stated at fair value, based on quoted market prices in accordance with the Governmental Accounting Standards Board on *Fair Value Measurement and Application*. Accordingly, the change in the fair value of investments is recognized as an increase or decrease in the investment assets and investment income. Interest income on investments is recognized in non-operating revenue as earned. Changes in fair value of investments are recognized on the Statements of Revenues, Expenses, and Changes in Net Position.

Interest Rate Risk. Interest rate risk is the risk the City may face should interest rate variances affect the fair value of investments. As a means of limiting its exposure to interest rate risk, the City's policy requires that it diversify its investments by security type and institution, and limit holdings in any one type of investment with any one issuer. The City coordinates its investment maturities to closely match cash flow needs and, unless matched to a specific cash flow or restricted by state guidelines, the City restricts the maximum investment term to less than five years from the purchase date.

Credit Risk. Credit risk is the risk that an issuer or other counterparty to an investment will not fulfill its obligations. State law and city policy limit investments to those authorized by state statute, including commercial paper and bonds of the State of Washington and any local government in the State of Washington that has, at the time of investment, one of the three highest credit ratings of a nationally recognized rating agency. The City further limits its holdings in commercial paper to 10% of the portfolio and 10% per issuer, and local government bonds to 25% of the portfolio and 10% per issuer. As of December 31, 2023, the City held no investments in commercial paper. Additionally, the City restricts its investment in mutual fund bonds to be used for arbitrage purposes only.

Custodial Credit Risk. Custodial credit risk is the risk that, in the event of a failure of the counterparty, the City will not be able to recover the value of its investment or collateral securities that are in the possession of an outside party. The City's Investment Policy requires that all security transactions, including collateral for repurchase agreements, be conducted on a delivery-versus-payment (DVP) basis and be held in safekeeping in the City's name by a third-party custodian.

Concentration of Credit Risk. Concentration of credit risk is the risk of loss attributable to the magnitude of an investment in a single issuer. The City diversifies its investments by security type and institution. 100% of the City's portfolio may be invested in U.S. Treasury notes, bonds, or certificates, U.S. government-sponsored corporations, or the State Investment Pool. 50% of the portfolio may be invested in certificates of deposit with no more than 10% held by any one issuer and not exceeding 20% of the issuer's net worth. 25% of the portfolio may be invested in bankers' acceptances (10% per issuer), State of Washington or local government bonds (10% per issuer), or repurchase agreements (25% per dealer). 10% of the portfolio may be invested in commercial paper (10% per issuer).

Investments in the Local Government Investment Pool (LGIP)

The City is a voluntary participant in the Local Government Investment Pool, an external investment pool authorized by Chapter 294, Laws of 1986. The LGIP is managed and operated by the Washington State Treasurer, and over 631 local governments have participated in the pool since it was started in 1986 to provide safe, liquid, and competitive investment options for local governments pursuant to RCW 43.250. In addition to the City's primary LGIP account, the City established a second LGIP account in 2022 for the investment of its bond proceeds related to the 2022 Limited Tax General Obligation (LTGO) Bonds for the Redmond Senior & Community Center building. The final spend-down of these bond proceeds occurred in mid-2023, and the City subsequently closed the second LGIP account dedicated to the bond proceeds.

The LGIP is not rated and not registered with the SEC, and does not have any legally binding guarantees of share values. Oversight is provided by the State Finance Committee, which is the administrator of the statute that created the pool and adopts its rules. The State Treasurer is responsible for establishing the investment policy for the pool and reviews the policy annually, and any proposed changes are reviewed by the LGIP Advisory Committee.

Investments in the LGIP are reported at amortized cost, which approximates fair value and is the same as the value of the pool per share. The LGIP manages a portfolio of securities that meet the maturity, quality, diversification, liquidity, and fair value calculation requirements set forth by relevant standards for external investment pools that elect to measure, for financial reporting purposes, investments at amortized cost. The funds are limited to high-quality obligations with regulated maximum and average maturities to minimize both market and credit risk. Investments are reported on a trade date basis in accordance with generally accepted accounting principles (GAAP).

The LGIP transacts with its participants at a stable net asset value per share of \$1.00, the same method used for reporting. The LGIP does not impose any restrictions on participant withdrawals, and participants may contribute or withdraw funds daily. Participants must inform the Office of the State Treasurer (OST) of any contribution or withdrawal over one million dollars no later than 9 a.m. on the same day the transaction is made. Contributions or withdrawals for one million dollars or less can be requested at any time prior to 10 a.m., at the sole discretion of the

OST. All participants are required to file with the State Treasurer documentation containing the names and titles of the officials authorized to contribute or withdraw funds. The LGIP does not impose liquidity fees or redemption gates on participant withdrawals.

The State Treasurer's Office prepares a stand-alone financial report for the pool. A copy is available from the Office of the State Treasurer, PO Box 40200, Olympia, Washington 98504-0200, or online at www.tre.wa.gov.

Investments in the Separately Managed Account

In 2020, the City of Redmond entered into an Interagency Agreement with the State of Washington's Office of the State Treasurer, authorizing the State Treasurer's Office to invest the City's core funds in a separately managed investment portfolio, as provided for in RCW 43.250. The State Treasurer's Office invests these funds in accordance with the State's investment policies and procedures and provides monthly reporting to the City. The City's separately managed account is intended for the investment of long-term core funds that are not required to meet short-term cash needs, and deposits and withdrawals are carried out by transferring funds in and out of the City's primary LGIP account.

Monies invested in the separately managed account are held separately and are not co-mingled with other state funds. Investments are valued using observable inputs, including quoted prices for similar securities and interest rates. The City does not record the individual transactions, but records the net investment changes monthly. The State Treasurer's Office does security-level accounting, allowing investors to account for the portfolio as a single investment. As these are longer-term funds, the balance of the portfolio is reported at market value as of the valuation date. The State Treasurer's Office invests these funds in a diversified portfolio with a risk profile that is similar to the risk profile of the State's core portfolio, and the underlying assets have the same credit quality as U.S. Treasury securities, Government Sponsored Enterprises (GSEs), and the Supranational Institutions.

Investments in the separately managed account are purchased by the State Treasurer's Office and are held and registered in the State's name in the trust or safekeeping department of a financial institution as established by a written third-party safekeeping agreement between the State and the financial institution.

Investments Measured at Amortized Cost

Investments reported as cash equivalents as of December 31, 2024:

	<u>Amortized Cost</u>	<u>Less Than 1 Year</u>
Money Market	8,444,068	8,444,068
Local Government Investment Pool – Primary	203,331,619	203,331,619
Total	\$ 211,775,687	\$ 211,775,687

Investments Measured at Fair Value

The City measures and reports investments at fair value using the valuation input hierarchy established by generally accepted accounting principles, as follows:

Level 1: Quoted prices in active markets for identical assets or liabilities.

Level 2: Quoted market prices for similar assets or liabilities, quoted prices for identical or similar assets or liabilities in markets that are not active, or other than quoted prices that are not observable.

Level 3: Unobservable inputs for an asset or liability.

As of December 31, 2024, the City had the following investments measured at fair value:

Investment Type	Fair Value Measurement Using			Total
	Quoted Prices in Active Markets for Identical Assets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)	
Separately Managed Portfolio	\$ -	\$ 227,582,773	\$ -	\$ 227,582,773
Total	\$ -	\$ 227,582,773	\$ -	\$ 227,582,773

The table below identifies the types of investments, concentration of investments in any one issuer, and maturities of the City's investment portfolio as of December 31, 2024:

Investment Type	Fair Value	Maturities		% of Total Portfolio
		Less Than 1 Year	More Than 1 Year	
Separately Managed Portfolio	\$ 227,582,773	\$ -	\$ 227,582,773	51.80%
Investments Reported as Cash Equivalents:				
Money Market	8,444,068	8,444,068	-	1.92%
Local Government Investment Pool	203,331,619	203,331,619	-	46.28%
Total	\$ 439,358,460	\$ 211,775,687	\$ 227,582,773	100.00%
Percentage of Total Portfolio		48.20%	51.80%	100.00%

The table below identifies the credit risk of the City's separately managed investment portfolio as of December 31, 2024:

Investment Type	Fair Value	Ratings	
		S&P	Moody's
Agency			
Federal Farm Credit Bank	\$ 7,395,876.03	AA+	Aaa
Federal Home Loan Bank	\$ 36,407,011.44	AA+	Aaa
Federal Home Loan Mortgage Corporation	\$ 4,983,737.25	AA+	Aaa
Federal National Mortgage Association	\$ 7,337,987.60	AA+	Aaa
Subtotal	\$ 56,124,612.32		
Us Treasury Securities			
U.S. Treasury Notes	99,562,857.41	AA+	Aaa
U.S. Treasury Bills			
Subtotals	\$ 99,562,857.41		
Supranational			
Asian Development Bank	\$ 15,486,192.98	AAA	Aaa
International Finance Corporation	\$ 13,167,503.15	AAA	Aaa
Inter-American Development Bank	\$ 16,719,822.18	AAA	Aaa
Inter-American Invest Co/IDB Invest	\$ 5,485,715.22	AA+	Aa1
International Bank for Reconstruction & Dev.	\$ 14,803,884.20	AAA	Aaa
European Bank for Reconstruction & Dev.	\$ 4,995,966.45	AAA	Aaa
Subtotal	\$ 70,659,084.18		
LGIP Deposit Account	1,236,219.35		
Total	\$ 227,582,773.26		

Summary of Deposit and Investment Balances

Reconciliation of cash and investments by type to the financial statements as of December 31, 2024, is detailed in the following tables:

Cash & Investments by Type

KeyBank public checking	3,081,124
Deposits/debits in transit at 12/31/2024	801,673
Checks/credits in transit at 12/31/2024	(4,734,578)
Petty cash/change fund (Unallocated)	13,570
Contractor's retainage money market	988,978
Bank of America CBRE client trust acct	154,674
ARCH housing trust fund - outside agency	3,662,302
Pacific premier bank-money market	8,444,068
State investment pool (LGIP)	203,331,619
WA State Treasurer-separately managed portfolio	227,582,773
Grand Total Cash & Investments by Type	\$ 443,326,204

Cash & Investments by Statements	Cash & Equivalents*	Restricted Cash	Rate Stabilization Fund	Investments	Restricted Investments
Governmental Funds					
General Fund	\$ 56,689,296	\$ 674,402	\$ -	\$ 52,718,672	\$ 4,407,851
Capital Improvement Program Fund	45,783,053	988,978	-	49,703,657	337,062
Other Governmental Funds	20,375,054	-	-	18,619,738	2,960,326
Proprietary Funds					
Water/Wastewater	29,132,740	15,873	3,877,811	27,694,316	-
Novelty Hill Water/Wastewater	19,384,596	32,000	1,929,266	19,298,549	-
Stormwater Management	31,911,019	10,100	-	32,706,492	1,999,954
Internal Service Funds	10,746,319	-	-	11,329,080	-
	\$ 214,022,077	\$ 1,721,353	\$ 5,807,077	\$ 212,070,504	\$ 9,705,193
Grand Total Cash & Investments by Statements					\$ 443,326,204

Gains and Losses on Investments

Realized gains and losses are computed as the difference between the proceeds of the sales and the original cost of the investments sold. The calculation of realized gains and losses is independent of the calculation of the net change in the fair value of investments. Realized gains and losses on investments that had been held in more than one fiscal year and sold in the current year were included as a change in the fair value of investments reported in the prior year(s) and the current year.

NOTE 4

Governmental Fund Balances

Governmental fund balances are classified as non-spendable, restricted, committed, assigned, and unassigned. The non-spendable fund balance category includes amounts not available to be spent because they are not in spendable form or are legally required to be maintained intact. The city has prepaid expenditures which are not in spendable form. Restricted fund balance, such as those resulting from federal and state legislation, grant awards, bond covenants, and inter-local service agreements, is constrained externally. The committed fund balance is constrained by an ordinance or resolution adopted by the City Council and requires the same action to remove the constraint. Assigned fund balances are constrained by the government's intent to be used for a specific purpose but are not restricted or committed. Unassigned fund balance is the residual classification for the General Fund. The city only reports unassigned fund balances in the General Fund. The breakdown of each fund balance category from the Balance Sheet - Governmental Funds designated for a particular purpose is shown below.

	General	Capital Improvements	Other Governmental Funds	Total Governmental Funds
Fund balances:				
Non-spendable	\$ 1,928,509	\$ -	\$ 652	\$ 1,929,161
Restricted for:				
Cable access	-	-	6,987	6,987
Capital projects	-	64,132,835	23,934,825	88,067,660
Debt service	-	-	427,624	427,624
Fire (Public Safety)	-	-	-	-
General governmental maintenance	81,888	-	-	81,888
Opioid settlement	688,147	-	-	688,147
Parks	995,997	-	-	995,997
Planning-Transportation	410,889	-	588,438	999,327
Public safety	746,400	-	121,551	867,951
Recycling	-	-	1,535,709	1,535,709
Reserves (Public Safety)	454,814	-	-	454,814
Tourism	-	-	1,379,121	1,379,121
Transportation Benefit District	-	-	3,422,250	3,422,250
Committed to:				
Aid Car/Dispatch	-	-	725,415	725,415
Arts	151,218	-	-	151,218
Development review	-	-	7,424,768	7,424,768
Parks maintenance	484,680	-	-	484,680
Fire fighter pension	3,282,574	-	-	3,282,574
Recreation activities	-	-	1,543,452	1,543,452
Public safety	74,547	-	-	74,547
Assigned to:				
Capital projects	-	17,919,896	-	17,919,896
Capital equipment replacement	2,817,048	-	-	2,817,048
Community events	220,420	-	-	220,420
Fire equipment	4,878,128	-	-	4,878,128
Maintenance	16,599,782	-	-	16,599,782
Human services fund	451,424	-	-	451,424
Investigative fund	8,500	-	-	8,500
Parks	1,415,733	-	-	1,415,733
Real property fund	1,360,790	-	-	1,360,790
Reserves	6,433,059	-	-	6,433,059
Transportation	11,486,749	-	-	11,486,749
Business tax	8,361,444	-	-	8,361,444
Unassigned	48,816,440	-	(444,796)	48,371,645
	112,149,180	82,052,731	40,665,996	234,867,907

NOTE 5: Property Tax

The King County Treasurer acts as an agent to collect property taxes levied in the County for all taxing authorities. Collections are distributed on a daily basis.

Property Tax Calendar

January 1	Taxes are levied and become an enforceable lien against properties.
February 14	Tax bills are mailed.
April 30	First of two equal installment payments is due.
May 31	Assessed value of property established for next year's levy at 100 percent of market value.
October 31	Second installment is due.

Property taxes are recorded as a receivable when levied. During the year, property tax revenues are recognized when cash is received. At year-end, property tax revenues are recognized for December collections to be distributed by the county treasurer in January and February.

Under Washington State law a city may levy property taxes up to \$3.60 per \$1,000 of assessed valuation. The assessed value was \$37,374,939,031 for the City of Redmond (the City) in 2024.

The City's maximum property tax levy rate has been reduced from \$3.60 to \$3.10, or \$.50, as a result of annexing to the King County Library District in May 1990. In addition to the limitation previously noted, the City's levy rate is also subject to the following:

Washington State law in RCW 84.55.010 limits the growth of regular property taxes to one percent per year or IPD, whichever is less, after adjustments for new construction and annexations, unless an increase greater than this limit is approved by the voters. If the assessed valuation increases by more than one percent due to revaluation, the levy rate will be decreased.

The Washington State Constitution limits the total regular property tax levy to a maximum of one percent of assessed valuation or \$10 per \$1,000 of the market value of a property. If the taxes of all districts exceed this amount, each is proportionately reduced until the total is at or below the one percent limit.

Accordingly, the City levied \$0.87 per \$1,000 of assessed value for general governmental services and no additional voter-approved excess tax levy.

NOTE 6: Capital Assets

Capital asset activity for the year ended December 31, 2024, as follows:

	Beginning Balance	Increases	Decreases	Ending Balance
Primary Government				
GOVERNMENTAL ACTIVITIES				
Capital assets, not being depreciated:				
Land	\$ 176,804,677	\$ 8,113,043	\$ (732,600)	\$ 184,185,120
Construction in progress	70,864,940	22,513,206	(82,143,967)	11,234,179
Art	2,257,089	377,963	(70,374)	2,564,678
Total capital assets, not being depreciated	<u>249,926,706</u>	<u>31,004,213</u>	<u>(82,946,941)</u>	<u>197,983,977</u>
Capital assets, being depreciated:				
Buildings/building improvements	103,594,027	60,762,399	-	164,356,426
Improvements other than buildings	54,902,470	733,477	-	55,635,946
Machinery and equipment	43,451,148	7,879,585	(2,059,433)	49,271,299
Infrastructure	339,650,969	182,651,870	(403,033)	521,899,805
Total capital assets, being depreciated	<u>541,598,613</u>	<u>252,027,331</u>	<u>(2,462,466)</u>	<u>791,163,477</u>
Less accumulated depreciation for:				
Buildings/building improvements	(31,690,270)	(2,140,086)	-	(33,830,356)
Improvements other than buildings	(25,843,309)	(1,760,875)	-	(27,604,184)
Machinery and equipment	(27,591,130)	(2,618,850)	1,891,192	(28,318,788)
Infrastructure	(144,460,024)	(6,846,767)	403,033	(150,903,757)
Total accumulated depreciation	<u>(229,584,732)</u>	<u>(13,366,578)</u>	<u>2,294,225</u>	<u>(240,657,085)</u>
Total capital assets, being depreciated, net	<u>312,013,881</u>	<u>238,660,754</u>	<u>(168,241)</u>	<u>550,506,393</u>
Capital assets, being amortized:				
Lease assets*				
Buildings	3,582,583	-	-	3,582,583
Machinery and equipment	119,330	757,950	-	877,280
Total lease assets, being amortized	<u>3,701,913</u>	<u>757,950</u>	<u>-</u>	<u>4,459,863</u>
SBITA assets*				
Machinery and equipment	3,622,352	49,023	-	3,671,375
Total lease assets, being amortized	<u>3,622,352</u>	<u>49,023</u>	<u>-</u>	<u>3,671,375</u>
Less accumulated amortization for:				
Buildings	(956,173)	(477,933)	-	(1,434,106)
Machinery and equipment (Leases)	(73,853)	(104,623)	-	(178,475)
Machinery and equipment (SBITA)	(939,916)	(978,912)	-	(1,918,828)
Total accumulated amortization	<u>(1,969,942)</u>	<u>(1,561,467)</u>	<u>-</u>	<u>(3,531,409)</u>
Total lease & SBITA assets, being amortized, net	<u>5,354,324</u>	<u>(754,495)</u>	<u>-</u>	<u>4,599,829</u>
Governmental activities capital assets, net	<u>\$ 567,294,911</u>	<u>\$ 268,910,472</u>	<u>\$ (83,115,182)</u>	<u>\$ 753,090,198</u>

*The lease & SBITA assets, similar to other capital assets of internal service funds, are presented as government activities in the entity-wide statement of net position.

NET INVESTMENT IN CAPITAL ASSETS

Governmental Activities		
Capital assets not being depreciated	\$	197,983,977
Capital assets being depreciated		799,294,715
Less accumulated depreciation		(244,188,494)
Plus deferred outflow on refunding bonds		1,028,902
Less capital related bonds/loans		(46,252,483)
Less liabilities related to leases & SBITA payable		(4,829,829)
Less capital related accounts payable		(2,800,437)
Less capital related retainage payable		(18,441)
Less accrued interest payable		<u>(242,876)</u>
Governmental Activities, net investment in capital assets	\$	<u><u>699,975,034</u></u>

Depreciation expense was charged to functions/programs of the primary government as follows:

DEPRECIATION EXPENSE BY FUNCTION

Governmental Activities		
General government	\$	2,669,562
Public safety		1,945,158
Physical environment		86,227
Transportation, including depreciation of general infrastructure assets		7,909,117
Economic environment		25,694
Culture and recreation		<u>2,292,288</u>
Total depreciation expense – governmental activities	\$	<u><u>14,928,045</u></u>

	Beginning Balance	Increases	Decreases	Ending Balance
BUSINESS-TYPE ACTIVITIES				
Capital assets, not being depreciated:				
Land	\$ 25,801,776	\$ 3,500	\$ -	\$ 25,805,276
Construction In Progress	15,603,288	5,327,589	(7,544,993)	13,385,884
Intangible Assets	1,124,883	-	-	1,124,883
Total capital assets, not being depreciated	<u>42,529,948</u>	<u>5,331,089</u>	<u>(7,544,993)</u>	<u>40,316,044</u>
Capital Assets, Being Depreciated:				
Buildings/Building Improvements	39,750,331	-	-	39,750,331
Improvements Other Than Buildings	474,827,800	13,805,902	(67,433)	488,566,269
Machinery and Equipment	1,896,300	61,512	(497,388)	1,460,425
Total capital assets, being depreciated	<u>516,474,432</u>	<u>13,867,413</u>	<u>(564,821)</u>	<u>529,777,024</u>
Less Accumulated Depreciation for:				
Buildings/Building Improvements	(13,706,037)	(795,007)	-	(14,501,044)
Improvements Other than Buildings	(135,654,674)	(8,724,911)	67,433	(144,312,152)
Machinery and Equipment	(1,461,988)	(108,994)	497,388	(1,073,594)
Total accumulated depreciation	<u>(150,822,700)</u>	<u>(9,628,912)</u>	<u>564,821</u>	<u>(159,886,790)</u>
Total capital assets, being depreciated, net	<u>365,651,732</u>	<u>4,238,501</u>	<u>-</u>	<u>369,890,235</u>
Capital Assets, Being Amortized:				
Lease Assets				
Land easement	219,768	-	-	219,768
Equipment	24,958	-	-	24,958
Total lease assets, being amortized	<u>244,727</u>	<u>-</u>	<u>-</u>	<u>244,727</u>
Less Accumulated Amortization for:				
Land easement	(22,981)	(21,984)	-	(44,965)
Equipment	(2,080)	(6,240)	-	(8,319)
Total accumulated amortization	<u>(25,061)</u>	<u>(28,224)</u>	<u>-</u>	<u>(53,285)</u>
Total lease assets, being amortized, net	<u>219,666</u>	<u>(28,224)</u>	<u>-</u>	<u>191,442</u>
Business-Type activities capital assets, net	<u>\$ 408,401,345</u>	<u>\$ 9,541,367</u>	<u>\$ (7,544,993)</u>	<u>\$ 410,397,720</u>

NET INVESTMENT IN CAPITAL ASSETS

Business-Type Activities

Capital assets not being depreciated	\$ 40,316,044
Capital assets being depreciated	530,021,751
Less accumulated depreciation	(159,940,075)
Plus capital-related deferred outflows on refunding bonds	166,169
Less revenue bonds	(14,965,000)
Less bond premium	-
Less PWTF loan	(2,672,438)
Less capital-related accounts payable and retainage payable	(370,562)
Less liabilities related to lease & SBITA payable	(174,857)
Less accrued interest payable	(22,717)
Business-Type Activities, net investment in capital assets	<u>\$ 392,358,315</u>

Depreciation expense was charged to Business-Type Activities as follows:

DEPRECIATION EXPENSE BY FUNCTION

Business-Type Activities		
Water/Wastewater	\$	5,143,484
Novelty Hill Water/Wastewater		1,473,296
Stormwater		<u>3,012,132</u>
Total Depreciation Expense – Business-type Activities	\$	<u>9,628,912</u>

The Business-Type Activities also have \$1,652 in amortization expense, which is included with depreciation expense in the financial statements for 2024.

Since 2017, the City's business-type activities have invested \$308,121 in the Groundwater Protection Incentive Program, an intangible asset with an indefinite useful life. The program provides funds for retrofitting existing private infiltration facilities determined through the City's assessment process to pose a significant groundwater hazard in wellhead protection zones 1 and 2, to meet State and City regulations for groundwater protection, to ensure a safe drinking water supply for the City.

NOTE 7: Pension Plans

The following table represents the aggregate pension amounts for all plans subject to the requirements of relevant standards for the year 2024:

Aggregate Pension Amounts – All Plans	
Pension liabilities	\$4,606,826
Pension assets	\$28,206,031
Deferred outflows of resources	\$36,242,153
Deferred inflows of resources	\$9,504,982
Pension expense/expenditures	\$423,201

State-Sponsored Pension Plans

Substantially all City full-time and qualifying part-time employees participate in one of the following statewide retirement systems administered by the Washington State Department of Retirement Systems, under cost-sharing, multiple-employer public employee defined benefit and defined contribution retirement plans. The state Legislature establishes and amends laws pertaining to creating and administering all public retirement systems.

The Department of Retirement Systems (DRS), a department within the State of Washington's primary government, issues a publicly available Annual Financial Report that includes financial statements and required supplementary information for each plan.

The DRS Annual Comprehensive Financial Report may be downloaded from the DRS website at www.drs.wa.gov.

Public Employees' Retirement System (PERS)

PERS members include elected officials, state employees, employees of local governments, and higher education employees not participating in higher education retirement programs.

PERS is composed of and reported as three separate plans for accounting purposes: Plan 1, Plan 2/3, and Plan 3. Plan 1 accounts for the defined benefits of Plan 1 members. Plan 2/3 accounts for the defined benefits of Plan 2 members and the defined benefit portion of benefits for Plan 3 members. Plan 3 accounts for the defined contribution portion of benefits for Plan 3 members. Although employees can be members of only Plan 2 or Plan 3, the defined benefits of Plan 2 and Plan 3 are accounted for in the same pension trust fund. All assets of Plan 2/3 may legally be used to pay the defined benefits of any Plan 2 or Plan 3 members or beneficiaries.

PERS Plan 1 provides retirement, disability, and death benefits. Retirement benefits are determined as two percent of the member's average final compensation (AFC) times the member's years of service. The AFC is the average of the member's 24 highest consecutive service months. Members are eligible for retirement from active status at any age with at least 30 years of service, at age 55 with at least 25 years of service, or at age 60 with at least five years of service. Members retiring from active status before age 65 may receive actuarially reduced benefits. Retirement benefits are actuarially reduced to reflect the choice of a survivor benefit. Other benefits include duty and non-duty disability payments, an optional cost-of-living adjustment (COLA), and a one-time duty-related death benefit, if found eligible by the Department of Labor and Industries. PERS 1 members were vested after completing five years of eligible service. The plan was closed to new entrants on September 30, 1977.

Contributions

The PERS Plan 1 member contribution rate is established by State statute at 6%. The employer contribution rate is developed by the Office of the State Actuary, adopted by the Pension Funding Council, and is subject to change

by the legislature. The PERS Plan 1 required contribution rates (expressed as a percentage of covered payroll) for 2024 were as follows:

PERS Plan 1		
Actual Contribution Rates:	Employer	Employee*
January – June		
PERS Plan 1	6.36%	6.00%
PERS Plan 1 UAAL	2.97%	
Administrative Fee	0.20%	
Total	9.53%	6.00%
July – August		
PERS Plan 1	6.36%	6.00%
PERS Plan 1 UAAL	2.47%	
Administrative Fee	0.20%	
Total	9.03%	6.00%
September – December		
PERS Plan 1	6.36%	6.00%
PERS Plan 1 UAAL	2.55%	
Administrative Fee	0.20%	
Total	9.11%	6.00%

PERS Plan 2/3 provides retirement, disability, and death benefits. Retirement benefits are determined as 2% of the member's AFC times the member's years of service for Plan 2 and 1% of the member's AFC for Plan 3. The AFC is the average of the member's 60 highest-paid consecutive service months. Members are eligible for retirement with a full benefit at 65 and with at least five years of service credit. Retirement before age 65 is considered an early retirement. PERS Plan 2/3 members who have at least 20 years of service credit and are 55 years of age or older are eligible for early retirement with a benefit that is reduced by a factor that varies according to age for each year before age 65. PERS Plan 2/3 retirement benefits are actuarially reduced if a survivor benefit is chosen. Other PERS Plan 2/3 benefits include a COLA based on the CPI, capped at 3% annually. PERS 2 members are vested after completing five years of eligible service. Plan 3 members are vested in the defined benefit portion of their plan after ten years of service, or after five years of service if 12 months of that service are earned after age 44.

PERS Plan 3 defined contribution benefits are dependent on employee contributions and investment earnings on those contributions. Members are eligible to withdraw their defined contributions upon separation. Members have multiple withdrawal options, including the purchase of an annuity. PERS Plan 3 members are immediately vested in the defined contribution portion of their plan.

Contributions

The **Office of the State Actuary developed the PERS Plan 2/3 employer and employee contribution rates** to fully fund Plan 2 and the defined benefit portion of Plan 3. The Pension Funding Council adopts the rates, which are subject to change by the Legislature. The employer rate includes a component to address the PERS Plan 1 Unfunded Actuarial Accrued Liability (UAAL).

As established by Chapter 41.34 RCW, Plan 3 defined contribution rates are set at a minimum of 5% and a maximum of 15%. PERS Plan 3 members choose their contribution rate from six options when joining membership and can change rates only when changing employers. Employers do not contribute to the defined contribution benefits.

The PERS Plan 2/3 defined benefit-required contribution rates (expressed as a percentage of covered payroll) for 2024 were as follows:

PERS Plan 2/3			
Actual Contribution Rates:	Employer 2/3	Employee 2	Employee 3
January – June			
PERS Plan 2/3	6.36%	6.36%	Varies: 5%-15%
PERS Plan 1 UAAL	2.97%		
Administrative Fee	0.20%		
Total	9.53%	6.36%	
July – August			
PERS Plan 2/3	6.36%	6.36%	Varies: 5%-15%
PERS Plan 1 UAAL	2.47%		
Administrative Fee	0.20%		
Total	9.03%	6.36%	
September – December			
PERS Plan 2/3	6.36%	6.36%	Varies: 5%-15%
PERS Plan 1 UAAL	2.55%		
Administrative Fee	0.20%		
Total	9.11%	6.36%	

The City's actual PERS plan contributions were \$1,488,921 to PERS Plan 1 and \$3,421,654 to PERS Plan 2/3 for the year ended December 31, 2024.

Public Safety Employees Retirement System (PSERS)

PSERS Plan 2 was created by the 2004 Legislature and became effective July 1, 2006.

PSERS membership includes certain public employees whose jobs pose a high degree of physical risk to their safety. In addition to meeting strict statutory work requirements, membership is further restricted to specific employers, including:

- Certain State of Washington agencies (Department of Corrections, Department of Natural Resources, Gambling Commission, Liquor and Cannabis Board, Parks and Recreation Commission, and Washington State Patrol),
- Washington State Counties,
- Washington State Cities (except for Seattle, Spokane, and Tacoma),
- Correctional entities formed by PSERS employers under the Interlocal Cooperation Act.

PSERS Plan 2 provides retirement, disability, and death benefits. Retirement benefits are determined as 2% of the AFC times the member's years of service. The AFC is based on the member's 60 consecutive highest creditable months of service. Members are eligible for retirement at age 65 with five years of service, or at 60 with at least ten years of PSERS service credit, or at age 53 with 20 years of service. Benefits are actuarially reduced for each year that the member's age is less than 60 (with ten or more service credit years in PSERS) or less than 65 (with fewer than ten service credit years). There is no cap on years of service credit. Retirement before age 60 is considered an early retirement. PSERS members who retire before turning 60 receive reduced benefits. If retirement is at age 53 or older with at least 20 years of service, a 3% per year reduction for each year between the age at retirement and age 60 applies. PSERS Plan 2 retirement benefits are actuarially reduced if a survivor benefit is chosen. Other benefits include a COLA, capped at 3% annually. PSERS Plan 2 members are vested after completing five years of eligible service.

Contributions

The **PSERS Plan 2** employer and employee contribution rates are developed by the Office of the State Actuary to fund Plan 2 fully. The Pension Funding Council adopts the rates, which are subject to change by the Legislature. The Plan 2 employer rates include components to address the PERS Plan 1 UAAL.

The PSERS Plan 2 required contribution rates (expressed as a percentage of the current year's covered payroll) For 2024, the following were as follows:

PSERS Plan 2		
Actual Contribution Rates:	Employer	Employee
January – June		
PSERS Plan 2	6.73%	6.73%
PERS Plan 1 UAAL	2.97%	
Administrative Fee	0.20%	
Total	9.90%	6.73%
July – August		
PSERS Plan 2	6.73%	6.73%
PERS Plan 1 UAAL	2.47%	
Administrative Fee	0.20%	
Total	9.40%	6.73%
September - December		
PSERS Plan 2	6.76%	6.73%
PERS Plan 1 UAAL	2.55%	
Administrative Fee	0.20%	
Total	9.51%	6.73%

The City's actual PSERS 2 contribution was \$33,181 for the year ended December 31, 2024.

Law Enforcement Officers and Fire Fighters Retirement System (LEOFF)

LEOFF was established in 1970, and its retirement benefit provisions are contained in Chapter 41.26 RCW. LEOFF membership includes all of the state's full-time, fully compensated, local law enforcement commissioned officers, firefighters, and, as of July 24, 2005, emergency medical technicians.

LEOFF Plan 1 provides retirement, disability, and death benefits. Retirement benefits are determined per year of service, calculated as a percent of final average salary (FAS) as follows:

- 20+ years of service – 2.0 percent of FAS
- 10-19 years of service – 1.5 percent of FAS
- 5-9 years of service – 1 percent of FAS

The FAS is the basic monthly salary received at the time of retirement, provided a member has held the same position or rank for 12 months preceding the date of retirement. Otherwise, it is the average of the highest-paid consecutive 24 months within the last ten years of service. Members are eligible for retirement with five years of service at the age of 50. Other benefits include a COLA. LEOFF 1 members were vested after the completion of five years of eligible service. The plan was closed to new entrants on September 30, 1977.

Contributions

Starting on July 1, 2000, **LEOFF Plan 1** employers and employees contributed 0% as long as the plan remained fully funded. The LEOFF Plan I had no required employer or employee contributions for the fiscal year 2024. Employers paid only the administrative expense of 0.20% of covered payroll.

LEOFF Plan 2 provides retirement, disability, and death benefits. Retirement benefits are determined as 2% of the FAS per year of service (the FAS is based on the highest-paid consecutive 60 months). Members are eligible for retirement with a full benefit at 53 and with at least five years of service credit. Members who retire before the age of 53 receive reduced benefits. If the member has at least 20 years of service and is age 50 – 52, the reduction is 3% each year before age 53. Otherwise, the benefits are actuarially reduced for each year before age 53. LEOFF 2 retirement benefits are also actuarially reduced to reflect the choice of a survivor benefit. Other benefits include a COLA (based on the CPI), capped at 3% annually. LEOFF 2 members are vested after the completion of five years of eligible service.

Contributions

The **Office of the State Actuary developed the LEOFF Plan 2 employer and employee contribution rates** to fully fund Plan 2. The LEOFF Plan 2 Retirement Board adopts the rates, which are subject to change by the Legislature.

Effective July 1, 2017, when a LEOFF employer charges a fee or recovers costs for services rendered by a LEOFF 2 member to a non-LEOFF employer, the LEOFF employer must cover both the employer and state contributions on the LEOFF 2 basic salary earned for those services. The state contribution rate (expressed as a percentage of covered payroll) was 3.41%.

The LEOFF Plan 2 required contribution rates (expressed as a percentage of covered payroll) for the fiscal year were as follows:

LEOFF Plan 2		
Actual Contribution Rates:	Employer	Employee
January – December		
State and local governments	5.12%	8.53%
Administrative Fee	0.20%	
Total	5.32%	8.53%
Ports and universities	8.53%	8.53%
Administrative Fee	0.20%	
Total	8.73%	8.53%

The City's actual contributions to the plan were \$2,059,206 for the year ended December 31, 2024.

The Legislature, through a special funding arrangement, appropriates money from the state General Fund to supplement the current service liability and fund the prior service costs of Plan 2 per the recommendations of the Pension Funding Council and the LEOFF Plan 2 Retirement Board. The state constitution does not mandate this special funding situation and could be changed by statute. For the fiscal year ending June 30, 2024, the state contributed \$96,422,231 to LEOFF Plan 2. The amount recognized by the City as its proportionate share of this amount is \$1,278,976.

Actuarial Assumptions

The total pension liability (TPL) for each DRS plan was determined using the most recent actuarial valuation completed in 2024 with a valuation date of June 30, 2023. The actuarial assumptions used in the valuation were based on the results of the Office of the State Actuary's (OSA) 2013-2018 Demographic Experience Study and the 2023 Economic Experience Study.

Additional assumptions for subsequent events and law changes are current as of the 2023 actuarial valuation report. The TPL was calculated as of the valuation date and rolled forward to the measurement date of June 30, 2024. Plan liabilities were rolled forward from June 30, 2023, to June 30, 2024, reflecting each plan's normal cost (using the entry-age cost method), assumed interest, and actual benefit payments.

- Inflation: 2.75% total economic inflation; 3.25% salary inflation

- Salary increases: In addition to the base 3.25% salary inflation assumption, salaries are also expected to grow by a service-based salary increase.
- Investment rate of return: 7.00%

Mortality rates were developed using the Society of Actuaries' Publication. H-2010 mortality rates, which vary by member status (e.g., active, retiree, or survivor), are the base table. OSA applied age offsets for each system, as appropriate, to better tailor the mortality rates to the demographics of each plan. OSA applied the long-term MP-2017 generational improvement scale, also developed by the Society of Actuaries, to project mortality rates yearly after the 2010 base table. Mortality rates are applied on a generational basis, meaning each member is assumed to receive additional mortality improvements in each future year throughout their lifetime.

Assumptions did not change from the prior contribution rate setting in the June 30, 2022, Actuarial Valuation Report (AVR). OSA adjusted their methods for calculating UAAL contribution rates in PERS 1 to reflect the delay between the measurement date of calculated Plan 1 rates and when the rates are collected. OSA adjusted their model to reflect past inflation experience when modeling future COLAs for current annuitants in all plans except PERS1.

Discount Rate

The discount rate used to measure the total pension liability for all DRS plans was 7.0 percent.

To determine that rate, an asset sufficiency test was completed to test whether each pension plan's fiduciary net position was sufficient to make all projected future benefit payments for current plan members. Based on OSA's assumptions, the pension plans' fiduciary net position was projected to be available to make all projected future benefit payments of current plan members. Therefore, the long-term expected rate of return of 7.0 percent was used to determine the total liability.

Long-Term Expected Rate of Return

The long-term expected rate of return on the DRS pension plan investments of 7.0% was determined using a building-block method. In selecting this assumption, OSA reviewed the historical experience data, considered the historical conditions that produced past annual investment returns, and considered Capital Market Assumptions (CMAs) and simulated expected investment returns provided by the Washington State Investment Board (WSIB). The WSIB uses the CMAs and their target asset allocation to simulate future investment returns at various future times.

Estimated Rates of Return by Asset Class

The table below summarizes the best estimates of arithmetic real rates of return for each major asset class included in the pension plan's target asset allocation as of June 30, 2024. The inflation component used to create the table is 2.5%, representing the WSIB's most recent long-term estimate of broad economic inflation.

Asset Class	Target Allocation	% Long-Term Expected Real Rate of Return Arithmetic
Fixed Income	19%	2.10%
Tangible Assets	8%	4.50%
Real Estate	18%	4.80%
Global Equity	30%	5.60%
Private Equity	25%	8.60%
	100%	

Sensitivity of the Net Pension Liability/(Asset)

The table below presents the City's proportionate share* of the net pension liability calculated using the discount rate of 7%, as well as what the City's proportionate share of the net pension liability would be if it were calculated

using a discount rate that is 1-percentage point lower (6%) or 1-percentage point higher (8%) than the current rate.

	1% Decrease (6.0%)	Current Discount Rate (7.0%)	1% Increase (8.0%)
PERS 1	6,776,525	4,606,826	2,703,948
PERS 2/3	19,947,511	(11,065,409)	(36,535,674)
PSERS 2	3,298	(509)	(3,521)
LEOFF 1	(1,826,621)	(2,075,527)	(2,292,586)
LEOFF 2	9,980,493	(15,064,586)	(35,550,707)

Pension Plan Fiduciary Net Position

The separately issued DRS financial report provides detailed information about the State's pension plans' fiduciary net position.

Pension Liabilities (Assets), Pension Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions

At June 30, 2024, the City reported its proportionate share of the net pension liabilities and assets as follows:

	Liability (or Asset)
PERS 1	4,606,826
PERS 2/3	(11,065,409)
PSERS 2	(509)
LEOFF 1	(2,075,527)
LEOFF 2	(15,064,586)

The amount of the asset reported above for LEOFF Plans 1 and 2 reflects a reduction for State pension support provided to the City. The amount recognized by the City as its proportionate share of the net pension asset, the related State support, and the total portion of the net pension asset that was associated with the City were as follows:

	LEOFF 1 Asset	LEOFF 2 Asset
Employer's proportionate share	2,075,527	15,064,586
The state's proportionate share of the net pension asset associated with the employer	14,038,814	9,776,116
TOTAL	16,114,341	24,840,701

At June 30, the City's proportionate share of the collective net pension liabilities was as follows:

	Proportionate Share 6/30/23	Proportionate Share 6/30/24	Change in Proportion
PERS 1	0.269140%	0.259271%	-0.009869%
PERS 2/3	0.346958%	0.335664%	-0.011294%
PSERS 2	0.000000%	0.001194%	0.001194%
LEOFF 1	0.073395%	0.072982%	-0.000413%
LEOFF 2	0.819886%	0.804412%	-0.015474%

Employer contribution transmittals received and processed by the DRS for the fiscal year ended June 30, 2024, are used to determine each employer's proportionate share of the collective pension amounts reported by the DRS in the Schedules of Employer and Nonemployer Allocations for all plans except LEOFF 1.

LEOFF Plan 1 allocation percentages are based on the total historical employer contributions to LEOFF 1 from 1971 through 2000 and the retirement benefit payments in fiscal year 2024. Historical data were obtained from a 2011 Office of the State Actuary (OSA) study. The state of Washington contributed 87.12% of LEOFF 1 employer contributions, and all other employers contributed the remaining 12.88% of employer contributions. LEOFF 1 is fully funded; no further employer contributions have been required since June 2000. If the plan becomes underfunded, funding the remaining liability will require new legislation. The plan's allocation method reflects the projected long-term contribution effort based on historical data.

In fiscal year 2024, the state of Washington contributed 39% of LEOFF 2 employer contributions pursuant to RCW 41.26.725 and all other employers contributed the remaining 61% of employer contributions.

Pension Expense

For the year ended December 31, 2024, the City recognized pension expense as follows:

	Pension Expense
PERS 1	(322,904)
PERS 2/3	(490,433)
PSERS 2	126
LEOFF 1	36,857
LEOFF 2	1,199,555
TOTAL	423,201

Deferred Outflows of Resources and Deferred Inflows of Resources

At December 31, 2024, the City reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

PERS 1	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	-	-
Net difference between projected and actual investment earnings on pension plan investments	-	(368,626)
Changes in assumptions	-	-
Changes in proportion and differences between contributions and the proportionate share of contributions	-	-
Contributions after the measurement date	700,921	-
TOTAL	700,921	(368,626)

PERS 2/3	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	6,287,601	(25,619)
Net difference between projected and actual investment earnings on pension plan investments	-	(3,171,031)
Changes in assumptions	6,110,340	(701,102)
Changes in proportion and differences between contributions and the proportionate share of contributions	461,178	
Changes in proportionate share		(110,444)
Contributions after the measurement date	1,737,119	-
TOTAL	14,596,238	(4,008,197)

PSERS	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	1,320	(291)
Net difference between projected and actual investment earnings on pension plan investments	-	(247)
Changes in assumptions	508	(190)
Changes in proportion and differences between contributions and the proportionate share of contributions	-	-
Changes in proportionate share		(7,925)
Contributions subsequent to the measurement date	31,390	-
TOTAL	33,218	(8,653)

LEOFF 1	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	-	-
Net difference between projected and actual investment earnings on pension plan investments	-	(78,449)
Changes in assumptions	-	-
Changes in proportion and differences between contributions and the proportionate share of contributions	-	-
Contributions subsequent to the measurement date	-	-
TOTAL	-	(78,449)

LEOFF 2	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	11,087,251	(114,646)
Net difference between projected and actual investment earnings on pension plan investments	-	(2,478,516)
Changes in assumptions	6,201,511	(1,266,261)
Changes in proportion and differences between contributions and the proportionate share of contributions	2,557,509	
Changes in proportionate share		(1,181,634)
Contributions subsequent to the measurement date	1,065,505	-
TOTAL	20,911,776	(5,041,058)

Deferred outflows of resources related to pensions resulting from the City's contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the year ended December 31, 2024. Other amounts reported as deferred outflows and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Year Ended December 31	PERS 1	PERS 2/3	PSERS	LEOFF 1	LEOFF 2
2025	(610,049)	(2,398,197)	(1,588)	(131,904)	(1,731,554)
2026	313,414	4,894,401	(1,077)	68,337	4,078,077
2027	(33,185)	2,168,249	(1,292)	(6,558)	1,836,029
2028	(38,806)	2,153,803	(1,288)	(8,324)	1,949,520
2029	-	1,099,737	(1,147)	-	2,289,334
Thereafter	-	932,929	(433)	-	6,383,806
TOTAL	(368,626)	8,850,922	(6,825)	(78,449)	14,805,213

Firefighters' Pension Plan

The following table represents the aggregate pension amounts for all plans subject to the requirements of relevant standards for the year 2024:

Pension Amounts – Fire Fighter Pension	
Pension liability	550,343
Pension assets	3,290,191
Deferred outflows of resources	-
Deferred inflows of resources	-
Pension expense	(51,950)

The City administers the Firefighters' Pension Plan (FPP), a single-employer defined benefit pension plan established in conformance with Revised Code of Washington (RCW) 41.18. The Pension Board consists of five members: the Mayor, who is the chairman of the board, the City Clerk, the City Treasurer, and two regularly employed firefighters elected by secret ballot of the firefighters, each of whom serves a two-year term. Costs of administering the Plan are paid from the Firefighters' Pension Plan. The Plan provides retirement and disability benefits, annual cost-of-living adjustments, and death benefits to Plan members and beneficiaries. Retirement benefit provisions are established in state statute and may be amended only by the State Legislature. Membership is limited to firefighters employed before March 1, 1970, when the LEOFF retirement system was established. The City's obligation under the Plan consists of paying the difference between pension and medical benefits provided by LEOFF and those provided by the FPP for covered firefighters who retire after March 1, 1970. Benefits and refunds of the Plan are recognized when due and payable in accordance with the terms of the Plan.

As of December 31, 2024, three inactive plan members were receiving benefits, and no active plan members were present. The pension plan is closed to new entrants.

Under State law, the Firefighters' Pension Plan allocates 25% of the taxes the state receives on fire insurance premiums, interest earnings, member contributions made before the inception of LEOFF, and City contributions required to meet projected future pension obligations. The City's fire insurance premiums and interest earnings were sufficient to pay expenses in 2024. The financial activity of the Firefighters' Pension Plan is reported within the City's General Fund. No separate stand-alone financial report is issued for the Firefighters' Pension Plan.

The pension standards apply only to pension plans that are administered through trusts or equivalent arrangements in which:

- a. Contributions from employers to the pension plan and earnings on those contributions are irrevocable.
- b. Pension plan assets are dedicated to providing pensions to plan members in accordance with benefit terms.
- c. Pension plan assets are legally protected from the creditors of employers, the plan administrator, and plan members.

The Firefighter's Pension Plan does not meet the requirement "c" that assets be legally protected from the creditors of employers, the plan administrator, and plan members. Therefore, the assets are not accumulated in a qualifying trust or equivalent arrangement for the reporting purposes as required by the relevant standards.

Investment procedures and policies can be found in Note 3: Deposits and Investments.

	Increase (Decrease) Total Pension Liability
Changes in the Total Pension Liability	
Balances at 1/1/2024	502,482
Changes for the year:	
Interest	15,248
Differences between expected and actual experience	35,100
Benefit payments, including refunds of contributions	(51,950)
Changes of assumptions	49,463
Net changes	(47,861)
Balance at 12/31/2024	550,343

The Schedule of Changes in Total Pension Liability and Related Ratios presented in Required Supplementary Information following the notes to the financial statements presents ten-year trend information about whether the total pension liability is increasing or decreasing over time and the factors affecting the changes.

Discount Rate and Investment Earnings

The discount rate is the single rate that reflects (1) the long-term expected rate of return on pension plan investments that are expected to be used to finance payment of benefits, to the extent that the pension plan's net position is projected to be sufficient to make projected benefit payments and pension plan assets are expected to be invested using a strategy to achieve that return, and (2) a yield or index rate for 20-year, tax-exempt general obligation municipal bonds with an average rating of AA/Aa or higher (or equivalent quality on another scale), to the extent that conditions for use of the long-term expected rate of return are not met. Since the Fiduciary Net Position is projected to be positive in all future years, the discount rate equals the Investment Earnings assumption of 3.2%.

Sensitivity of the Total Pension Liability to Changes in the Discount Rate

The following presents the total pension liability of the Firefighters' Pension Plan, calculated using the discount rate of 3.2%, as well as what the total pension liability would be if it were calculated using a discount rate that is 1-percentage-point lower (2.2%) or 1-percentage-point higher (4.2%) than the current rate:

	1% Decrease (2.2%)	Current Discount Rate (3.2%)	1% Increase (4.2%)
Total Pension Liability	608,617	550,343	499,938
Fiduciary Net Position	3,290,191	3,290,191	3,290,191
	(2,681,574)	(2,739,848)	(2,790,253)

Actuarial Assumptions

The total pension liability was determined by an actuarial valuation as of January 1, 2025, using the following actuarial assumptions applied to all periods included in the measurement:

Salary Increases (inflation only)	3.0%
Investment earnings	3.2%
Growth in membership	0.0%
Postretirement benefit increases	
Related to salaries	3.0%
Related to Consumer Price Index	2.5%
Actuarial Cost Method	Entry Age Normal
Valuation of Assets	Market value basis

The mortality rates used in this valuation are based on the 2024 IRS Generational Mortality Table, projected with the 2024 Adjusted MP-2021 Projection Scale.

Municipal Employees Benefit Trust

By majority vote, City employees approved the City's withdrawal from the Social Security System pursuant to U.S.C.A., Section 418 (g), effective January 1, 1975. Permanent employees working 1,040 or more hours per year are eligible, but not required, to participate in the plan. Temporary employees working less than 1,040 hours per year are required to participate in the plan. Participating permanent employees may choose to defer income tax in accordance with Internal Revenue Code Section 401K, on all, part, or none of their contribution. In contrast, temporary employees may not defer income tax on their contributions. There were 991 permanent and 104 temporary participants with account balances on December 31, 2024.

The Municipal Employees Benefit Trust Plan is a defined contribution plan with participants contributing equal to the current Social Security rate (7.65%). One hundred percent of the contributions made by employees hired before April 1, 1986, go to MEBT. Employees hired on or after April 1, 1986, contribute 6.2% to MEBT and 1.45% to Medicare. Permanent employees may make additional contributions up to the limit set by the Internal Revenue Code. The City contributes 7.65% for permanent and 4.75% for temporary employees. Of the City's contribution, 1.45% goes to Medicare for employees hired on or after April 1, 1986. Eighty percent of the remaining City contribution goes to MEBT and 20% to administrative fees. The City's contribution is based on the payroll for all employees eligible to participate in the plan, regardless of the number of participants. The City's payroll for participating employees in 2024 was \$94,130,101. Employee contributions were \$6,237,418. City contributions were \$4,960,391. The City's total payroll was \$95,789,907.

Plan assets consisting of stocks, bonds, and guaranteed insurance contracts are not the property of the City and are not subject to the claims of the City's general creditors. The Plan is administered by the Plan Committee, consisting of seven employee members appointed by the City. The Plan Committee administers the MEBT Plan according to the Plan Document adopted by the City and all applicable IRS regulations. Plan provisions may be established or amended by a majority vote of the Plan Committee. Employees who elect not to participate in the Municipal Employees Benefit Trust plan retain the disability and survivor income insurance provided by the Standard Insurance Company.

Actuarial determinations are not required because (1) a group insurance policy provides long term disability insurance and survivor income insurance with Standard Insurance Company, and (2) each participant shall at his expected retirement date instruct the Plan Committee to (a) acquire a non-forfeitable, non-transferable annuity contract, (b) pay retirement benefits in monthly or annual installments (no contributions by the City or the participant shall be added to his account after retirement), (c) pay a single sum in cash, or (d) elect to defer any or all retirement benefits to a later date.

NOTE 8:
Defined Benefit Other Postemployment Benefits (OPEB) Plans

The City is required to accrue other postemployment benefit (OPEB) expense for its postretirement health care plan based on an actuarially determined OPEB liability rather than recording expenses on a “pay-as-you-go” basis.

The following table represents the aggregate OPEB amounts for all plans for the year 2024:

OPEB liabilities	\$ 14,879,543
Deferred outflows of resources	\$ 377,171
OPEB expenses/expenditures	\$ (589,074)

Plan Description

The City provides post-retirement healthcare benefits for members of the Law Enforcement Officers and Firefighters (LEOFF) retirement system hired before October 1, 1977 under a single-employer, defined benefit healthcare plan administered by the City, as required by the Revised Code of Washington (RCW Chapter 41.26). Retirees are eligible to receive lifetime retiree medical benefits upon service retirement after age 50 with at least five years of service. This is a closed plan covering retired employees only. New entrants are not permitted.

One of the City’s employee medical insurance programs provides most medical coverage for eligible retirees as a single-employer. Under the authorization of the LEOFF Disability Board, direct payment is made for other retiree medical expenses not covered by standard medical plan benefit provisions.

No retiree contributions toward the cost of retiree medical benefits are required.

As of December 31, 2024, the following retired employees were covered by the benefit terms:

Inactive employees or beneficiaries currently receiving benefits	27
Total	27

Funding Policy

The city provides entirely funding for the LEOFF retiree healthcare costs, as required by RCW. The City’s funding policy is based upon pay-as-you-go financing requirements, and the net assets available for plan benefits are always zero.

Financial reporting for the LEOFF retiree healthcare plan is included in the City’s Annual Financial Report.

Actuarial Methods and Assumptions

In 2024, the City used the alternative measurement method (AMM), which was permitted under relevant standards. Retirement, disablement, termination, and mortality rates were assumed to follow the LEOFF 1 rates used in the June 30, 2024, actuarial valuation report issued by the Office of the State Actuary (OSA).

The total OPEB liability (TOL) was determined using the following methodology:

Actuarial Valuation Date	6/30/2024
Actuarial Measurement Date	6/30/2024
Actuarial Cost Method	Entry Age
Amortization Method	Recognized Immediately
Asset Valuation Method	N/A (No Assets)

For purposes of the AMM online tool, a simplifying actuarial assumption is made, considering that over 99 percent of the LEOFF 1 members are already retired. The remaining active members are eligible to retire and will retire immediately following the measurement date.

This approach inherently assumes that all liabilities are fully earned and the service cost equals zero. In other words, the entry-age normal total OPEB liability is, by definition, equal to the present value of future benefits. The OSA determines that they implicitly do not need to make assumptions with respect to projected salary changes.

Each cohort is assumed to be 100 percent male. As of the measurement date, greater than 98 percent of the eligible LEOFF 1 population is male. This simplification is believed to be reasonable, and only the mortality assumptions selected (since the medical assumptions are already blended based on the actual gender distribution within the eligible population) are impacted. The OSA will continue to monitor this assumption for future versions of the tool.

Based on the overall distribution of the LEOFF 1 eligible population, the four age-based cohorts are selected for the AMM online tool. This grouping approach is believed to be reasonable for the purposes of the AMM.

Medical and long-term care costs were projected from June 30th, 2022, to the measurement date of June 30, 2024, using the healthcare trend rates detailed in the 2022 LEOFF 1 OPEB Actuarial Valuation Report (AVR).

Mortality rates were based on the PubS.H-2010 (Public Safety) mortality table report published by the Society of Actuaries. The OSA applied offsets to the base table and recognized future improvements in mortality by projecting the mortality rates using 100 percent Scale BB. Mortality rates are applied on a generational basis, meaning members are assumed to receive additional mortality improvements in each future year throughout their lifetime.

Healthcare Trend Rates

Medical costs	Approximately 4.5%, varies by year.
Long-term care	4.75%
Medicare Part B Premiums	Approximately 5.0%, varies by year.

Please see the OSA's 2022 LEOFF 1 Medical Benefits Actuarial Valuation Report for additional detail on the healthcare trend rates.

Discount Rate

Since OPEB benefits are funded on a pay-as-you-go basis, the discount rates used to measure the total OPEB liability were set equal to the Bond Buyer General Obligation 20-Bond Municipal Index, or 3.65 percent for the June 30, 2023, measurement date and 3.93 percent for the June 30, 2024, measurement date.

Changes in Total OPEB Liability

The following table presents the change in the total OPEB liability as of the June 30, 2024, measurement date:

Total OPEB Liability (TOL)	
Total OPEB Liability - Beginning	\$ 15,383,941
Interest Cost	\$ 549,039
Changes in experience data and assumptions	\$ (363,678)
Estimated benefit payments	\$ (689,759)
Net Changes in Total OPEB Liability	\$ (504,398)
Total OPEB Liability - Ending	\$ 14,879,543
Covered Employee Payroll	\$ -
TOL as a Percentage of Covered Payroll	N/A

Sensitivity Analysis of the Total OPEB Liability to Changes in the Discount Rate

The following table presents the city's total OPEB liability as an employer, calculated using the discount rate of 3.65%, as well as the total OPEB liability would be if it were calculated using a discount rate that is 1 percent point lower (2.65 percent) or 1 percent point higher (4.65 percent) than the current rate.

	Total
1% Decrease	\$ 16,557,920
Current Discount Rate	\$ 14,879,543
1% Increase	\$ 13,451,022

Sensitivity Analysis of the Total OPEB Liability to Changes in the Healthcare Cost Trend Rates

The following table presents the total OPEB liability of the City as an employer, calculated using the healthcare trend rates of 4.50 percent, as well as what the total OPEB liability would be if it were calculated using healthcare trend rate that is 1 percent point lower (3.50 percent) or 1 percent point higher (5.50 percent) than the current rate:

	Total
1% Decrease	\$ 13,505,543
Current Discount Rate	\$ 14,879,543
1% Increase	\$ 16,457,912

OPEB Expense, Deferred Outflows of Resources, and Deferred Inflows of Resources Related to OPEB.

For the year ended December 31, 2024, the City recognized OPEB expense of (\$ 589,074). On December 31, 2024, the City reported deferred outflows of resources related to OPEB for the City from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Transactions subsequent to the measurement date	377,171	-
Total \$	377,171 \$	-

NOTE 9:
Construction Commitments

At December 31, 2024 the City had significant contractual obligations on construction projects:

Transportation Projects	\$ 1,524,485
General Government	7,230,969
Utilities Projects	<u>140,950</u>
Total	<u>\$ 8,896,404</u>

Note 10:
Interfund Transfers

Interfund transfers are used to move revenues from the fund that statute or budget requires to collect them to the fund that statute or budget requires to expend them, to move receipts for debt service from the fund collecting the receipts to a debt service fund as debt service payments become due, and to use unrestricted revenues collected in the general fund to finance various programs accounted for in other funds in accordance with budgetary authorizations.

Interfund balances on December 31, 2024 were as follows:

Due To/From Other Funds	Receivables	Payables
General Fund	\$ 2,942,887	\$ (218,917)
Other Governmental Funds	\$ -	\$ (2,326,351)
Internal Service Funds	\$ -	\$ (397,620)
Total due other funds	\$ 2,942,887	\$ (2,942,887)

Interfund transfers on December 31, 2024 were as follows:

	Transfer from						
	General Fund	Capital Improvement Program Funds	Other Governmental Funds	Water/Wastewater Funds	Novelty Hill Water/Wastewater Funds	Stormwater Management Funds	Total
General Fund	\$ -	\$ 8,014,359	\$ 2,087,783	\$ -	\$ -	\$ 295,331	\$ 10,397,474
Capital Improvement Program Funds	\$ 4,877,284	\$ -	\$ 7,844,637	\$ -	\$ -	\$ -	\$ 12,721,921
Other Governmental Funds	\$ 2,507,400	\$ 1,553,550	\$ -	\$ -	\$ -	\$ -	\$ 4,060,950
Water/Wastewater Funds	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
Novelty Hill Water/Wastewater Funds	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
Stormwater Management Funds	\$ -	\$ 36,297	\$ -	\$ -	\$ -	\$ -	\$ 36,297
Internal Service Funds	\$ 858,964	\$ -	\$ 166,796	\$ 82,373	\$ 19,081	\$ 55,823	\$ 1,183,037
Total	\$ 8,243,648	\$ 9,604,207	\$ 10,099,216	\$ 82,373	\$ 19,081	\$ 351,154	\$ 28,399,679

NOTE 11:

Long-Term Obligations

Direct Borrowings

As of December 31, 2024, the City had no direct placements, no unused lines of credit, and no assets pledged as collateral for debt. The City's direct borrowings included the following:

Direct Borrowings

- 2012 Public Works Trust Fund Loan – 161st Ave NE Extension
- 2015 State of Washington Department of Ecology Loan – Redmond Way Stormwater Treatment Facility

Below are the terms of the City's debt obligations, related to significant events of default with finance-related consequences, termination events with finance-related consequences, and subjective acceleration clauses, if any.

Public Works Trust Fund (PWTF) Loans– Construction Loan Agreement Between City of Redmond and Washington State Public Works Board (“Board”)

Default in Repayment – Loan repayments shall be made on the loan in accordance with the contract terms. A payment not received within thirty (30) days of the due date shall be declared delinquent and the City shall be assessed a monthly penalty beginning on the first day past the due date. The penalty will be assessed on the entire payment amount. The penalty will be 1% per month or 12% per annum.

Performance Incentives – The City shall complete the project no later than 60 months after the date of contract execution. Failure to meet the time of performance shall constitute default of the contract. The City may request in writing to extend the deadline for the project completion. Should the City complete the project within 48 months after the date of contract execution, the City may exercise an incentive option, to either increase the repayment period or decrease the interest rate. Irrespective of the performance incentive chosen, the minimum loan interest rate shall not be less than 0.25%. The calculation of interest rate and term adjustments will apply to the remaining payments.

Repayment – The City has the right to repay the unpaid balance of the loan in full at any time or make accelerated payments without penalty.

Termination for Cause – If the City fails to comply with the terms of the agreement or fails to use the loan proceeds only for those activities identified in the agreement, the Board may terminate the contract in whole or in part at any time. Nothing in this section shall affect the City's obligation to repay the unpaid balance of the loan.

Termination for Convenience – The Board may terminate the contract if state funds are no longer available to the Board or are not appropriated for the purpose of meeting the Board's obligations under the contract. Termination will be effective when the Board sends written notice of termination to the City. Nothing in this section shall affect the City's obligation to repay the unpaid balance of the loan.

Washington State Department of Ecology (DOE) Loan – Water Quality Facility Project Loan Agreement Between City of Redmond and Washington State DOE (“Department”)

Late Charges – If any amount of the loan agreement remains unpaid after it becomes due and payable, the Department may assess a late charge. The late charge will be 1% per month on the past due amount, starting on the date the debt becomes past due and until it is paid in full. The City will be in default of its obligations under the loan agreement when any loan payment becomes 60 days past due.

Default Events – The loan agreement may be terminated by the Department for insufficient department funds. The loan agreement may also be terminated if the City fails to commence project work or for past due payments. In addition, the City will be in default of its obligations under the loan agreement if, in the opinion of the Department, the City has unjustifiably failed to perform any obligation required of it by the loan agreement. In response to a Department-initiated termination event or in response to a loan default event, the Department may in its sole discretion demand that the City repay the outstanding balance of the loan amount and all accrued interest. From the time that the Department demands repayment of funds, amounts owed by the City to the Department will accrue additional interest at the rate of 1% per month, or a fraction thereof. In the event of a default, the Department shall

not have the right to declare the principal of an interest on the loan immediately due and payable, but repayments not made immediately will incur late charges.

Collection and Enforcement Actions – In the event of a default event, the State of Washington reserves the right to take any actions it deems necessary to collect the amounts due, or to become due, or to enforce the performance and observance of any obligation by the City, under the loan agreement.

Prepayment – So long as the Department holds the loan, the City may prepay the entire unpaid principal balance and accrued interest on the loan or any portion of the remaining unpaid principal balance of the loan amount. Any prepayments on the loan will be applied first to any accrued interest due and then to the outstanding principal balance of the loan amount.

Refinancing or Early Repayment – So long as the Department will hold the loan, the City will give the Department 30 days written notice if the City intends to refinance or make early repayment of the loan.

Termination for Cause – In the event the City unjustifiably fails, in the opinion of the Department, to perform any obligation required of it by the loan agreement, the Department may refuse to pay any further funds thereunder and/or terminate the loan agreement by giving written notice of termination.

Recovery of Payments – In the event the City fails, for any reason, to perform obligations required of it by the loan agreement, the City may be required to repay to the Department all loan funds disbursed to the City for those parts of the project that are rendered worthless in the opinion of the Department by such failure to perform. Interest shall accrue at the rate of 12% per year from the time the Department demands repayment of funds. If payments have been discontinued by the Department due to insufficient funds, the City shall not be obligated to repay monies which had been paid to the City prior to such termination. Any property acquired under the agreement, at the option of the Department, may become the Department's property, and the City's liability to repay monies shall be reduced by an amount reflecting the fair value of such property.

Defeasance of the Loan – So long as the Department holds the loan, the City will not be entitled to, and will not effect, an economic defeasance of the loan. The City will not advance refund the loan. If the City defeases or advances refunds the loan, it will be required to use the proceeds thereof immediately upon their receipt, together with other available City funds, to repay both of the following: (i) the loan amount with interest and (ii) any other obligation of the City to the Department under the loan agreement, unless in its sole discretion the Department finds that repayment from those additional sources would not be in the public interest. Failure to repay the loan amount plus interest within the time specified in the Department's notice to make such repayment will incur late charges and will be treated as a loan default.

Public Works Trust Fund Loans

The City's governmental activities currently have one State of Washington Public Works Trust Fund Loan with principal outstanding of \$661,157. The interest rate is 0.25%. This loan is considered an obligation of the general government and is being repaid from General Fund revenues which are transferred to the Capital Improvement Program Fund where the loan payments are recorded.

The City's business-type activities currently have one State of Washington Agency Fund Loan with principal outstanding of \$2,672,438. In 2012 the City Council of the City of Redmond adopted Resolution #1371, accepting a Washington State Department of Ecology (DOE) loan for funding towards the Redmond Way Water Quality Facility. The loan amount of \$4,412,000 was drawn down on September 2, 2015. The loan bears interest at the rate of 2.6% per annum, calculated on the basis of a 365-day year. The final loan amount will be repaid from the City's utility funds in equal installments semiannually over a term of twenty years.

The Public Works Trust Fund Loans are scheduled to be paid in full in 2025.

Public Works Trust Fund Loans outstanding on December 31, 2024, are as follows:

Governmental Activities				Business Type Activities			
Year	Principal	Interest	Total	Year	Principal	Interest	Total
2025	94,451	1,653	96,104	2025	224,289	68,405	292,694
2026	94,451	1,417	95,868	2026	230,191	62,503	292,694
2027	94,451	1,180	95,631	2027	236,247	56,446	292,693
2028	94,451	945	95,396	2028	242,464	50,230	292,694
2029	94,451	708	95,159	2029	248,843	43,850	292,693
2030-2031	188,902	708	189,610	2030-2035	1,490,403	119,412	1,609,815
Total	<u>\$ 661,157</u>	<u>\$ 6,611</u>	<u>\$ 667,768</u>	Total	<u>\$ 2,672,438</u>	<u>\$ 400,846</u>	<u>\$3,073,283</u>

Other Debt Obligations

As of December 31, 2024, the City's other debt obligations included the following long-term limited tax general obligation (LTGO) and utility system revenue bonds:

Other Debt

- 2015 LTGO Refunding – 2008 Bonds Years 2025-2028 & Transportation Projects
- 2016 LTGO Refunding – 2008 Bonds Years 2019-2025 & Transportation Projects
- 2021 LTGO Refunding Bonds (Taxable) – 2013 City Hall Building
- 2021 Stormwater Refunding (Taxable) – 2014 Capital Improvement Revenue Bonds
- 2022 LTGO Bonds – Senior & Community Center Building

While there are no identifiable listed events of default for the City's publicly sold bonds, terms of default would include: (i) failure to pay principal and interest and (ii) failure to uphold the covenants made in the authorizing ordinances, by which remedial steps would be appropriated. LTGO debt is backed by the full faith and credit of the City. Revenue debt is secured by the pledge of a specific revenue stream, such as utility user fees. The City is liable for principal and interest payments only as they become due. The City's publicly sold bonds are not subject to termination events or acceleration clauses.

General Obligation Bonds

The City issues general obligation bonds to provide funds for the acquisition and construction of major capital facilities. General obligation bonds are direct obligations and pledge the full faith and credit of the City. General obligation bonds have been issued for general government activities and are being repaid from debt service funds.

In 2013 the City issued \$33,085,000 in limited tax general obligation (LTGO) refunding bonds, with a final maturity of December 1, 2035; the callable portion of \$17,115,000 of the bonds was refunded in 2021, and the last principal amount on the unrefunded portion was paid in full in 2023.

In November 2015, the City Council of the City of Redmond adopted Ordinance #2809, providing for the issuance of two series of LTGO and Refunding Bonds in the aggregate principal amount of not to exceed \$31,000,000 to provide funds to finance the costs of transportation improvements, to refund certain outstanding LTGO bonds of the City, and to finance costs of issuance of each series of bonds. In December 2015, the City issued \$9,280,000 in LTGO refunding bonds with an interest rate of 3.00% to advance refund \$8,940,000 of outstanding 2008 LTGO bonds. The reacquisition price exceeded the net carrying amount of the old debt by \$951,425. This amount is being charged to operations through the year 2028 using the straight-line method. The remaining balance of \$288,562 is reported as a deferred outflow in the Statement of Net Position. In January 2016, the City issued \$11,630,000 in LTGO refunding bonds with an interest rate of 2.0%-5.0% to advance refund \$11,675,000 of outstanding 2008 LTGO bonds. The reacquisition price exceeded the net carrying amount of the old debt by \$1,386,462. This amount is being charged to operations through the year 2035 using the straight-line method. During 2024, the City retired its outstanding 2016

LTGO refunding bonds prior to their scheduled maturity date. As a result, no balance remained outstanding at December 31, 2024. In January 2016, the City also issued \$6,000,000 in LTGO bonds with an interest rate of 2.0%-5.0% to provide funds to finance the costs of transportation improvements.

In 2021, the City issued \$18,850,000 in LTGO refunding bonds to advance refund and defeased a portion of the 2013 bonds used to build a City Hall and parking garage and to provide for other enhancements to the City campus. The City realized a net present value savings of 11.29% by advance refunding \$17,115,000 of those bonds in 2021. The debt payments are budgeted biennially and paid from levies of taxes within the constitutional and statutory tax limitations provided by law, without a vote of the voters of the City. Redmond uses general revenues and utility user fees to support these debt payments. The reacquisition price exceeded the net carrying amount of the old debt by \$958,447. This amount is being charged to operations through the year 2035 using the straight-line method, and the remaining balance of \$740,339 is reported as a deferred outflow in the Statement of Net Position.

In 2022, the City issued \$14,015,000 in LTGO bonds to finance a portion of the costs necessary to acquire, construct, design, develop, improve, equip, and furnish the City's Senior and Community Center building. The debt payments are budgeted biennially and paid from the levies of taxes within the constitutional and statutory tax limitations provided by law, without a vote of the city's voters.

General obligation bonds outstanding on December 31, 2024 are as follows:

	Issue Date	Maturity Date	Interest Rate	Amount Issued	Redemptions to Date	Outstanding 12/31/2024
2015 LTGO Refunding Bonds	12/22/2015	12/1/2028	3.0%	9,280,000	170,000	9,110,000
2016 LTGO Refunding Bonds	1/21/2016	12/1/2024	2.0% - 5.0%	11,630,000	11,630,000	-
2016 LTGO Bonds	1/21/2016	12/1/2035	2.0% - 5.0%	6,000,000	2,105,000	3,895,000
2021 LTGO Refunding Bonds- City Hall building	10/14/2021	12/1/2035	0.24% - 2.40%	18,850,000	2,050,000	16,800,000
2022 LTGO Bonds-Senior & Community Center Building	6/1/2022	12/1/2037	2.08% - 3.18%	14,015,000	795,000	13,220,000
Total General Obligation Bonds				\$ 92,860,000	\$ 49,835,000	\$ 43,025,000

Annual debt service requirements to maturity for general obligation bonds are as follows:

Year Ending	Governmental Activities	
	Principal	Interest
2025	4,295,000	1,427,368
2026	4,405,000	1,315,080
2027	4,520,000	1,196,955
2028	4,660,000	1,068,381
2029	2,865,000	933,328
2030-2034	15,795,000	3,142,174
2035-2037	6,485,000	505,900
	<u>\$ 43,025,000</u>	<u>\$ 9,589,186</u>

Revenue Bonds

The City issues revenue bonds to finance construction projects for the City's utilities. Revenue bonds are payable from revenues generated by the user fees and are backed by the Stormwater utilities. Revenue bonds generally require a cash reserve be maintained of 120% of the current portion of revenue bonds payable, plus interest.

The 2014 revenue bonds were issued for \$22,950,000, with a final maturity of December 1, 2034; the callable portion of \$13,865,000 of the bonds was refunded in 2021. The final payment of the unrefunded portion was paid in full on December 1, 2024.

In 2021, the City issued \$15,880,000 in utility system revenue refunding bonds to advance refund and defease a portion of the 2014 stormwater revenue bonds issued to pay for the construction and improvement of various pump stations, access chambers, regional facilities in the Overlake and Downtown areas of the City, flow control, and water quality facilities. The 2014 bonds also included funding for stream and habitat restoration projects. The City realized a net present value savings of 9.09% by advance refunding \$13,865,000 of those bonds in 2021.

The reacquisition price exceeded the net carrying amount of the old debt by \$221,732. This amount is being charged to operations through the year 2034 using the straight-line method and is reported as a deferred outflow in the Statement of Net Position.

Revenue bonds outstanding at year-end are as follows:

	<u>Issue Date</u>	<u>Maturity Date</u>	<u>Interest Rate</u>	<u>Amount Issued</u>	<u>Redemptions to Date</u>	<u>Outstanding 12/31/2024</u>
2014 Stormwater Revenue Bonds (unrefunded portion)	7/24/2014	12/1/2024	3.26% - 4.25%	\$ 22,950,000	\$ 22,950,000	\$ -
2021 Stormwater Refunding Bonds	10/14/2021	12/1/2034	0.25% - 2.34%	<u>15,880,000</u>	<u>915,000</u>	<u>14,965,000</u>
Total Revenue Refunding Bonds				<u>\$ 38,830,000</u>	<u>\$ 23,865,000</u>	<u>\$ 14,965,000</u>

Annual debt service requirements to maturity for revenue bonds are as follows:

<u>Year Ending</u>	<u>Business-type Activities</u>	
	<u>Principal</u>	<u>Interest</u>
2025	1,400,000	265,915
2026	1,415,000	251,033
2027	1,430,000	233,870
2028	1,450,000	212,791
2029	1,475,000	189,533
2030-2034	7,795,000	517,550
	<u>\$ 14,965,000</u>	<u>\$ 1,670,692</u>

Changes in Long-Term Liabilities

Long-term liability activity for the year ended December 31, 2024, was as follows:

	Beginning Balance	Additions	Reductions	Ending Balance	Due Within One Year
Governmental Activities:					
Bonds Payable:					
General Obligation Bonds	\$ 47,145,000	\$ -	\$ (4,120,000)	\$ 43,025,000	\$ 4,295,000
For issuance premiums	3,670,470	-	(1,104,142)	2,566,328	-
Total Bonds Payable	50,815,470	-	(5,224,142)	45,591,328	4,295,000
Direct borrowings	755,606	-	(94,451)	661,155	94,451
Compensated absences	7,719,741	27,081,107	(14,936,609)	19,864,239	15,891,391
Net pension liability	4,935,292	-	(1,275,312)	3,659,980	-
Other post employment benefits	15,383,941	-	(504,398)	14,879,543	377,171
Total firefighters' pension	502,482	45,957	-	550,343	1,904
Asset retirement obligation	268,123	6,033	(67,031)	207,125	3,308
Subscription	2,592,099	204,023	(1,129,739)	1,666,383	882,697
Leases	2,904,300	732,043	(472,897)	3,163,446	703,126
Total Governmental activity long-term liabilities	\$ 85,877,054	\$ 28,071,067	\$ (23,704,579)	\$ 90,243,542	\$ 22,249,048
Business-Type Activities:					
Bonds Payable:					
Revenue Bonds	\$ 16,310,000	\$ -	\$ (1,345,000)	\$ 14,965,000	\$ 1,400,000
For issuance premiums	141,748	-	(141,748)	-	-
Total Bonds Payable	16,451,748	-	(1,486,748)	14,965,000	1,400,000
Direct borrowings	2,890,977	-	(218,539)	2,672,438	224,289
Compensated absences	895,909	2,326,042	(1,381,779)	1,840,172	1,472,138
Asset retirement obligation	574,080	15,391	(61,067)	528,404	6,888
Net pension liability	1,219,015	-	(256,060)	962,955	-
Leases	197,610	1,606	(24,360)	174,856	24,360
Total Business-type activity long-term liabilities	\$ 22,229,339	\$ 2,343,039	\$ (3,428,553)	\$ 21,143,825	\$ 3,127,675

Internal service funds predominantly serve governmental funds. Accordingly, their long-term liabilities for governmental activities are included in the above totals. At year-end, \$36,012 of internal service funds' net pension liability, and \$1,537,637 of subscription liabilities are included in the above amounts.

The General Fund liquidates the other post-employment benefits, liabilities, and pension obligations.

Arbitrage

Arbitrage occurs when the City invests funds borrowed at tax-exempt interest rates in higher-yielding taxable securities. These interest earnings in excess of interest expense must be remitted to the federal government. At the fund level, the City recognizes this liability only when it is due and payable. The City had no arbitrage excess earnings liability in 2024.

Additional information on the City's long-term liabilities is provided in the City's Debt Manual, which is available at:

<https://www.redmond.gov/DocumentCenter/View/36500/2025-Debt-Manual-PDF>

NOTE 12:
Leases & Subscription-Based IT Arrangements (SBITA)

Leases

In 2022, the City applied the new lease standards to all contracts that convey control of the right to use another entity's nonfinancial assets as specified in the contract for a period of time in an exchange or exchange-like transactions.

Under the relevant standards, the lessor is required to recognize a lease receivable and deferred inflow of resources, and a lessee is required to recognize a lease liability and an intangible right-to-use lease asset.

City as Lessor:

The City, as a lessor, has entered into lease agreements involving land, office space, telecommunication sites, pump station sites, and equipment facilities. The terms and conditions of these leases vary, with periods ranging from one to ten years. We have generally included these renewal periods in the lease term when it is reasonably certain that we will exercise the renewal option. The City's lease arrangements do not contain any material residual value guarantees. Since the implicit interest rate in the City's leases is not readily determinable, the City utilizes its incremental borrowing rate, ranging between 6.48% to 6.74%, to discount these lease payments.

The minimum lease payments receivable on leases are shown below:

Year	Governmental Funds	
	Principal	Interest
2025	\$ 258,132	\$ 66,810
2026	\$ 195,593	\$ 51,610
2027	\$ 152,866	\$ 38,067
2028	\$ 114,562	\$ 27,489
2029	\$ 92,329	\$ 19,505
2030-2032	\$ 187,821	\$ 21,653
Total	\$ 1,001,303	\$ 225,134

The minimum lease payments receivable on leases are as follows:

Year	Proprietary Funds	
	Principal	Interest
2025	\$ 128,634	\$ 62,696
2026	\$ 145,089	\$ 53,895
2027	\$ 127,782	\$ 43,982
2028	\$ 143,241	\$ 35,394
2029	\$ 122,538	\$ 25,555
2030-2032	\$ 253,801	\$ 35,841
Total	\$ 921,085	\$ 257,363

The total amount of inflow of resources, including lease revenue, interest revenue, and other lease-related inflows, recognized during the fiscal year are as follows:

	Governmental Activities	Business-Type Activities	Total
Lease revenue	\$ 391,733	\$ 261,664	\$ 653,397
Interest revenue	\$ 77,493	\$ 66,945	\$ 144,438

City as Lessee:

As a lessee, the City's general government has entered into lease agreements involving building space and equipment. The terms and conditions of the lease vary, with the terms ranging from one to seven years. The total of the City's lease assets is recorded at a cost of \$4,459,863, less accumulated amortization of \$1,612,581.

The Statement of Net Position shows the following amounts relating to leases:

Lease payable	Governmental Activities	Business-Type Activities	Total
Current	\$ 703,126	\$ 24,360	\$ 727,486
Non-current	2,460,320	150,497	2,610,818
Total	\$ 3,163,447	\$ 174,857	\$ 3,338,303

The future lease payments under lease agreements are as follows:

	Governmental Funds	
Year	Principal	Interest
2025	703,126	184,736
2026	702,715	140,055
2027	681,765	94,527
2028	543,914	56,086
2029	531,926	18,074
2030-2032	-	-
Total	\$ 3,163,447	\$ 493,478

The City's proprietary funds, as lessees, have entered into lease agreements on land for terms and conditions ranging from one to ten years. The City's lease assets are recorded at a cost of \$244,726, less accumulated amortization of \$53,285.

The future lease payments under lease agreements are as follows:

Year	Proprietary Funds	
	Principal	Interest
2025	\$ 24,360	\$ 11,911
2026	\$ 26,038	\$ 10,232
2027	\$ 25,459	\$ 8,457
2028	\$ 22,296	\$ 6,912
2029	\$ 23,868	\$ 5,340
2030-2032	\$ 52,836	\$ 5,580
Total	\$ 174,857	\$ 48,432

Subscription-Based Information Technology Arrangements (SBITA)

Subscription Payable

For the year ending 12/31/2024, the financial statements include the adoption of standards for Subscription-Based Information Technology Arrangements (SBITA). The primary objective of this statement is to enhance the relevance and consistency of information about governments' subscription activities. This statement establishes a single model for subscription accounting based on the principle that subscriptions are financings of the right to use an underlying asset.

Under this statement, the City is required to recognize both a subscription liability and an intangible right-to-use subscription asset in the Internal Service Fund and the government-wide financial statements. When a SBITA contract begins, the City initially measures the subscription liability based on the present value of the expected payments during the subscription term. Over time, the subscription liability is decreased by the principal portion of subscription payments.

The subscription asset is initially recorded at the same value as the subscription liability, adjusted for any payments made before the subscription start date and certain initial direct costs. It is then amortized on a straight-line basis over its useful life.

As of 12/31/2024, the City has 10 active subscriptions. The subscriptions have payments that range from \$9,588 to \$689,443 and interest rates that range from 2.5827% to 2.8510%. The total combined value of the subscription liability is \$1,666,383, and the total combined value of the short-term subscription liability is \$882,697. The combined value of the right-to-use assets, as of 12/31/2024, of \$3,671,376 with accumulated amortization of \$1,918,828 is included in the subscription class activities table below. The subscriptions have zero variable payments and zero other payments, which are not included in the subscription liability, within the calendar year.

The City's SBITA contracts do not contain any material residual value guarantees. As the interest rate implicit in the City's SBITA contracts is not readily determinable, the City utilizes its incremental borrowing rate to discount the subscription payments.

The Statement of Net Position shows the following amounts relating to SBITA contracts:

For Lessee: Right-to-use SBITA assets	Governmental Activities	Business-Type Activities	Total
SBITA	\$ 3,671,376	\$ -	\$ 3,671,376
Total	\$ 3,671,376	\$ -	\$ 3,671,376

SBITA payable	Governmental Activities	Business-Type Activities	Total
Current	\$ 882,697	\$ -	\$ 882,697
Non-current	783,686	-	783,686
Total	\$ 1,666,383	\$ -	\$ 1,666,383

The future principal and interest subscription payments as of December 31, 2024, are as follows:

Year	Governmental Funds	
	Principal	Interest
2025	\$ 882,697	\$ 45,663
2026	766,628	21,586
2027	17,058	442
Total	\$ 1,666,383	\$ 67,690

NOTE 13:

Tax Abatement

The State of Washington enters into various tax abatement agreements that reduce the amount of tax revenue that flows to local jurisdictions. The Department of Revenue provides the reported figures, which are estimates based on calendar year 2023 as a proxy for fiscal year 2024.

Three state tax abatement programs reduced the 2024 tax revenues of the City of Redmond, as follows:

High-Technology Sales and Use Tax Deferral Program

RCW 82.63 provides a deferral and ultimate waiver of sales and use tax to encourage the creation of high-wage, high-skilled jobs in Washington state. The deferral applies to sales and use tax arising from the construction or expansion of a qualified research and development facility or a pilot-scale manufacturing facility used in advanced computing, advanced materials, biotechnology, electronic device technology, or environmental technology. This program expired on January 1st, 2015.

Businesses that hold approved certificates under this program must begin “meaningful construction” no later than December 31, 2019 (five years from the date the program expired). If the business does not start meaningful construction by December 31, 2019, the deferral certificates become invalid, and businesses will immediately owe any deferred taxes. “Meaningful construction” refers to active construction activities. Examples include building site excavation, laying a building foundation, and other clear indicators of construction progress. Conversely, planning, permitting, and land clearing are not considered active construction.

This abatement program is estimated to reduce the City of Redmond's 2024 sales and use tax revenues by \$2,463,385.

Aerospace Incentives

RCWs 82.08.975 and 82.12.975 provide tax abatement on the purchase and use of computer hardware, software, or peripherals when the buyer uses the purchases primarily in developing, designing, and engineering aerospace products. Under this incentive program, the sales and use tax exemption is also granted to aerospace services, including installation charges for computer hardware, software, or peripherals.

Since the Department of Revenue cannot disclose tax information for less than three taxpayers for either state or local estimates, the estimated reduction in 2024 sales and use tax revenues for the City of Redmond is, therefore, not available for this abatement program.

Multi-Unit Urban Housing Property Tax Exemption

RCW 84.14.020 offers a property tax exemption to enhance residential opportunities in urban centers. To qualify for this exemption, a property must meet the following criteria:

1. It must be located in a designated residential area.
2. At least fifty percent of the space must be dedicated to permanent residential occupancy.
3. The property must comply with all construction and development regulations.
4. Construction must be completed within three years of application approval.

Additionally, for a property to qualify as a rehabilitated unit, it must fail to comply with one or more applicable state or local building or housing codes standards as of July 23, 1995, or later.

To qualify for a property tax exemption, property owners must apply for an exemption certificate before starting construction and submit an annual report to the state. The exemption amount is based on the taxes applied to the total appraised value of the residential improvements on the property. If any part of the property no longer satisfies the exemption requirements, the tax exemption will be canceled. A lien will be imposed on the property for the additional real estate tax on the value of the non-qualifying improvements, along with a twenty percent penalty and interest.

This abatement program is estimated to reduce the City of Redmond's 2024 multi-unit urban housing property tax by \$846,473.

NOTE 14:

Component Units

RCW 36.145 authorizes cities to form Community Facilities Districts (CFDs) when the owners of one hundred percent (100%) of the land to be included in the district petition the city to do so. The CFDs are independently governed, special-purpose districts vested with the corporate authority included under Article VII, section 9 of the state Constitution, to make local improvements by special assessments.

The City has formed two Community Facilities Districts:

Redmond Community Facilities District 2014-1 is a special-purpose district established on July 15, 2014, by Resolution No. 1411 from the City Council of Redmond, Washington. This formation was initiated in response to a petition from Microsoft Corporation, requesting the creation of a community facilities district designed to finance the construction of a pedestrian/bicycle bridge over SR 520 at the Overlake Transit Station, as well as the installation of canopy coverage for waiting areas at the same station. The improvements will be funded through special assessments totaling \$33,300,000, levied against specific properties owned by Microsoft Corporation. These assessments will be paid in fifteen equal annual installments, with the first installment due in November 2015. Initially, Microsoft was expected to advance the project funds in annual installments from December 2014 to December 2017. However, changes to the project scope approved by the Board on April 7, 2020, necessitated amendments to the funding agreement. Specifically, the CFD Board voted to remove the construction of the pedestrian/bicycle bridge from the planned improvements. On May 5, 2020, the Board formally recognized the change in project costs by adjusting the funding agreement. They relieved Microsoft of the obligation to contribute an additional \$10,000,000 to the CFD and arranged for the CFD to refund \$15,411,409 that Microsoft had previously deposited. The design and construction of the project components will be managed by Sound Transit, which has agreed to cover any costs that exceed the assessed amounts. In 2024, construction of the pedestrian/bicycle bridge, known as the Redmond Technology Station Bridge, was completed and dedicated to the City. During fiscal year 2025, the Board of Supervisors adopted a resolution dissolving CFD No. 2014-1.

The Redmond Community Facilities District 2016-1 is a special-purpose district established on June 21, 2016, by Resolution No. 1453 of the City Council of Redmond, Washington. This district was created in response to a petition from Microsoft Corporation to finance the northeast 40th Street Stormwater Trunk Line project, as well as multimodal improvements for eastbound and westbound left-turn lanes at the intersection of 154th Avenue NE and NE 51st Street. Additionally, it includes installing bicycle lanes along NE 51st Street, extending from 154th Avenue NE to the eastbound SR 520 on-ramp. Furthermore, the district will support multimodal improvements along NE 31st Street, from the roundabout just east of SR 520 to 156th Avenue NE, including enhancements to the intersection of NE 31st Street and 156th Avenue NE. The funding for these improvements will be provided through special assessments totaling \$24,618,000, levied against specific Microsoft Corporation properties. This assessment will be paid for in fifteen equal annual installments, with the first installment due in November 2017. Microsoft has advanced the project fund in annual installments from December 2016 to December 2017. The design and construction of these improvements will be managed by the City of Redmond, and the completed projects will become the city's capital assets.

Each Community Facilities District (CFD) Board of Supervisors consists of three members from the Redmond City Council and two representatives nominated by the petitioner, Microsoft. The City Finance Director serves as the Treasurer for the CFDs, while City staff provides the necessary accounting and reporting services. Since the City appoints a majority of the Board members and has the authority to impose its will on the organizations through the appointment, hiring, reassignment, or dismissal of those responsible for daily operations, the CFDs primarily serve the City. As a result, the CFDs are reported as blended component units in the Capital Improvement Program funds within the City of Redmond's Annual Financial Report for the fiscal year ended December 31, 2023.

For questions regarding the CFDs or requests for financial statements, please contact the Redmond Community Facilities District Treasurer, c/o Director of Finance, City of Redmond, PO Box 97010, Redmond, WA 98073-9710.

NOTE 15:

Joint Ventures and Operations

Water Storage and Pumping Facility

In February 1990, the City of Redmond (the City) joined with the City of Bellevue to construct, operate, and maintain a joint-use water storage and pumping facility located on the common boundary of the two cities. The City has an undivided interest in the facility of 44%, and the City of Bellevue has an undivided interest of 56%. The City's share of costs to construct the joint-use facility totaled \$2,078,539 and is reported on the business-type activity financial statements as improvements other than buildings. The City recognizes depreciation expense annually. Accumulated depreciation totals \$2,078,539 with a net book value of \$0. The City reimbursed the City of Bellevue \$26,626 for its share of operating costs for 2024.

Budget monitoring information can be obtained from the City of Bellevue Budget Department, 450 – 110th Avenue NE, Bellevue, WA 98004.

Cascade Water Alliance (CWA)

In April 1999, the City of Redmond (the City) entered into an interlocal agreement with seven other water providers in the region to create the Cascade Water Alliance (CWA). The purpose of the CWA is to provide water supply to meet current and future needs of the CWA's members in a cost-effective and environmentally responsible manner.

The CWA is governed by a Board of Directors consisting of one individual representative appointed by resolution of the member's legislative authority. Each member entity must pay annual dues based on the number of units served by the water system within their jurisdiction. The City's dues for 2023 were \$703,502. The City also paid the CWA \$3,849,991 in 2024 for Regional Capital Facilities Charges (RCFCs) for new hookups to the water system that Redmond collected from new customers.

A member may withdraw from the CWA with a resolution of its legislative authority expressing such intent. The Board will then determine the withdrawing member's obligations to the CWA, as well as the withdrawing member's allocable share of the CWA's then-existing obligations. The member's withdrawal shall be effective upon payment of obligations. Members do not hold legal ownership rights in any assets owned by the CWA.

In 2011, the CWA's Board passed a resolution offering to purchase the outstanding RCFCs credits from its members at a discounted rate. These credits were awarded to its members who transferred or retained an independent water supply in excess of its needs. The Alliance's members were allowed to use such credits to apply against future RCFCs. The CWA offered to buy out the RCFC credits at \$2,500 per Cascade Equivalent Residential Unit (CERU) from its members. The City of Redmond chose the one-time redemption option. The payment was finalized and the total of \$ 3,076,875 was sent to the City in December 2012. Such receipt was reported as capital contributions in the City's Water/Wastewater fund on the proprietary funds' Statement of Revenues, Expenses, and Changes in Fund Net Position. These monies were used to help pay off the remaining balance of the 2008's revenue bonds that became callable in 2018.

Financial statement information can be obtained from Cascade Water Alliance, c/o Chris Paulucci, Finance Director, 11400 SE 8th St, Suite 400, Bellevue, WA 98004.

A Regional Coalition for Housing (ARCH)

In November 1992, the City of Redmond (the City) joined the Cities of Kirkland, Bellevue, and King County to establish A Regional Coalition for Housing (ARCH). The agreement was recently amended in 2010. Since its inception, King County, the Cities of Redmond, Bellevue, Kirkland, Bothell, Clyde Hill, Hunts Point, Issaquah, Kenmore, Mercer Island, Newcastle, Sammamish, Woodinville, Yarrow Point, and Beaux Arts Village joined ARCH.

ARCH's purpose is to cooperatively formulate affordable housing goals and policies and to foster efforts to provide affordable housing for low and moderate-income households by combining public funding with private-sector resources. ARCH assists member governments in developing housing policies, strategies, programs, and development regulations; identifies and prioritizes projects which the member cities fund directly through their own

grants, Community Development Block Grants and US Department of Housing and Urban Development's (HUD) grants.

ARCH is governed by an Executive Board composed of a Chief Executive Officer from each member. The Executive Board is responsible for review and approval of all budgetary, financial, policy and contractual matters. The Board is assisted by an administrative staff and a Citizen Advisory Board.

Each member city provides operating funding and contributes operating revenues as specified in the annual budget for ARCH. Contributions from the member cities are based on each member's population. Contributions by member agencies are held in the ARCH Housing Trust Fund Account and dispersed by the Administering Agency for approved projects. In 2024, the City contributed \$234,358 for operations or 14.07% of the total contributions for operations by all members. The City has accumulated \$3,662,301.61 in the Trust Fund for funding affordable housing projects.

Members may withdraw from the ARCH agreement by giving one year's written notice to the Executive Board, by December 31st of any year, of its intention to terminate, effective December 31st of the following year. Members remain legally and financially responsible for any obligation incurred while a member of ARCH. Upon dissolution, the agreement provides for distribution of all property and assets among the members based on the percentage of the total annual contributions during the period of the agreement paid by each member. The City's share of assets is deemed immaterial and thus is not reflected in the financial statements.

Budget monitoring information can be obtained from ARCH, c/o Lindsay Masters, Executive Director, 16305 NE 87th Street, Suite 119, Redmond, WA 98052.

Eastside Public Safety Communications Agency (EPSCA)

The Eastside Public Safety Communications Agency (EPSCA), an emergency regional radio access service provider operation, was established on May 26, 1992, by an interlocal agreement among the Cities of Redmond, Bellevue, Kirkland, and Mercer Island. The Agreement was amended in 1993, to include the City of Issaquah as an additional Principal. EPSCA began principal operations of the 800 MHz radio system in December 1995.

EPSCA is governed by an Executive Board, which is comprised of the Chief Executive Officers of the Principals. The Executive Board is responsible for review and approval of all budgetary, financial, and contractual matters.

An Operations Committee, composed of the Chief of Police and Fire Chief of each Principal, reports to the Board and oversees budget preparation, rates, revenues, expenditures, policies and other operational issues. The Committee also includes representation from non-Principal EPSCA user agencies.

EPSCA has developed an Eastside radio communications system which is integrated with a regional radio communications network. Its capital funding derives from a September 15th, 1992 voter-approved King County excess property tax levy of \$57,016,764. EPSCA's portion of the levy was \$10,004,469.

Operating revenues derive from fees charged to the Principals for communications services and from subscriber fees for communications services. The City of Redmond paid \$0 to EPSCA in 2024 for the 800 MHz radios that are in use throughout the City. These fees would change when the access fee rate change or when radios are added or removed from the system. Puget Sound Emergency Radio Network (PSERN) took over public safety radio services at the beginning of 2024.

The interlocal agreement among the Eastside cities provides for a weighted vote according to the proportion of each Principal's system radios in relation to the total number of system radios used by all Principals. As of December 31st, 2024, the weighted vote percentage was shown as follows:

Redmond	23.79%
Bellevue	47.02%
Kirkland	18.60%
Mercer Island	5.95%
Issaquah	4.64%
	100.00%

These percentages are reviewed and adjusted annually at January 1st, based on the number of radios on the system in use by current Principals as of December 31st of the preceding year. Upon dissolution, the interlocal agreement provides for distribution of assets among the Principals based on weighted voting percentages in force at the time of dissolution.

Budget monitoring and compiled financial statements for EPSCA can be obtained from EPSCA, c/o Kale Fong, MS PSEPS, P.O. Box 97010, Redmond, WA 98073-9710.

Puget Sound Emergency Radio Network Operator (PSERN Operator)

Puget Sound Emergency Radio Network Operator (PSERN Operator) is a separate governmental agency pursuant to RCW 39.34.030(3) that is organized as a non-profit corporation under Chapter 24.06 RCW. It is authorized by the Interlocal Corporation Act for the purpose of owning, operating, maintaining, managing and on-going upgrading/replacing of the PSERN system during the Operations Period. The expenses of the PSERN Operator shall be financed through a funding measure approved by voters at the April 2015 election and with user fees (Service Rates) to be assessed against and paid by all User Agencies.

The Board of Directors are composed of four voting members: King County Executive or a designee of the executive approved by the King County Council, City of Seattle Mayor or his/her designee, one mayor or city manager or his/her designee representing the Cities of Redmond, Bellevue, Issaquah, Kirkland, and Mercer Island, and one mayor or city manager or his/her designee representing the Cities of Auburn, Federal Way, Kent, Renton and Tukwila. All participants do not have any ongoing financial interest or responsibility; as a result, the PSERN Operator is a jointly governed organization.

Hazardous Materials Unit and Response Team (HazMat)

In January 1984, the City of Redmond (the City) joined the Cities of Bellevue, Kirkland, Bothell, and King County Fire Protection Districts 16 and 36 to form a Hazardous Materials Unit and Response Team (HazMat). The agreement was recently modified on July 13th, 2004. Current members are the Cities of Redmond, Bellevue, Kirkland, Bothell, Snoqualmie, along with Eastside Fire & Rescue, Woodinville Fire & Life Safety District, and King County Fire Districts 27 & 45.

The purpose of the HazMat agreement is to provide equipment and personnel for improving the quality of emergency services through development of the cooperative HazMat unit as a normal function of fire protection services. Eastside is better prepared to respond to any HazMat incident with low frequency but high risk through this existing collaborative model.

The HazMat team is governed by a Joint Board which is composed of the Fire Chiefs of the member agencies plus one member from the HazMat team. The Joint Board is responsible for formulating policy, establishing annual budgets, and acquiring, holding, and disposing of real and personal property. With the exception of the member from the HazMat team, each representative on the Joint Board has a vote on all matters. Member agencies have no equitable interest in the holdings of the consortium as stated in the agreement.

The City of Bellevue has the administrative authority for operations conducted pursuant to the agreement and provides administrative and secretarial support to the Joint Board.

The agreement may be terminated at any time upon the mutual agreement of all the members. A decision to withdraw will not relieve the withdrawing member of liability incurred prior to withdrawal. Members withdrawing from the agreement relinquish all rights to any reserve funds, equipment, or material purchased. Upon dissolution, the agreement provides for distribution of assets among the members based on the percentage of the total annual charges paid by each member during the period of the agreement.

The HazMat team has no outstanding debt or leases in 2024. Operating revenues are provided by an annual charge assessed each member based on each member's property values and number of emergency incidents. The City paid the HazMat team \$23,458 for 2024's contract fee.

Budget monitoring information can be obtained from Eastside Hazardous Materials Joint Board, c/o Babette Bechtold, Bellevue Fire Department, 450 110th Avenue N.E., Bellevue, WA 98004.

Community Connectivity Consortium

The Community Connectivity Consortium (the Consortium) is a public corporation organized pursuant to the ordinances and approvals of the Consortium members and RCW 35.21.730 through 35.21.759 and Chapter 39.34.RCW. The Consortium was created in 2011 and is governed by sixteen public agencies who are voting members: cities of Redmond, Bellevue, Kirkland, Renton, Auburn, Kent, Tukwila, Lake Washington School District, University of Washington, Bellevue College, Bellevue School District, Evergreen Hospital, Renton School District, Valley Communication Center, NORCOM, and King County.

The Consortium sets the terms and conditions for sharing fiber optic installation projects, outlines how the parties will work together on fiber projects and establishes the original backbone of the Fiber Consortium network through contributions of budget, fiber assets, conduit, right of way and staff expertise. It has built over 35 miles of fiber optic cable, creating strategic connection points along the way. The partners use the fiber network to connect schools and universities to enhance learning; to connect hospitals, medical facilities and clinics to improve health care; connect government facilities for public safety, transportation and other needs; and to provide an open access network to serve the public with wireless and broadband access.

The City of Redmond (the City) petitioned to join the Consortium as a non-voting member on May 14th, 2012, and became a voting member at the following year. The City has the option to participate in fiber projects with project agreement that documents scope, roles and responsibilities, ownership, share of the overall project cost, etc.

Since 2012 access to cloud services has become more strategic as more agencies are opting for a hybrid approach with some services in the cloud and others remaining on-premise. The fiber ring provides an integrated approach with the ability to offer high speed private transport of data to the cloud at a minimal cost instead of using transport links provided from network and telecommunication carriers.

As a member, the City paid \$5,355 for its annual dues in 2024. The Board can recommend new projects or services with increased dues and all members get to vote on the recommended budget each May. Besides getting the connectivity any member needs, members with similar interests may share the cost of new projects with one another. The City has equitable interest in the projects it participates in. If the City decides to leave the Consortium, the assets the City acquired under any project agreements remains the City's.

Compiled financial statements for the Consortium can be obtained from Chelo Picardal, Chief Technology Officer, City of Bellevue, Information Technology Department, P.O. Box 90012, Bellevue, WA 98009-9012.

North Sound Metro Special Weapons and Tactics (SWAT) and Crisis Negotiation Team (CNT)

In 2016, the City of Redmond (the City) joined the North Sound Metro Special Weapons and Tactics (SWAT) and Crisis Negotiation Team (CNT), which is a regional team made up of the following cities: Bothell, Edmonds, Kirkland, Lake Forest Park, Lynnwood, Mill Creek, Monroe, Mountlake Terrace, Mukilteo and Redmond. The City joined this team for the purpose of combining resources to create a specially trained and equipped unit to respond to and resolve criminal activity of a high risk nature. The Executive Board is comprised of the Police Chiefs of all participating cities. The Board reviews and approves changes and updates to the SWAT Policy and Procedures Manual and gives approval and direction on operational matters.

Operating revenues are provided by contributions from the participating cities based on population. The City paid \$7,571 for its dues and \$4,874 for SWAT advanced training in 2024. The City's share of assets is deemed immaterial and thus is not reflected in the financial statements. Upon termination of the SWAT team, any funds or jointly purchased assets will be distributed to the participating cities.

Budget monitoring information can be obtained from Deputy Chief Michel St. Jean, Kirkland Police Department, 11750 NE 118th Street, Kirkland, WA 98034.

Sound Cities Association (SCA)

In 1970, Sound Cities Association (SCA) was formed to help cities act locally and partner regionally to create vital, livable communities through advocacy, education, leadership, mutual support and networking. The City of Redmond (the City) is among 38 cities represented by SCA. The SCA Board of Directors oversees the general activities of the Association and governs the organization by establishing broad policies and objectives for SCA. Operating revenues are provided by membership dues based on population. The City's dues were \$58,357 in 2024. The City's share of assets is deemed immaterial and thus is not reflected in the financial statements. Upon dissolution of SCA, any funds or assets shall be distributed to member cities and towns pursuant to the same formula used to determine membership dues.

For additional information contact Robert Feldstein, Executive Director (at robert@soundcities.org), Sound Cities Association, 6300 Southcenter Blvd., Ste. 206, Tukwila, WA 98188.

Northeast King County Regional Public Safety Communication Agency (NORCOM)

In November 2007, the City of Kirkland, with the Cities of Bellevue, Bothell, Clyde Hill, Medina, Mercer Island, and Snoqualmie, along with Eastside Fire and Rescue, King County Fire Protection Districts 27 and 45, King and Kittitas County Fire Protection District 51, Northshore Fire Department, Shoreline Fire Department, and Woodinville Fire and Life Safety District entered into an interlocal agreement to establish and maintain a consolidated emergency service communications center to the public for emergency medical services, fire and police.

In 2008, the City of Redmond (the City) joined as a subscriber. Prior to the interlocal agreement, the formation efforts were carried out under a Joint Powers Agreement originally approved in 2005 and amended in 2006 and 2007. On July 1st, 2009, the separate dispatch operations of the Cities of Bellevue and Kirkland were combined and began operating as the Northeast King County Regional Public Safety Communications Agency (or NORCOM). NORCOM includes 911 telephone answering, computer aided dispatch of fire, police and EMS resources, public safety field technology and a records management system.

This organization may appear similar to joint ventures as it provides goods or services to the citizenry of two or more governments. However, it doesn't meet the definition of a joint venture because there is no ongoing financial interest or responsibility by the participating governments. The City participates with regional local governments in jointly governed organizations.

Operating revenues are provided by user fees charged to each member based on average call volume. The City paid \$702,287 to NORCOM for calls for services and maintenance fees in 2024. The City has become a principal agency since January 1st, 2017.

Additional financial information can be obtained from NORCOM, c/o Marianne Deppen, Finance Manager, P.O. Box 50911, Bellevue, WA 98015-0911.

NOTE 16:
Contingencies and Litigation

As of December 31, 2024, there were a number of damage claims and lawsuits pending against the City. However, per the management and the City's Attorney, neither the potential liability from any single claim or lawsuit, nor the aggregate potential liability resulting from all pending claims and lawsuits, would materially affect the financial condition of the City.

NOTE 17:

Risk Management

The City of Redmond (the City) is exposed to various risks of loss such as: theft of, damage to, destruction of assets; errors & omissions; injuries or property damage to others; employees' health; and natural disasters. The City has three internal service funds to account for and finance its self-insured risks of loss. The City purchases commercial insurance for claims in excess of anticipated self-insured losses. All funds of the city participate in the self-insurance programs and make payments to the self-insurance funds based on estimates of the amounts needed to pay excess insurance and related risk management and service costs, prior and current year claims paid in the current year, and to maintain adequate reserves for catastrophic losses in a given year.

Property and Liability Claims Program

For 2024, the self-insured portion of the Insurance Claims and Reserve Fund provides coverage up to a maximum of \$500,000 per occurrence for related claims and expenses. There were no claims which exceeded the City's self-insurance limit in 2024; no claims exceeded the limit in 2023; and there was one (1) claim exceeded the limit in 2022. Reserves for open claims are established by an independent claim adjusting firm on a case reserve basis based on the assessment of the settlement potential and costs specifically associated with a particular claim, given the information available at the time. Cases are reviewed at least monthly and are subject to periodic audits. Lawsuits are reviewed and handled directly by the City Attorney or the excess insurer's appointed legal counsel.

The City's current approach to risk management stems from 2010 when the City conducted a comprehensive review of its property and liability risk programs. As a result, the City issued a request for proposal (RFP) for a broker/consultant and selected Bannon Carlson & Kessel, Inc. In 2015, Bannon Carlson & Kessel, Inc. joined Leavitt Group's Northwest office. Leavitt Group conducted a search for service providers to meet the City's needs. This resulted in the City selecting Travelers Insurance for liability coverage and retaining Affiliated F.M. for property coverage. As a result, in 2015, the City's risk program changed from a \$100,000 self-insured retention for general liability claims to a \$25,000 deductible. In September 2022, the City replaced Travelers with the Cities Insurance Association of Washington (CIAW) through Leavitt Group. As a result, the liability limits were re-written to \$30 million for general liability/excess umbrella as described in the table below. The CIAW is a public entity risk program that provides comprehensive property and liability coverage, and it was formed with the purpose of sharing risk and creating buying power for its members. Currently, CIAW has over 200 members, including 63 Washington cities. A Board of Directors, which is elected by the membership, governs the CIAW and decides the organization's future direction. The Board contracts with a third-party administrator, Clear Risk Solutions, to carry out the day-to-day administrative duties, as well as provide claims and risk control services. Prior to its relationship with Travelers, the City was a member of CIAW.

A deductible limit is typically applicable to expenses and claim damages/settlements. For first-party claims, it is usually withheld from payment, while in third-party claims, it is often back-billed to the insured upon payment issuance. A self-insured retention (SIR) is also applicable to expenses and claim damages/settlement; however, under an SIR, typically the insured is responsible for paying all costs up to the SIR limit before the insurance carrier begins issuing payments. There were no claims in 2024 which exceeded the deductible amounts; no claims in 2023 exceeded the deductible amounts; and there was one (1) claim in 2022 which exceeded the deductible amounts.

Medical Self Insurance Program

For 2024, the Medical Self-Insurance Fund provided coverage up to a maximum of \$175,000 per person per calendar year with the Excess Insurance covering an Unlimited Major Medical Maximum. There were three (3) claimants who exceeded the per-person limit in 2024; there were two (2) claimants who exceeded the per-person limit in 2023; and there were four (4) claimants who exceeded the per-person limit in 2022. All funds of the City from which employee wages are paid make premium payments to the Medical Self-Insurance Fund based on health insurance rates derived from actual fund experience and historical and market trend rates.

For several years, the City's Medical Self-Insurance Fund was carrying excess reserves of approximately \$5 million. On March 19, 2019 Council approved the establishment of Health Reimbursement Arrangement (HRA) Voluntary Employees' Beneficiary Association (VEBA) accounts for employees based on eligibility requirements and the use of reserves in the Medical Self-Insurance Fund to support the new accounts. HRA VEBA trust is a third-party, Voluntary Employees' Beneficiary Association (VEBA) authorized under Internal Revenue Code 501(c)(9). Trust

offers tax-exempt funded health reimbursement arrangement. On April 25th, 2019, a total of \$4,935,775 of excess reserves was transferred, on a one-time basis, from Medical Self-Insurance Fund to HRA VEBA employee accounts.

Council authorized the City to self-insure workers' compensation benefits effective January 1, 1998 for employee injuries and illnesses. In 2024, the City's self-insured maximum was \$1,000,000 of each accident or illness for Police and Fire and \$750,000 for the rest of the employees. There was an exception for the wildland fires. If any firefighters were injured during a "wildland event", the self-insured maximum would be \$1,500,000. The City purchases excess insurance above the self-insured amounts, up to the statutory requirements. There were no claims which exceeded the insurance coverages for each of the past three fiscal years. Claims handling is currently contracted to an independent, qualified third-party administrator (TPA).

As of December 31, 2024, the City had reserves of \$1,457,694 in the Insurance Fund, \$7,190,042 in the Medical Self-Insurance Fund, and \$2,553,290 in the Workers' Compensation Fund to provide against risk of future loss. Claims liabilities of \$336,587 have been reported in the Insurance Fund, \$6,081,000 in the Medical Self-Insurance Fund, and \$794,645 in the Workers' Compensation Fund based on estimates provided by the City's third-party administrators. Historical claims liabilities for incurred but not reported (IBNR) in the Insurance Claims and Reserve Fund average 15% to 17% of paid claims for the year. Reported claims liabilities are based on the requirements of relevant standards, which requires that a liability for claims be reported if information prior to the issuance of the financial statements indicates that it is probable that a liability has been incurred at the date of the financial statements and the amount of the loss can be reasonably estimated.

Changes in the self-insurance funds' claims liabilities from fiscal year ended December 31, 2023 to December 31, 2024, were:

	<u>Insurance Fund</u>	<u>Medical Insurance Fund</u>	<u>Workers' Comp Fund</u>
December 31, 2023			
Unpaid claims, beginning of fiscal year	\$ 92,164	\$ 4,104,000	\$ 501,625
Claims incurred (including IBNRs)	247,479	10,991,130	1,586,456
Claims payments	(231,715)	(10,052,130)	(1,405,574)
Unpaid claims-December 31, 2023	<u>\$ 107,928</u>	<u>\$ 5,043,000</u>	<u>\$ 682,507</u>
December 31, 2024			
Unpaid claims, beginning of fiscal year	\$ 107,928	\$ 5,043,000	\$ 682,507
Claims incurred (including IBNRs)	2,928,001	12,727,834	865,736
Claims payments	(2,699,342)	(11,689,834)	(753,599)
Unpaid claims-December 31, 2024	<u>\$ 336,587</u>	<u>\$ 6,081,000</u>	<u>\$ 794,645</u>

Commercial insurance policies were purchased to protect the City from claims which exceed the coverage provided by the self-insurance funds.

<u>Policy Type</u>	<u>Coverage</u>	<u>Self-Insurance Retention</u>	<u>Excess</u>
Property Policy Limit	\$250,000,000	\$100,000	
Earth Movement	5,000,000	250,000	
Flood	5,000,000	100,000	
Employee Theft	1,225,000	25,000	
General Liability - Per Occurrence	5,000,000	500,000	
General Liability - Aggregate	5,000,000		
Law Enforcement	5,000,000	500,000	
Employment Related Practices	5,000,000	500,000	
Auto Liability	5,000,000	500,000	
Umbrella Excess Liability (Excess of General, Auto and Law Enforcement Liabilities)	5,000,000		
Aggregate	5,000,000		
Excess over Umbrella	5,000,000		\$5M XS of \$5M
Excess over Excess	5,000,000		\$5M XS of \$10M
Excess over Excess	5,000,000		\$5M XS of \$15M
Excess over Excess	5,000,000		\$5M XS of \$20M
Excess over Excess	5,000,000		\$5M XS of \$25M
Cyber Liability	4,000,000	500,000	
Public Entity Management Liability	5,000,000	500,000	
Underground Storage Tank Liability - Each	1,000,000	15,000	
Underground Storage Tank Liability - Aggregate	3,000,000		
Aboveground Storage Tank Liability - Each	1,000,000	5,000	
Aboveground Storage Tank Liability - Aggregate	3,000,000		
Excess Workers Compensation	Statutory	\$1,000,000	
Excess Medical Insurance	Unlimited	\$175,000	

Note 18: Other Disclosures

American Rescue Plan Act

In 2021, the federal government passed the American Rescue Plan Act, which authorized the Coronavirus State and Local Fiscal Recovery Funds (CSLFRF). The City was awarded CSLFRF funds of \$9,928,999. The City received \$4,964,500 in 2021 and \$4,964,500 in 2022. The funds must be committed by December 31, 2024, and entirely spent no later than December 31, 2026.

Among the approved uses of this funding, the City is allowed to pay for the provision of government services to the extent of the revenue reduction relative to revenues collected in 2019. To backfill for declined revenues due to the COVID-19 pandemic, \$3.0 million of the American Rescue Plan Act (ARPA) grant funding will be transferred into the utility operating fund, and \$250,000 to the Recreation Activity Fund over the 2023-2024 Biennium.

The proforma calculation of such revenue loss in 2020 amounted to \$9.9 million using the revised base growth rate assumption of 5.2% as provided by the US Treasury Final Rule guidelines.

The remaining ARPA funds will be used for various programs and projects, including small grants to businesses negatively impacted by the COVID pandemic, providing funding and support for human service partnerships and tourism recovery, and technology enhancements to support a hybrid work environment.

As of December 31, 2024, the City has spent \$9,267,870 on qualifying programs.

Opioid Settlement

In 2021, nationwide settlements were reached to resolve opioid litigation brought by states and local political subdivisions against the three largest pharmaceutical distributors – McKesson, Cardinal Health, and AmerisourceBergen – and against manufacturer Janssen Pharmaceuticals, Inc. and its parent company, Johnson & Johnson. The 2021 settlement payments began at the end of 2022. In late 2023, nationwide settlements were reached with three pharmacy chains – CVS, Walgreens, and Walmart – and two additional manufacturers – Allergan and Teva. In 2024, there was a revised projected allocation for Walgreens, which reflected a reduction of \$246,379.

The City will receive \$2.8 million over 17 years, with the final payment to be received in July 2038. The payments received through December 31, 2024, are \$722,309, with an outstanding receivable of \$2,063,153.

In December 2024, the City recorded \$2,063,153 in deferred inflow of resources to support the following programs:

- Improving and expanding treatment for opioid use disorder.
- Supporting individuals in treatment and recovery, including providing comprehensive wrap-around services to individuals with opioid use disorder, including housing, transportation, education, job placement, job training, or childcare.
- Addressing the needs of pregnant women and their families, including those with babies with neonatal disorders.
- Preventing opioid misuse, overprescribing, and overdoses through, among other strategies, school-based and youth-focused programs, public education campaigns, increased availability and distribution of naloxone and other drugs that treat overdoses, additional training and enhancements to the prescription drug monitoring program; and
- Supporting first responders.

NOTE 19:

Asset Retirement Obligation

The City has three types of assets that have asset retirement obligations (AROs) under State law: fuel tanks, drinking water wells, and resource protection wells.

The City first implemented asset retirement obligations in 2020 using a probability-weighted average methodology. The City is required to evaluate all relevant factors at least annually to determine whether the effects of one or more of the factors are expected to change the estimated asset retirement significantly outlays. During this review, additional information was discovered, leading to changes in the City's 2021 assumptions and methodology. Specifically, the cost estimates for each type of ARO and the asset's estimated functional life were updated, and the amortization methodology was revised.

Fuel Tanks:

The City currently has three underground fuel tanks, with legal enforcement liability for decommissioning costs at retirement. An underground fuel tank is an underground storage tank with unconnected underground piping, underground ancillary equipment, and containment systems. In accordance with WAC 173-360A and RCW 90.76, the retirement of these assets would pose a risk of releasing hazardous materials, primarily petroleum, requiring financial assurance for their decommissioning.

To determine the AROs for 2024, the City continued to update the decommissioning cost for the fuel tanks based on the actual 2013 cost.

The City utilized a "remaining years methodology" and amortized the asset over a 35-year useful life.

<u>Underground Fuel Tank</u>	<u>Asset Remaining Useful Life in Years</u>	<u>Asset retirement obligation</u>
15,000 Gal UST (Unleaded gas) in service since 7/1/1997	8	69,042
15,000 Gal UST (Diesel) in service since 7/1/1997	8	69,042
600 Gal UST (Used motor oil) in service since 6/8/1998	9	69,042
		\$ 207,126

Drinking Water Wells

The City has five drinking water wells with legally enforceable liability for decommissioning costs upon retirement. In accordance with WAC 173-160-381, WAC 173-162, and RCW Chapter 18.104 for the Washington Well Construction Act, specific decommissioning steps are required when these drinking water wells are abandoned.

To determine the ARO for 2024, the City focused on the well's linear feet and depth to estimate decommissioning costs.

The City utilized a “remaining years methodology” and amortized the asset over a 100-year useful life.

<u>Drinking Water Wells</u>	<u>Asset Remaining Useful Life in Years</u>	<u>Asset retirement obligation</u>
Wells 1 & 2	99	\$ 28,384
Wells 5	80	8,364
Wells 3	64	8,970
Wells 4	92	10,219
		<u>\$ 55,937</u>

Resource Protection Wells

The City has 83 resource protection wells with legal enforcement liability for decommissioning costs upon retirement. In accordance with WAC 173-160-460 for resource protection wells, decommissioning steps are required when these assets are abandoned. Two resource protection wells were decommissioned in 2022, one in 2023, and three in 2024.

To determine the ARO for 2024, the City updated the fuel tank decommissioning cost to reflect the actual average cost.

The City utilized a “remaining years methodology” and amortized the asset over a 50-year useful life.

<u>Resource Protection Wells</u>	<u>Asset Remaining Useful Life in Years</u>	<u>Asset retirement obligation</u>
4	20	\$ 22,769
2	22	11,385
3	26	17,077
5	27	28,462
4	29	22,769
1	31	5,692
1	32	5,692
29	33	165,079
6	34	34,154
8	35	45,539
2	36	11,385
9	37	51,231
1	39	5,692
2	42	11,385
4	46	22,769
2	49	11,385
		<u>\$ 472,466</u>

Note 20:
Accounting Changes and Error Corrections

Implementation of GASB Statement No. 100

Effective January 1, 2024, the City implemented GASB Statement No. 100, Accounting Changes and Error Corrections, which establishes accounting, presentation, and disclosure requirements for accounting changes and error corrections in previously issued financial statements. The following accounting changes and error corrections were recognized during fiscal year 2024:

General Fund, Arts Activity – Error Correction

During the year ended December 31, 2024, the City of Redmond identified an accounting error from prior periods. Two pieces of art from Parks were not recorded on the city's asset list during an internal audit. A prior period adjustment of \$288,463 was recorded as an increase in fund balance within the General Fund, as shown in the Combining Statement of Revenues, Expenditures, and Changes in Fund Balances for Governmental Funds. This adjustment relates to the Arts Activity Fund, which was omitted in the previous year. Additionally, such expenditures were converted to the accrual basis and included in the arts category under capital assets in the government-wide statement of net position.

	Government-wide statement of net position	Capital asset balance as of (Dec 31, 2023)	Error Correction	Capital asset balance as of (Dec 31, 2024)
Fund 901	Artwork	\$ 2,257,089	\$ 288,463	\$ 2,545,552

	Combining statement of revenues and expenditures	Culture & recreation Fund balance as of (Dec 31, 2023)	Net change in Fund Balance	Error Correction	Culture & recreation balance as of (Dec 31, 2024)
Fund 011	Arts a activity	\$ 356,487	(493,731)	288,463	\$ 151,219

Government-wide Financial Statements – Error Correction

The City of Redmond sought guidance from the State Auditor's Office (SAO) on the accounting treatment of Other Postemployment Benefits (OPEB) for the current fiscal year. As a result of this review, management determined that the deferred outflows of resources and the related OPEB expenses had been misstated. The City corrected the presentation of its OPEB balances for prior periods to ensure full compliance with the accounting and financial reporting pronouncement for postemployment benefits other than pensions.

The correction affected only the government-wide financial statements and resulted in a restatement of beginning net position.

	Government-wide statement of net position	Deferred outflows of resources - OPEB balance as of (Dec 31, 2023)	Net change in deferred outflows of resources	Error Correction	Deferred outflows of resources - OPEB balance as of (Dec 31, 2024)
Fund 901	OPEB	(1,153,120)	(607,579)	\$ 2,053,194	\$ 292,495

During the audit, an error was identified in the City's methodology for the property tax liability accrual in the government-wide financial statements. The methodology resulted in the recognition of a liability that did not represent an obligation of the City.

After consulting with the SAO, the City corrected the liability, resulting in an increased beginning net position by \$264,475.

	Government-wide statement of net position	Property tax accrual balance as of (Dec 31, 2023)	Net change in property tax accrual	Error Correction	Property tax accrual balance as of (Dec 31, 2024)
Fund 901	Property tax accrual liability	(342,603)	78,128	\$ 264,475	\$ (0)

Change in Accounting Principle – GASB Statement No. 101, Compensated Absences

Effective January 1, 2024, the City implemented GASB Statement No. 101, Compensated Absences, which updates the recognition and measurement of compensated absences. Under the new standard, the City expanded its methodology to include qualifying sick leave and its associated payroll-related costs, including MEBT and Medicare costs, in addition to vacation and compensatory leave. This change resulted in an increase in the compensated absences liability for both governmental and business-type activities of \$11,491,107 and \$2,009,029 respectively, in fiscal year 2024.

	Beginning Balance 1/1/2024	Additions	Additions Sick Leave	Reductions	Reductions Sick Leave	Ending Balance 12/31/2024
Governmental Activities:						
Compensated absences	7,719,741.08	27,081,106.89	14,531,107.19	(14,936,608.63)	(3,040,000.04)	19,864,239.34
Business-Type Activities:						
Compensated absences	895,908.56	2,326,041.69	2,502,674.61	(1,381,779.03)	(493,646.07)	1,840,172.22
Total	8,615,649.64	29,407,148.58	17,033,781.80	(16,318,387.66)	(3,533,646.12)	21,704,411.56

Note 21:

Transportation Benefit District

The City of Redmond Transportation Benefit District (TBD) is a quasi-municipal corporation and independent taxing authority that can fund specific transportation efforts.

On May 2, 2023, during their regular business meetings, the City Council adopted an ordinance to establish a TBD by a unanimous vote. The TBD funds maintenance and improvements to city streets, public transportation, safety strategies, and travel options, such as biking and walking, as well as parking facilities and other transportation projects aimed at reducing congestion through a 0.1% sales tax increase.

On June 6, 2023, the City Council held a public hearing on an ordinance to assume the rights, powers, functions, and obligations of the TBD. After this, the TBD no longer exists as a separate legal entity, and the City Council assumes the role of governing body for the district.

The Redmond TBD is required to adopt material change policies, submit annual financial reports to the State Auditor's Office under R.C.W. 36.73.160(2), and provide an annual transportation improvement report. Material change policies mandate, at a minimum, that a TBD hold a public hearing if projected costs for a project increase by more than 20% from the original estimate. The transportation improvement report must include details on the district's revenues, expenditures, and the status of all projects, including costs and schedules.

The City Council serves as the governing body of the TBD and the TBD provides services exclusively for the benefit of the City. Therefore, the TBD's financial activity is presented as a Special Revenue Fund and is included within the City's governmental funds and governmental activities in the Annual Financial Report.

Currently, there are over 110 TBDs in Washington state, established by cities and counties. These districts primarily raise funds through sales and use taxes, as well as vehicle license fees. The City's TBD imposes a 0.1% sales tax on taxable sales within the city limits to generate revenue.

NOTE 22

Subsequent Events

Utility tax of the City's Utilities

On November 19, 2024, the City Council voted to impose a new Utility Tax (1%) on the City's stormwater, Water, and wastewater utilities, estimated to generate \$584,000 in annual revenue over the biennium to provide for public safety needs. The utility tax on utilities is effective beginning January 1, 2025.

Transport Fees for Emergency Medical Services

On November 19, 2024, the City Council approved ordinance 3179, approving an Emergency Medical Services (EMS) transport fee program. The Fire Department proposes adopting an EMS Transport Fee to improve revenue in support of the current EMS program and align with all other Private and Fire-based EMS providers in Kings County and the majority of EMS transport systems throughout the state and nation. In the 2025-2026 budget, \$1.8 million in revenue is projected.

Purchase of Community Center Property from Lake Washington Institute of Technology

The purchase and sale agreement was approved and adopted by Redmond's City Council on Oct. 7, 2025, by LWTech's Board of Trustees on Oct. 9, 2025, and the Board of Directors for the State Board for Community and Technical Colleges on Oct. 16, 2025. The property closed on Oct. 31, 2025.

Affordable Housing Loans

The City executed additional affordable housing loan agreements as part of its participation in the affordable housing program administered by Regional Coalition for Housing (ARCH). These agreements align with the City's previously authorized affordable housing program commitment. In 2025, the City executed a \$3,811,800 loan agreement with Redmond Housing LLC. In 2026, the City executed a \$2,977,600 loan agreement with BW Overlake LLLP for Prisma.

REQUIRED SUPPLEMENTARY INFORMATION

City of Redmond						
Schedule of Revenues, Expenditures and Changes in Fund Balance						
Budget and Actual - General Fund						
For the year ended December 31, 2024						
	Original Budget 2023-2024	Final Budget 2023-2024	2023 Actual	2024 Actual	Actual 2023-2024 Biennium	Variance with Final Budget Positive (Negative)
REVENUES						
Taxes	\$ 185,369,334	\$ 179,869,334	\$ 102,792,520	\$ 100,126,077	\$ 202,918,597	\$ 23,049,263
Licenses and permits	29,159,840	29,159,840	13,120,649	14,844,220	27,964,869	(1,194,971)
Contributions	351,364	426,364	255,108	280,856	535,964	109,600
Intergovernmental	13,616,079	12,563,556	10,004,998	6,677,404	16,682,402	4,118,846
Charges for services	34,416,890	34,495,234	15,414,454	19,458,880	34,873,334	378,100
Fines and forfeitures	561,021	561,021	257,086	311,881	568,967	7,946
Investment income	1,297,000	1,297,000	4,924,862	4,191,075	9,115,937	7,818,937
Miscellaneous	5,153,672	5,832,465	3,185,231	3,634,975	6,820,206	987,741
Total revenues	269,925,200	264,204,814	149,954,908	149,525,368	299,480,276	35,275,462
EXPENDITURES						
Current						
General government	\$ 60,338,026	\$ 71,259,065	29,115,704	31,664,087	60,779,791	\$ 10,479,274
Public safety	124,752,046	127,478,055	62,042,689	66,240,230	128,282,919	(804,864)
Transportation	36,220,329	34,634,299	13,450,134	13,319,154	26,769,288	7,865,011
Economic environment	16,599,597	17,179,004	9,069,330	8,206,308	17,275,638	(96,634)
Social services	9,173,403	9,271,761	4,029,452	4,365,676	8,395,128	876,633
Culture and recreation	40,201,477	29,195,179	13,422,244	13,733,924	27,156,168	2,039,011
Capital outlay	3,674,197	3,749,197	1,307,209	2,599,640	3,906,849	(157,652)
Debt service	-	-	557,776	643,167	1,200,943	(1,200,943)
Principal	-	-	209,120	196,607	405,727	(405,727)
Interest and issuance costs	-	-	133,203,658	140,968,793	274,172,451	18,594,109
Total expenditures	290,959,075	292,766,560	133,203,658	140,968,793	274,172,451	18,594,109
Excess (deficiency) of revenues over (under) expenditures	(21,033,875)	(28,561,746)	16,751,250	8,556,575	25,307,825	53,869,571
OTHER FINANCING SOURCES (USES)						
Disposition of capital assets	-	-	1	4,500	4,501	4,501
Leases	-	-	377,566	-	377,566	377,566
Transfers in	45,400,042	48,207,474	4,093,045	10,397,474	14,490,519	(33,716,955)
Transfers out	(67,142,247)	(68,474,235)	(15,930,524)	(8,243,648)	(24,174,172)	44,300,063
Total other financing sources and uses	(21,742,205)	(20,266,761)	(11,459,912)	2,158,326	(9,301,586)	10,965,175
Net change in fund balance	(42,776,080)	(48,828,507)	5,291,338	10,714,901	16,006,239	64,834,746
Fund balance-beginning	86,512,262	101,983,168	95,358,603	100,649,941	95,358,603	(6,624,565)
Accounting changes and error corrections (Note 21)				288,463	288,463	288,463
Fund balance-ending	\$ 43,736,182	\$ 53,154,661	\$ 100,649,941	\$ 111,653,305	\$ 111,653,305	\$ 58,498,644

REQUIRED SUPPLEMENTARY INFORMATION

City of Redmond
Schedule of Proportionate Share of the Net Pension Liability
PERS 1
As of June 30, 2024
Last 10 Fiscal Years*

	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
Employer's proportion of the net pension liability (asset)	%	0.277269%	0.282854%	0.277829%	0.272760%	0.267873%	0.267230%	0.268282%	0.269140%	0.259271%
Employer's proportionate share of the net pension liability (asset)	\$	14,503,747	15,190,592	12,407,938	10,488,590	9,457,363	3,263,504	7,469,955	6,143,745	4,606,826
TOTAL	\$	14,503,747	15,190,592	12,407,938	10,488,590	9,457,363	3,263,504	7,469,955	6,143,745	4,606,826
Employer's covered payroll	\$	31,572,345	33,640,475	36,583,419	38,037,993	40,491,902	40,927,146	45,890,131	50,632,157	54,295,297
Employer's proportionate share of the net pension liability as a percentage of covered payroll	%	45.94%	45.16%	33.92%	27.57%	23.36%	7.97%	16.28%	12.13%	8.48%
Plan fiduciary net position as a percentage of the total pension liability	%	59.10%	57.03%	61.24%	63.22%	67.12%	68.64%	88.74%	76.56%	84.05%

* Until a full 10-year trend is compiled, information is presented only for those years for which information is available.

REQUIRED SUPPLEMENTARY INFORMATION

City of Redmond
Schedule of Proportionate Share of the Net Pension Liability
PERS 2, 3
As of June 30, 2024
Last 10 Fiscal Years*

	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
Employer's proportion of the net pension liability (asset)	%	0.349456%	0.354613%	0.352032%	0.350327%	0.348441%	0.346017%	0.347312%	0.346958%	0.335664%
Employer's proportionate share of the net pension liability (asset)	\$	12,486,262	17,854,484	12,231,429	5,981,522	3,384,547	4,425,360	(12,881,041)	(14,220,709)	(11,065,409)
TOTAL	\$	12,486,262	17,854,484	12,231,429	5,981,522	3,384,547	4,425,360	(12,881,041)	(14,220,709)	(11,065,409)
Employer's covered payroll	\$	31,081,296	33,183,481	34,513,096	36,338,197	37,874,599	40,387,810	45,778,975	50,632,155	53,799,424
Employer's proportionate share of the net pension liability as a percentage of covered payroll	%	40.17%	53.81%	35.44%	16.46%	8.94%	10.96%	-28.14%	-28.09%	-20.57%
Plan fiduciary net position as a percentage of the total pension liability	%	89.20%	85.82%	90.97%	95.77%	97.77%	97.22%	106.73%	107.02%	105.17%

* Until a full 10-year trend is compiled, information is presented only for those years for which information is available.

REQUIRED SUPPLEMENTARY INFORMATION

City of Redmond
Schedule of Proportionate Share of the Net Pension Liability
PSERS

As of June 30, 2024
Last 10 Fiscal Years*

	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
Employer's proportion of the net pension liability (asset)	%	0.092909%	0.073365%	0.060021%	0.013917%	0.000000%	0.000000%	0.000000%	0.000000%	0.001194%
Employer's proportionate share of the net pension liability (asset)	\$	16,958	31,179	11,760	172	-	-	-	-	509
TOTAL	\$	16,958	31,179	11,760	172	-	-	-	-	509
Employer's covered payroll	\$	268,804	242,743	212,505	54,645	-	-	-	-	491,445
Employer's proportionate share of the net pension liability as a percentage of covered payroll	%	6.31%	12.84%	5.53%	0.31%	-	-	-	-	0.10%
Plan fiduciary net position as a percentage of the total pension liability	%	95.08%	90.41%	96.26%	99.79%	101.85%	123.67%	105.96%	107.90%	102.61%

* Until a full 10-year trend is compiled, information is presented only for those years for which information is available.

REQUIRED SUPPLEMENTARY INFORMATION

City of Redmond Schedule of Proportionate Share of the Net Pension Liability LEOFF 1 As of June 30, 2024 Last 10 Fiscal Years*											
	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	
Employer's proportion of the net pension liability (asset)	%	0.061310%	0.066346%	0.066931%	0.067634%	0.068841%	0.070351%	0.071226%	0.073924%	0.073395%	0.072982%
Employer's proportionate share of the net pension liability (asset)	\$	(738,921)	(683,554)	(1,015,491)	(1,227,897)	(1,360,719)	(1,328,585)	(2,439,891)	(2,120,593)	(2,178,381)	(2,075,527)
State's proportionate share of the net pension liability (asset) associated with the employer	\$	(4,998,043)	(4,623,539)	(6,868,753)	(8,305,462)	(9,203,868)	(8,986,516)	(16,503,361)	(14,343,642)	(14,734,516)	(14,038,814)
TOTAL	\$	(5,736,964)	(5,307,093)	(7,884,244)	(9,533,359)	(10,564,587)	(10,315,101)	(18,943,252)	(16,464,235)	(16,912,898)	(16,114,341)
Employer's covered payroll	\$	182,331	-	-	-	-	-	-	-	-	-
Employer's proportionate share of the net pension liability as a percentage of covered payroll	%	-405.26%	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
Plan fiduciary net position as a percentage of the total pension liability	%	127.36%	123.74%	135.96%	144.42%	148.78%	146.88%	187.45%	169.62%	175.99%	168.48%

* Until a full 10-year trend is compiled, information is presented only for those years for which information is available.

REQUIRED SUPPLEMENTARY INFORMATION

City of Redmond Schedule of Proportionate Share of the Net Pension Liability LEOFF 2 As of June 30, 2024 Last 10 Fiscal Years*

	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	
Employer's proportion of the net pension liability (asset)	%	0.905449%	0.844407%	0.888184%	0.857127%	0.845952%	0.794078%	0.885280%	0.860454%	0.819886%	0.804412%
Employer's proportionate share of the net pension liability (asset)	\$	(9,306,205)	(4,911,324)	(12,325,116)	(17,401,547)	(19,598,111)	(16,198,032)	(51,420,727)	(23,384,541)	(19,665,769)	(15,064,586)
State's proportionate share of the net pension liability (asset) associated with the employer	\$	(6,153,272)	(3,201,826)	(7,995,073)	(11,267,173)	(12,834,137)	(10,357,414)	(33,171,982)	(15,147,996)	(12,558,358)	(9,776,116)
TOTAL	\$	(15,459,477)	(8,113,150)	(20,320,189)	(28,668,720)	(32,432,247)	(26,555,446)	(84,592,709)	(38,532,537)	(32,224,127)	(24,840,701)
Employer's covered payroll	\$	26,361,527	25,582,420	27,783,905	28,236,058	29,619,230	30,024,792	34,022,324	35,662,719	36,962,136	40,176,416
Employer's proportionate share of the net pension liability as a percentage of covered payroll	%	-35.30%	-19.20%	-44.36%	-61.63%	-66.17%	-53.95%	-151.14%	-65.57%	-53.21%	-37.50%
Plan fiduciary net position as a percentage of the total pension liability	%	111.67%	106.04%	113.36%	118.50%	119.43%	115.83%	142.00%	116.09%	113.17%	109.27%

* Until a full 10-year trend is compiled, information is presented only for those years for which information is available.

REQUIRED SUPPLEMENTARY INFORMATION

City of Redmond
Schedule of Employer Contributions
PERS 1

As of December 31, 2024
Last 10 Fiscal Years*

	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
Statutorily or contractually required contributions	\$ 1,444,684	1,653,434	1,789,500	1,885,408	1,983,953	1,944,165	1,784,515	1,731,355	1,713,646	1,488,921
Contributions in relation to the statutorily or contractually required contributions	\$ (1,444,684)	(1,653,434)	(1,789,500)	(1,885,408)	(1,983,953)	(1,944,165)	(1,784,515)	(1,731,355)	(1,713,646)	(1,488,921)
Contribution deficiency (excess)	\$ -	-	-	-	-	-	-	-	-	-
Covered payroll	\$ 32,615,637	34,388,717	36,162,379	36,909,229	40,004,857	40,352,746	41,590,805	45,890,131	50,632,157	54,295,297
Contributions as a percentage of covered payroll	% 4.43%	4.81%	4.95%	5.11%	4.96%	4.82%	4.29%	3.77%	3.38%	2.74%

* Until a full 10-year trend is compiled, information is presented only for those years for which information is available.

Schedule of Employer Contributions
PERS 2, 3
As of December 31, 2024
Last 10 Fiscal Years*

	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
Statutorily or contractually required contributions	\$ 1,814,140	2,112,355	2,461,861	2,751,819	3,077,929	3,187,761	2,962,486	2,911,549	3,220,216	3,421,654
Contributions in relation to the statutorily or contractually required contributions	\$ (1,814,140)	(2,112,355)	(2,461,861)	(2,751,819)	(3,077,929)	(3,187,761)	(2,962,486)	(2,911,549)	(3,220,216)	(3,421,654)
Contribution deficiency (excess)	\$ -	-	-	-	-	-	-	-	-	-
Covered payroll	\$ 32,160,083	33,906,036	35,809,117	36,690,221	39,899,665	40,247,586	41,547,057	45,778,975	50,632,155	53,799,424
Contributions as a percentage of covered payroll	% 5.64%	6.23%	6.87%	7.50%	7.71%	7.92%	7.13%	6.36%	6.36%	6.36%

* Until a full 10-year trend is compiled, information is presented only for those years for which information is available.

REQUIRED SUPPLEMENTARY INFORMATION

City of Redmond
Schedule of Employer Contributions
PSERS

As of December 31, 2024
Last 10 Fiscal Years*

	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
Statutorily or contractually required contributions \$	15,367	17,958	7,514	-	-	-	-	-	-	33,181
Contributions in relation to the statutorily or contractually required contributions \$	(15,367)	(17,958)	(7,514)	-	-	-	-	-	-	(33,181)
Contribution deficiency (excess) \$	-	-	-	-	-	-	-	-	-	-
Covered payroll \$	237,629	272,507	112,895	-	-	-	-	-	-	491,445
Contributions as a percentage of covered payroll %	6.47%	6.59%	6.66%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%	6.75%

* Until a full 10-year trend is compiled, information is presented only for those years for which information is available.

REQUIRED SUPPLEMENTARY INFORMATION

City of Redmond
Schedule of Employer Contributions
LEOFF 2
As of December 31, 2024
Last 10 Fiscal Years*

	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
Statutorily or contractually required contributions	\$ 1,350,946	1,339,697	1,455,369	1,515,013	1,569,795	1,658,832	1,750,521	1,835,836	1,897,432	2,059,206
Contributions in relation to the statutorily or contractually required contributions	\$ (1,350,946)	(1,339,697)	(1,455,369)	(1,515,013)	(1,569,795)	(1,658,832)	(1,750,521)	(1,835,836)	(1,897,432)	(2,059,206)
Contribution deficiency (excess)	\$ -	-	-	-	-	-	-	-	-	-
Covered payroll	\$ 26,751,402	26,528,575	28,238,790	28,691,585	30,083,310	32,073,660	33,902,108	35,662,719	36,962,136	40,176,416
Contributions as a percentage of covered payroll	% 5.05%	5.05%	5.15%	5.28%	5.22%	5.17%	5.16%	5.15%	5.13%	5.12%

* Until a full 10-year trend is compiled, information is presented only for those years for which information is available.

REQUIRED SUPPLEMENTARY INFORMATION

City of Redmond Schedule of Changes in Total Pension Liability and Related Ratios Firefighter's Pension Plan Last 10 Fiscal Years

	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
Total pension liability - beginning	\$ 483,433	\$ 567,121	\$ 685,451	\$ 692,473	\$ 676,110	\$ 640,242	\$ 518,247	\$ 589,347	\$ 513,444	\$ 502,482
Service cost	-	-	-	-	-	-	-	-	-	-
Interest	15,014	17,704	21,443	21,608	21,075	19,919	15,871	18,196	15,825	15,248
Changes in benefit terms	-	-	-	-	-	-	-	-	-	-
Differences between expected and actual experience	97,140	128,397	16,300	(3,536)	(21,894)	(106,394)	129,301	(52,640)	11,017	35,100
Changes of assumptions	-	-	-	-	-	-	(29,517)	-	-	49,463
Benefit payments, including refunds of contributions	(28,466)	(27,771)	(30,721)	(34,435)	(35,049)	(35,520)	(44,555)	(41,459)	(37,804)	(51,950)
Other changes	-	-	-	-	-	-	-	-	-	-
Net change in total pension liability	83,688	118,330	7,022	(16,363)	(35,868)	(121,995)	71,100	(75,903)	(10,962)	47,861
Total pension liability - ending	\$ 567,121	\$ 685,451	\$ 692,473	\$ 676,110	\$ 640,242	\$ 518,247	\$ 589,347	\$ 513,444	\$ 502,482	\$ 550,343
Covered payroll	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
Total pension liability as a % of covered employee payroll	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A

Notes to Schedule:
There are no assets accumulated in a trust that meets the criteria of a qualified plan under relevant standards.

REQUIRED SUPPLEMENTARY INFORMATION

The City of Redmond Schedule of Changes in Total OPEB Liability and Related Ratios OPEB Plan- LEOFF 1 For the year ended December 31, 2024 Last 10 Fiscal Years*

	2018	2019	2020	2021	2022	2023	2024
Service cost	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
Interest	\$ 557,907	\$ 578,786	\$ 523,514	\$ 397,423	\$ 392,846	\$ 501,148	\$ 549,039
Changes in experience data and assumptions	\$ (567,119)	\$ 88,620	\$ 3,177,258	\$ 526,820	\$ (3,756,077)	\$ 1,032,514	\$ (363,678)
Estimated benefit payments	\$ (547,753)	\$ (692,109)	\$ (637,970)	\$ (711,175)	\$ (728,562)	\$ (607,579)	\$ (689,759)
Other changes	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
Net change in total OPEB liability	\$ (566,965)	\$ (24,703)	\$ 3,062,802	\$ 213,068	\$ (4,091,793)	\$ 926,083	\$ (504,398)
Total OPEB liability - beginning	\$ 15,855,449	\$ 15,298,484	\$ 15,273,781	\$ 18,336,583	\$ 18,549,651	\$ 14,457,858	\$ 15,383,941
Total OPEB liability - ending	\$ 15,288,484	\$ 15,273,781	\$ 18,336,583	\$ 18,549,651	\$ 14,457,858	\$ 15,383,941	\$ 14,879,543

Covered-employee payroll**

Total OPEB liability as a % of covered payroll

Notes to Schedule:

Changes of assumptions . Changes of assumptions and other inputs reflect the effects of changes in the discount rate each period. The following are the discount rates used in each period.

2024	3.93%
2023	3.65%
2022	3.54%
2021	2.16%
2020	2.21%
2019	3.50%
2018	3.87%

* Until a full 10-year trend is compiled, only information for those years available is presented.

No assets are accumulated in a trust that meets the criteria in paragraph 4 of the relevant standard

** Covered-employee payroll is the payroll of employees that are provided with OPEB through the OPEB under the relevant standard.

Notes to the Required Supplementary Information

Pensions

Change in Assumptions and Methods: Actuarial results that the Office of the State Actuary provided within the Department of Retirement Systems Participating Employer Financial Information report reflect the following changes in assumptions and methods:

- For all plans except LEOFF Plan 1, how terminated and vested member benefits are valued was corrected.
- How the basic minimum COLA in PERS Plan 1 is valued for legal order payees was improved.
- The average expected remaining service lives calculation was revised. It is used to recognize the changes in pension expense to no longer discount future years of service back to the present day.

Other Postemployment Benefits (OPEB)

Beginning in year 2021, valuation calculations for the Medical and Long-Term Care Benefits were done using the Alternative Measurement Method for OPEB as directed by the Office of the State Actuary.

Budget to Actual Schedules

The City's budget is adopted on a GAAP basis. Expenditure appropriations include ending fund balance.

City of Redmond
Schedule of Expenditures of Federal Awards
For the Year Ended December 31, 2024

Federal Agency (Pass-Through Agency)	Federal Program	ALN Number	Other Award Number	Expenditures			Note
				From Pass- Through Awards	From Direct Awards	Passed through to Subrecipients	
CDBG - Entitlement/Special Purpose Grants Cluster							
ASSISTANT SECRETARY FOR COMMUNITY PLANNING AND DEVELOPMENT, HOUSING AND URBAN DEVELOPMENT, DEPARTMENT OF (via King County Department of Community & Human Services)	Community Development Block Grants/Entitlement Grants	14.218	6484043	44,339	-	44,339	1,4
ASSISTANT SECRETARY FOR COMMUNITY PLANNING AND DEVELOPMENT, HOUSING AND URBAN DEVELOPMENT, DEPARTMENT OF (via King County Department of Community & Human Services)	Community Development Block Grants/Entitlement Grants	14.218	6484044	44,309	-	-	1,4
Total CDBG - Entitlement/Special Purpose Grants Cluster:				88,648	-	44,339	
OFFICE OF JUSTICE PROGRAMS, JUSTICE, DEPARTMENT OF	Bulletproof Vest Partnership Program	16.607		-	18,225	-	1,4
OFFICE OF JUSTICE PROGRAMS, JUSTICE, DEPARTMENT OF	Body Worn Camera Policy and Implementation	16.835	15PBJA-21-GG -04458-BWCX	-	89,352	-	1,4
FEDERAL HIGHWAY ADMINISTRATION, TRANSPORTATION, DEPARTMENT OF (via Washington State Dept of Transportation)	Highway Planning and Construction	20.205	STPUL-2075 (010) 90th St Preservation	48,709	-	-	1,4

The accompanying notes are an integral part of this schedule.

City of Redmond
Schedule of Expenditures of Federal Awards
For the Year Ended December 31, 2024

	Federal Agency (Pass-Through Agency)	Federal Program	ALN Number	Other Award Number	Expenditures			Passed through to Subrecipients	Note
					From Pass- Through Awards	From Direct Awards	Total		
	FEDERAL HIGHWAY ADMINISTRATION, TRANSPORTATION, DEPARTMENT OF (via Washington State Dept of Transportation)	Highway Planning and Construction	20.205	CM-2080(003) 40th Shared Use Path	12,021	-	12,021	-	1, 4
	FEDERAL HIGHWAY ADMINISTRATION, TRANSPORTATION, DEPARTMENT OF (via Washington State Dept of Transportation)	Highway Planning and Construction	20.205	STPUL-2015 (094)	2,861,428	-	2,861,428	-	1, 4
	FEDERAL HIGHWAY ADMINISTRATION, TRANSPORTATION, DEPARTMENT OF (via Washington State Dept of Transportation)	Highway Planning and Construction	20.205	STPUL-2085 (006)	9,152	-	9,152	-	1, 4
	FEDERAL HIGHWAY ADMINISTRATION, TRANSPORTATION, DEPARTMENT OF (via Washington State Dept of Transportation)	Highway Planning and Construction	20.205	CM- CRPUL2079 (018)	8,057	-	8,057	-	1, 4
	FEDERAL HIGHWAY ADMINISTRATION, TRANSPORTATION, DEPARTMENT OF (via Washington State Dept of Transportation)	Highway Planning and Construction	20.205	STBGUL-1905 (007)	187,892	-	187,892	-	1, 4

The accompanying notes are an integral part of this schedule.

City of Redmond
Schedule of Expenditures of Federal Awards
For the Year Ended December 31, 2024

	Federal Agency (Pass-Through Agency)	Federal Program	ALN Number	Other Award Number	Expenditures			Passed through to Subrecipients	Note
					From Pass- Through Awards	From Direct Awards	Total		
	FEDERAL HIGHWAY ADMINISTRATION, TRANSPORTATION, DEPARTMENT OF (via Washington State Dept of Transportation)	Highway Planning and Construction	20.205	CM-CDS-1065 (013)	612,885	-	612,885	-	1, 4
				Total ALN 20.205:	3,740,144	-	3,740,144	-	
	Federal Transit Cluster								
	FEDERAL TRANSIT ADMINISTRATION, TRANSPORTATION, DEPARTMENT OF (via King County Metro)	Federal Transit Formula Grants	20.507	WA-2020-087- 00	74,617	-	74,617	-	1, 4
			Total Federal Transit Cluster:		74,617	-	74,617	-	
	Highway Safety Cluster								
	NATIONAL HIGHWAY TRAFFIC SAFETY ADMINISTRATION, TRANSPORTATION, DEPARTMENT OF (via Washington State Traffic Safety Commission)	State and Community Highway Safety	20.600	2024-HVE-5118	16,101	-	16,101	-	1, 4
			Total Highway Safety Cluster:		16,101	-	16,101	-	
	OFFICE OF THE SECRETARY, TRANSPORTATION, DEPARTMENT OF (via Puget Sound Regional Council)	Safe Streets and Roads for All	20.939	693JU32340054	88,554	-	88,554	-	1, 4

The accompanying notes are an integral part of this schedule.

City of Redmond
Schedule of Expenditures of Federal Awards
For the Year Ended December 31, 2024

					Expenditures				
					From Pass-Through Awards	From Direct Awards	Total	Passed through to Subrecipients	
Federal Agency (Pass-Through Agency)	Federal Program	ALN Number	Other Award Number						Note
DEPARTMENTAL OFFICES, TREASURY, DEPARTMENT OF THE	CORONAVIRUS STATE AND LOCAL FISCAL RECOVERY FUNDS	21.027	10330		-	1,619,030	1,619,030	732,367	1, 4
FEDERAL EMERGENCY MANAGEMENT AGENCY, HOMELAND SECURITY, DEPARTMENT OF (via Washington State Military Department)	Emergency Management Performance Grants	97.042	E23-110		40,795	-	40,795	-	1, 4
FEDERAL EMERGENCY MANAGEMENT AGENCY, HOMELAND SECURITY, DEPARTMENT OF (via City of Bellevue)	Assistance to Firefighters Grant	97.044	EMW-2023-FP00114		149,000	-	149,000	-	1, 3
FEDERAL EMERGENCY MANAGEMENT AGENCY, HOMELAND SECURITY, DEPARTMENT OF (via Washington State Military Department)	BRIC: Building Resilient Infrastructure and Communities	97.047	EMS-2021-PC-008		8,152	-	8,152	-	1, 4
FEDERAL EMERGENCY MANAGEMENT AGENCY, HOMELAND SECURITY, DEPARTMENT OF (via Seattle Fire Department)	Homeland Security Grant Program	97.067	EMW2022-SS-00056-S01		19,726	-	19,726	-	1, 3
Total Federal Awards Expended:					4,225,737	1,726,607	5,952,344	776,706	

The accompanying notes are an integral part of this schedule.

CITY of REDMOND
NOTES to the SCHEDULE of EXPENDITURES of FEDERAL AWARDS
For the Year Ended December 31, 2024

NOTE 1 – BASIS OF ACCOUNTING

This Schedule is prepared on the same basis of accounting as the City's financial statements. The City uses the modified accrual basis of accounting for governmental fund financial statements and agency funds and the accrual basis of accounting for internal service and proprietary funds.

NOTE 2 – FEDERAL INDIRECT COST RATE

The City has elected to use the de minimis indirect cost rate allowed under the Uniform Guidance. For federal awards subject to the Uniform Guidance requirements in effect prior to October 1, 2024, the City elected to use the 10-percent de minimis indirect cost rate of modified total direct costs (MTDC). For federal awards subject to the revised Uniform Guidance effective October 1, 2024, the City elected to use the 15-percent de minimis indirect cost rate of MTDC.

NOTE 3 – NONCASH AWARDS - EQUIPMENT

The City received equipment and supplies that were purchased with federal Homeland Security funds by the state of Washington. The amount reported on the Schedule is the value of the property on the date it was received by the City and priced by the state of Washington.

NOTE 4 – PROGRAM COSTS

The amounts shown as current year expenditures represent only the federal grant portion of the program costs. Entire program costs, including the City's portion, are more than shown. Such expenditures are recognized following the cost principles contained in Title 2 U.S. Code of Federal Regulations Part 200, Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards, wherein certain types of expenditures are not allowable or are limited as to reimbursement.

CORRECTIVE ACTION PLAN FOR FINDINGS REPORTED UNDER UNIFORM GUIDANCE

City of Redmond
January 1, 2024 through December 31, 2024

This schedule presents the corrective action planned by the City for findings reported in this report in accordance with Title 2 *U.S. Code of Federal Regulations* (CFR) Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance).

Finding ref number: 2024-001	Finding caption: The City did not have adequate internal controls to ensure compliance with federal subrecipient monitoring requirements and did not comply with federal suspension and debarment and reporting requirements.
Name, address, and telephone of City contact person: Nida Hermoso, Finance Manager 15670 NE 85 th Street Redmond, WA 98073 425-556-2180	
Corrective action the auditee plans to take in response to the finding: (If the auditee does not concur with the finding, the auditee must list the reasons for non-concurrence). City's response: <i>The City of Redmond takes seriously its responsibility to administer federal funds in compliance with the Uniform Guidance (2 CFR Part 200) and acknowledges the findings identified in this audit related to suspension and debarment verification, SLFRF reporting accuracy, and subrecipient monitoring. The City has reviewed each finding, confirmed the underlying facts, and taken corrective action to address both the specific instances identified and the broader control gaps that enabled them.</i> <i>Independent of this audit, the City had already begun a citywide effort in 2025 to strengthen its grant management practices. This effort produced a new Grant Management Policy and Procedure Manual and accompanying Standard Operating Procedures (SOPs), which leadership approved and published citywide in April 2026. Every department attended an in-person presentation on the new policy and received training on available grant management resources. The SOPs set minimum standards for procurement; suspension/debarment verification; monitoring, reconciliation of allowable costs, and subrecipient monitoring; and</i>	

grant reporting — directly addressing the root causes identified in this audit. In 2025 and 2026, the City also created and filled new positions to centralize grant management functions citywide, adding a required second-party review of progress reports and reimbursement requests before submission to funding agencies.

The City views the specific instances identified in this audit as isolated gaps that existed prior to these citywide improvements, and believes the policy, staffing, and procedural changes described below directly resolve them.

Suspension and Debarment

The City's standard contract templates for federally funded procurements include suspension and debarment verification requirements, and this requirement applied to all applicable City contracts except the design contract at issue, where the verification was not completed and documented 76 days after the contract's effective date. The City has since confirmed the contractor was not suspended, debarred, or otherwise excluded during the relevant period, and no federal funds were paid to an ineligible party.

- *Added a required step to the contract routing process to verify completion of the debarment check and attach verification documentation before a contract proceeds.*
- *Confirmed debarment verification is included on applicable checklists for all work involving labor and/or federal funding of \$25,000 or more, and re-emphasized to staff the requirement to complete and retain this verification before contract execution and fund disbursement.*
- *Both Finance and Capital Projects have been made aware of this error. Capital Projects has confirmed its understanding that the SAM.gov check must be completed and documented before finalizing any applicable contract.*
- *Finance is revising the contract routing form to add a required field confirming whether a contract will be paid partially or fully with grant funds, alerting Purchasing and Accounts Payable to confirm that verification was completed before any payment is released.*
- *The new citywide SOPs define the required timing for suspension/debarment checks, closing the procedural gap that allowed this contract to proceed without documented, timely verification.*
- *The City will update agreement boilerplates to require vendors to attest that they are not debarred. This will supplement the City's existing verification process performed before contract execution and fund disbursement.*

Reporting

During 2025, City staff began developing a citywide Grant Management Policy and Procedure Manual and accompanying Standard Operating Procedures (SOPs) to strengthen the City's compliance with federal grant requirements. The manual was approved by leadership and published citywide in April 2026. Every department attended an in-person presentation on the

new policy, along with training on how to access additional grant management resources. The new SOPs establish specific standards for grant reporting, including required reconciliation practices and review procedures intended to prevent the type of discrepancies identified in this finding.

In 2025 and 2026, the City created and filled new positions to centralize grant management functions citywide. These positions are responsible for tracking grant deadlines and providing a required second-party review of progress reports and reimbursement requests before they are submitted to funding agencies.

The City views this finding as an isolated gap that predates these citywide improvements and believes the staffing and procedural changes described below directly address the identified root cause.

Corrective Action Taken

- New centralized grant management positions now review and approve all progress reports and reimbursement requests before submission to the funding agency, ensuring a required two-party review of all external reporting.*
- The new SOPs require staff to reconcile grant transactions multiple times throughout the year, rather than solely at year-end, so discrepancies are identified and corrected well before reporting deadlines.*

Subrecipient Monitoring

The City's subrecipient monitoring procedures required subrecipients to submit financial statements or Single Audit reports only during the initial application year and did not include a documented process for annual verification in subsequent years. As a result, for the six subrecipients tested, the City could not confirm whether required Single Audits were received or whether applicable audit findings had been addressed in the years following the first year of the subaward agreement

Corrective Action Taken

- Staff who manage subawards have completed additional training on subrecipient monitoring requirements, including verification of Single Audit compliance.*
- Staff who manage subawards will update the sub-monitoring checklist to include "Single Audit" as part of the update every year.*
- Revised risk assessment tools now specify a minimum required frequency for completing subrecipient risk assessments and reviewing subrecipient financial reports.*

The new citywide SOPs establish a defined minimum frequency for subrecipient monitoring activities, including annual verification of Single Audit status for all active subrecipients.

Anticipated date to complete the corrective action:

As noted above, corrective action has been in place in the years 2025 and 2026.

ABOUT THE STATE AUDITOR'S OFFICE

The State Auditor's Office is established in the Washington State Constitution and is part of the executive branch of state government. The State Auditor is elected by the people of Washington and serves four-year terms.

We work with state agencies, local governments and the public to achieve our vision of increasing trust in government by helping governments work better and deliver higher value.

In fulfilling our mission to provide citizens with independent and transparent examinations of how state and local governments use public funds, we hold ourselves to those same standards by continually improving our audit quality and operational efficiency, and by developing highly engaged and committed employees.

As an agency, the State Auditor's Office has the independence necessary to objectively perform audits, attestation engagements and investigations. Our work is designed to comply with professional standards as well as to satisfy the requirements of federal, state and local laws. The Office also has an extensive quality control program and undergoes regular external peer review to ensure our work meets the highest possible standards of accuracy, objectivity and clarity.

Our audits look at financial information and compliance with federal, state and local laws for all local governments, including schools, and all state agencies, including institutions of higher education. In addition, we conduct performance audits and cybersecurity audits of state agencies and local governments, as well as state whistleblower, fraud and citizen hotline investigations.

The results of our work are available to everyone through the more than 2,000 reports we publish each year on our website, www.sao.wa.gov. Additionally, we share regular news and other information via an email subscription service and social media channels.

We take our role as partners in accountability seriously. The Office provides training and technical assistance to governments both directly and through partnerships with other governmental support organizations.

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